

BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC	IN RE:	NOTICE OF INTENT OF ENTERGY
EC-123-0082-00		MISSISSIPPI, INC. TO IMPLEMENT
2018-UN-205		REVISIONS TO THE FORMULA RATE
		PLAN

EVALUATION REPORT FILING UNDER FORMULA RATE PLAN
RIDER SCHEDULE FRP-7 (SECOND REVISED) FOR CALENDAR YEAR 2022

Comes now Entergy Mississippi, LLC, (“Entergy Mississippi,” “EML,” or the “Company”), pursuant to Section 77-3-2(3), Mississippi Code of 1972 (Revised 2020), as well as other applicable provisions of the Mississippi Public Utilities Act of 1956, as amended, and files with the Mississippi Public Service Commission (the “Commission”) the Company’s Evaluation Report under Formula Rate Plan Rider Schedule FRP-7 (Second Revised) (“Schedule FRP-7,” “FRP-7,” “FRP,” or “Formula Rate Plan”) for the twelve-month period ending December 31, 2022 (“2022 Evaluation Report”), along with the Company’s look-back for the twelve-month period ended December 31, 2021 (“2021 Look-back”), and in support shows as follows:

Entergy Mississippi’s Commitment to Customers and the Communities We Serve

1. On December 11, 2014, the Commission approved in this Docket a rate modernization plan for Entergy Mississippi, setting out a blueprint for the Company’s provision of service for the next decade. Entergy Mississippi’s “Bright Future” plan, as ordered into effect by the Commission, has been designed to improve reliability, modernize the grid, maintain the Company’s workforce, stabilize rates, use new technologies, and attract new industry. In our implementation of the Bright Future Plan, Entergy Mississippi remains committed to safe and reliable utility operations with a focus on customer service and reasonable prices and is continuing to make capital improvements proactively to meet customers’ service expectations and satisfy the

Company's obligation to serve our customers. In EML's 2022 Evaluation Report, the Company expects to make nearly \$400 million in infrastructure improvements, a significant portion of which is from distribution plant additions. By the end of 2022, EML will expend approximately \$2.9 billion dollars to improve our infrastructure, a 70% increase, while a typical residential customer's bill has risen by only 9% since 2015. These improvements are the principal driver of the revenue changes in EML's 2022 Evaluation Report. EML's commitment to customers and communities is made evident through the Company's actions.

2. The Company recognizes the importance of operational excellence, customer focus, environmental stewardship, corporate citizenship and workforce diversity. Our customers expect and deserve reliable service both now, and in the future, and EML plans to meet those expectations. To continue to meet our customer needs, the Company must prudently plan, and we must successfully meet the inevitable challenges that occur in the electric utility industry in order to continue to provide adequate and dependable electric service at reasonable cost. To meet some of these challenges, over the last two decades, EML retired more than 1,200 megawatts (MW) of legacy steam-gas generation and added more modern and efficient combined cycle generation. EML is planning to maintain the reliability of Gerald Andrus and the Independence Steam Electric Station, before they both cease operations later this decade. The Commission approved EML's acquisition of the 100 MW Sunflower solar facility, which will be operational later this year, and EML recently announced our EDGE plan ("Economic Development with Green Energy"), the largest expansion of renewable power in state history. As part of that plan, earlier this year EML issued a request for proposals for up to 500 MW of renewable energy. Looking to the evolving needs of our customers, EML completed the 3.2 MW resiliency-as-a-service generation project at the U.S. Army Engineer Research and Development Center last year.

3. Entergy Mississippi has been a leader in building Mississippi industry and job growth for nearly a century and intends to lead that effort for another century and beyond. Entergy Mississippi continues to be recognized by our communities for our success in promoting economic development activities. Through investment in infrastructure and the modernization of rates, EML is supporting economic development throughout our service territory. We continued economic development activities, including new and expanded projects across our territory. While COVID-19 continued to present challenges for economic development efforts, Entergy Mississippi found success in numerous projects across our territory. In 2021, EML announced 14 economic development projects, representing more than 1,800 jobs and \$350 million in customer capital improvements. For example, in 2021, Milwaukee Tool announced they will be expanding operations and investing \$60 million with construction of a new 500,000 square foot facility in the Grenada I-55 Business and Technology Park that will create 800 new jobs. Milwaukee Tool also announced a new location in Clinton that represents a \$7 million investment and creation of 200 to 400 new jobs. In Winona, Biewer Lumber announced a new sawmill location and committed to investing \$130 million and creating 150 new jobs. In 2021, EML also saw an expansion of Tyson Foods, outside Vicksburg representing a \$61 million investment and creating 50 new jobs. In addition to these announcements, EML signed agreements with nine customers for 21.8 MW of additional load last year. Since inception of the Small Business Incentive Program Rider Schedule in January 2012, EML has provided \$2,888,752 in benefits to 3,374 customers. As of December 2021, there are 534 customers receiving benefits through the program. We recognize that financial benefits can be achieved for all customers through economic development, particularly where we can increase our customer base and decrease customer rates as a result of spreading the recovery of our fixed costs over a larger number of kilowatt-hours. All of these projects represent progress

toward that objective.

4. EML must have access to the capital we will need in the future to support necessary investment in utility infrastructure, remain a strong partner in Mississippi's economic development efforts, and respond to the transformative challenges facing the industry. EML is embarking on these efforts with recognition that the successes we have achieved have been the result of effective management by the Company and effective regulation by the Commission. On February 3, 2022, Moody's Investor Service ("Moody's") issued a report explaining its rationale for affirming EML's Baa1 long-term rating, while improving its outlook for EML from stable to positive. In its report, Moody's noted:

EML's FRP provides clarity on future cost recovery including certain operating costs, helps to reduce regulatory lag, and increases the predictability of future cash flows and financial metrics.

The constructive and generally cooperative nature of the FRP proceedings, and amongst stakeholders, provides an important underpinning of EML's positive outlook. We believe that the annual FRP updates will position EML better than most utilities, to face industry headwinds, such as the prospect for rising interest rates and cost inflation.

The FRP further benefits customers because it captures both cost increases and cost decreases on an annual basis and timely reflects both in customers' rates with minimal regulatory lag. For example, in anticipation of the Sunflower solar facility acquisition and other business needs, EML issued \$400 million in debt last year at favorable interest rates, which reduced EML's total cost of debt by 14 basis points, along with reducing EML's equity ratio. As discussed by Mr. Heard, the reduction in the cost of capital benefits customers by reducing the revenue change in the 2022 Evaluation Report by more than \$12.3 million.

5. Moody's comments support the extent to which EML's activities are subject to thorough oversight provided by the Commission and Staff as they review, critique and approve, often with modification, EML's annual transmission and distribution planning and projects, annual energy efficiency plans, annual formula rate plans, and annual fuel audits. This level of continuous oversight, driven in large part by the annual review of EML's costs through the FRP, ensures that EML is undertaking improvements and operating our system in a manner that benefits customers, provides adequate levels of service reliability and service quality, and keeps rates reasonable. In order for EML to continue with plans to meet customers' needs over the next several years, Entergy Mississippi needs timely recovery of the investments already made for our customers, along with assurance we will receive timely recovery of the grid improvements planned for this year.

6. EML is making significant capital improvements for the direct benefit of our customers, as we expand and strengthen our existing infrastructure to improve reliability for our customers and build a more resilient and efficient power grid. This grid modernization involves upgrading and redesigning grid infrastructure while also adding new technologies and intelligent devices that facilitate safe multi-directional energy flows, automate operations, enable remote control, increase operational efficiency, improve quality of service, and increase reliability and resiliency. This change involves adopting a more customer-centric strategy for designing and maintaining the energy grid, one which seeks to minimize interruptions experienced by customers regardless of fluctuating conditions on the system. EML's goal in distribution capital spending is to achieve meaningful reductions in customer interruptions and the duration of such interruptions by dedicating more capital to distribution asset renewal and targeted improvements to distribution equipment. The Company ended the year with second quartile System Average Interruption Frequency Index (SAIFI) performance (1.14 SAIFI), an improvement from 2020 and 2019. As

another example, customers have benefitted from the Company's Sectionalization Program, which installs sectionalizing devices that are expected to reduce customer exposure in the event of an outage by isolating the outage cause. The devices installed through this program avoided over 41,000 customer interruptions in 2021, which was substantially more avoided interruptions than EML expected. The Company's vegetation management efforts also are contributing to improved reliability as well.

7. In 2021, EML completed mass deployment of Advanced Metering Infrastructure, leaving only a small number of meters (approximately 1,700 meters – or less than 0.5% of EML's meters) that have not yet been upgraded because of unique circumstances that make installation more difficult. EML was granted approval for and deployed a pre-pay billing program, offering customers a pay-as-you-go billing option that eliminates deposit requirements and most fees for qualifying residential customers. In 2022, EML will continue our Distribution Automation project and the grid modernization projects discussed in the 2022 Transmission and Distribution Plan.

8. EML's financial health is and should be of great importance to all stakeholders, including the Commission, investors, and even customers. Sound financial health means that, when necessary, the Company is able to access capital, both debt and equity, at a reasonable cost. This includes instances when planned service improvements require capital, as well as unpredictable events that cause a need for capital – such as an unsolicited offer to purchase a generating unit, unexpected maintenance or reliability work, or emergency storm restoration. In 2021 Mississippi was once again faced with a significant amount of severe storm activity, with such events as Winter Storm Uri and Hurricane Ida. As a result of these storms and other weather events over the year, EML conducted significant restoration activity. This restoration activity included replacing approximately 822 poles, repairing approximately 3,991 spans of wire, which

is the equivalent to over 200 line-miles, replacing approximately 365 transformers and 537 crossarms. Due to this storm activity, EML incurred approximately \$108 million in storm-related capital additions, which significantly outpaced the restoration work required in 2020. A significant amount of these additions were not reflected in EML's 2021 Evaluation Report because they were unexpected.

9. Recognizing the hard work and dedication of Entergy employees, the Edison Electric Institute ("EEI") awarded Entergy with its Emergency Response Award for the Company's recovery efforts following Hurricane Ida in August 2021. The award marks 42 awards for Entergy from EEI for power restoration and mutual-assistance work.

10. EML also gives back to our communities through philanthropy, volunteerism, and advocacy, which are integral to our corporate mission. The Company prioritizes solutions that attack the root causes of poverty, support education and workforce development, and protect and preserve the environment. In 2021, shareholders contributed more than \$1.4 million to 283 nonprofit partners in Mississippi.

**Entergy Mississippi is Committed to Making
Substantial Capital Improvements for the Benefit of our Customers,
While Managing the Impact of those Improvements on Customer Bills**

11. The 2021 Look-back and the 2022 Evaluation Report demonstrate the Company's continued commitment to the Bright Future Plan's implementation. In the Bright Future Plan described in the 2014 Rate Case, the Company explained that multiple factors were driving the increasing capital improvements by Entergy Mississippi. These factors included the Company's aging infrastructure, customer expectations, and economic development opportunities. EML's plant in service as of December 31, 2015, was \$4.1 billion.

12. Now that EML is more than half-way through our Bright Future Plan, as of

December 31, 2021, plant in service is \$6.6 billion.¹ Now, looking forward, in the Company's 2022 Evaluation Report, the Company expects to make nearly \$400 million in infrastructure improvements, a significant portion of which is from distribution plant additions. By the end of 2022, EML will have spent approximately \$2.9 billion to improve infrastructure, a 70% increase, while a typical residential customer's bill has risen by only 9% since 2015. Thus, the Company has made and will continue to make considerable improvements in infrastructure for the benefit of our customers, while managing the associated bill impacts of those improvements for customers.

A. Commitment to Improvements

13. Delivery of safe and reliable electric service is the fundamental building block for delivering value to EML's customers and other stakeholders. Entergy Mississippi is in the process of modernizing our distribution grid. This grid modernization involves upgrading and redesigning grid infrastructure while also adding new technologies and intelligent devices that facilitate safe multi-directional energy flows, automate operations, enable remote control, increase operational efficiency, improve quality of service, and increase reliability and resiliency. This change involves adopting a more customer-centric strategy for designing and maintaining the energy grid, one which seeks to minimize interruptions experienced by customers regardless of fluctuating conditions on the system.

14. In late 2019 to early 2020, EML began exploring a multi-year customer-centric strategy for grid modernization. At that time, EML realized that certain foundational enhancements to the grid could benefit future grid modernization efforts. These enhancements

¹ This amount is \$400 million higher than the per book net plant in service reported in the 2021 Look-back, which uses average balances pursuant to the FERC Method for calculating net plant in service – thirteen-month averages for power generation and transmission and beginning ending averages for distribution and general.

would make the grid more reliable and provide additional flexibility necessary to take full advantage of future smart devices and other smart grid technologies. Accordingly, EML increased spending on the Company's distribution recurring programs to improve reliability for our customers. In 2022, EML is continuing to spend to improve the reliability and resiliency of the Company's distribution grid.

15. One example of a recurring capital project related to grid modernization is EML's Distribution Automation ("DA") project, which involves installation of equipment and smart grid-controlling devices (i.e., reclosers, regulators, capacitor banks, line sensors, etc.) on existing distribution facilities. DA equipment will have the capability, once installed, to control and operate distribution assets, responding to changing demand and system conditions with minimal manual interventions. Additionally, DA will enable the distribution grid to behave as a self-healing network, improving restoration times and power quality, while minimizing customer outage impacts. Lastly, the DA devices will have the functionality to communicate real-time data to Entergy's SCADA and other back-office applications, like the Distribution Management System (DMS), allowing for secure and reliable two-way communication of data, information, and commands.

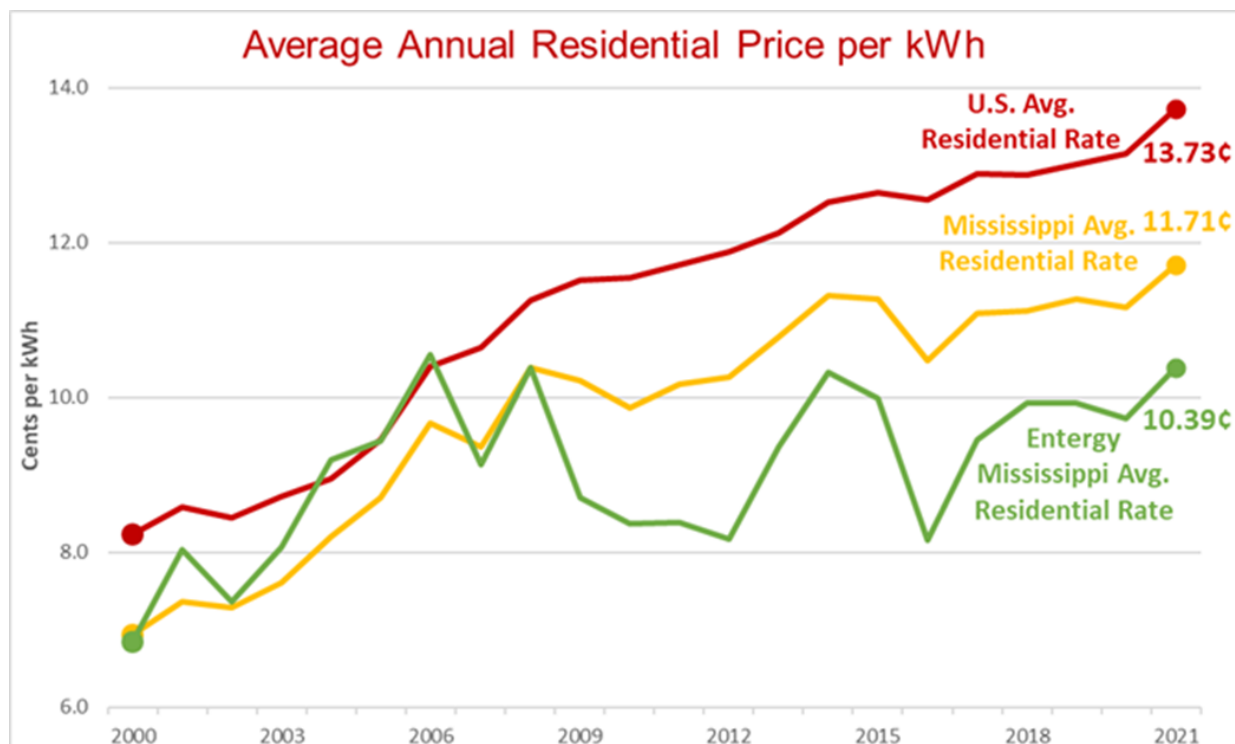
16. In 2022, EML plans to invest nearly \$400 million on infrastructure, a significant portion of which is from distribution plant additions. The total capital additions in the 2022 Evaluation Report are less than the total capital additions in each of the last four Evaluation Reports, but this is the third Evaluation Report in a row, with the 2020 Evaluation Report being the first, that EML's distribution capital additions have been in excess of \$200 million. Mr. Heard and Mr. Jeter summarize the major capital additions, and further details are provided in Attachment I to the Evaluation Report. Examples of major capital projects that will close in 2022 include the

following:

- a. Franklin 500 kV Upgrade Station consists of reconfiguring the 500 kV extra-high voltage (“EHV”) substation so that the Franklin-Bogalusa and Franklin-McKnight 500 kV transmission lines do not share a common breaker. This project is necessary to comply with NERC TPL-001-4 Reliability Standards and Entergy’s Local Planning Criteria. The Company filed a Petition for a Certificate of Public Convenience and Necessity (“CCN”) on May 25, 2021, for this project in Docket No. 2021-UA-81, and the Commission approved the CCN on December 7, 2021.
- b. Desoto Service Center Project consists of the construction of the new Entergy Service Center for Desoto County, Mississippi, which is EML’s second largest network and considered one of the busiest service centers due to the rapid growth of the area.
- c. Delta Lake Closure consists of the closure of the lake at the site of the former Delta Steam Electric Station in Cleveland, Mississippi, including draining (completed in 2021) and pushing in the levees and grading the lake bottom to accomplish positive drainage. The 600-acre lake is no longer needed for cooling water as the generation facility has been demolished.

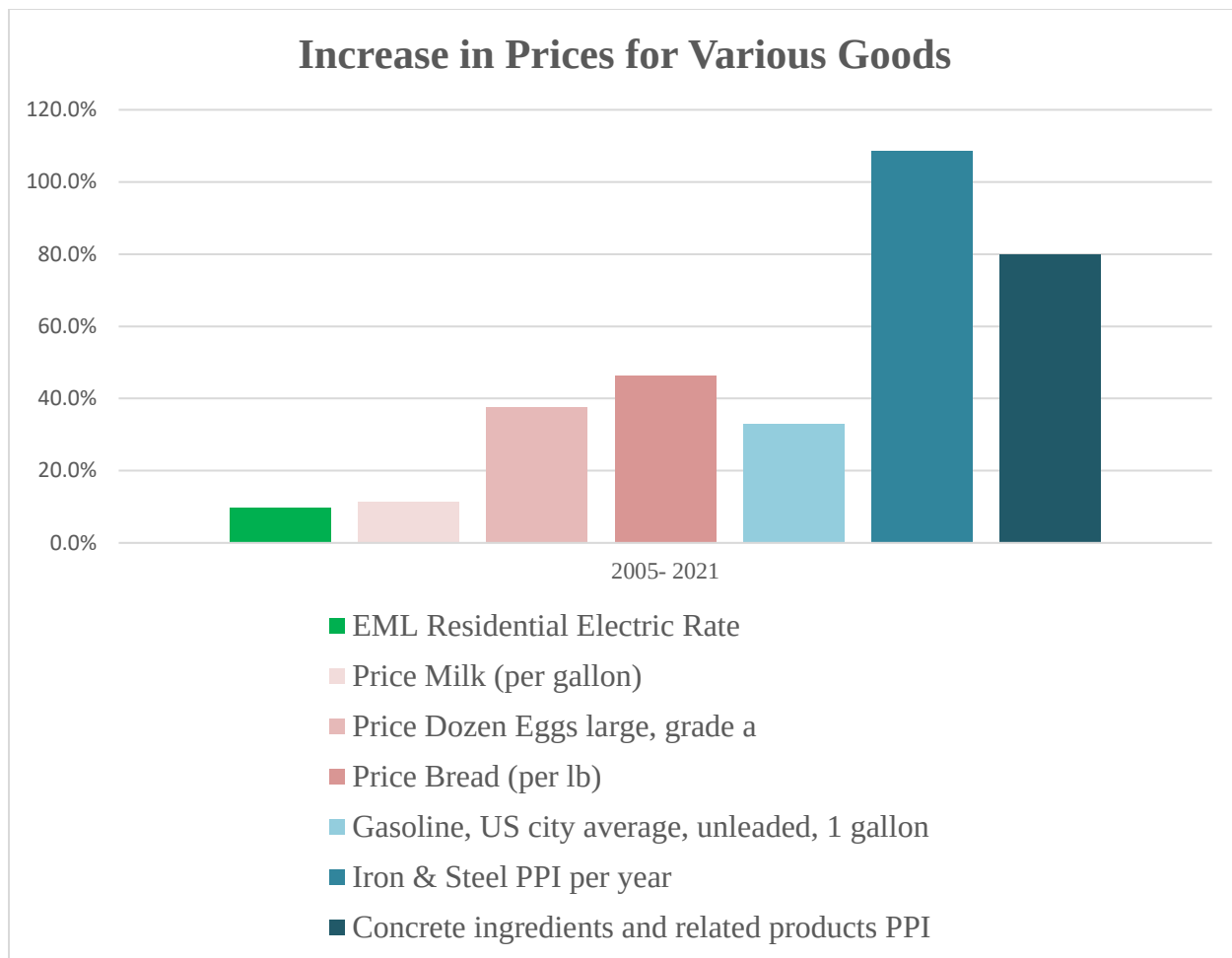
B. Commitment to Reasonable Customer Rates

17. As Mr. Jeter discusses in his Direct Testimony, EML’s residential prices compare favorably to both the U.S. national average and the Mississippi average annual residential price per kilowatt-hour, as shown in the chart below.



Source: U.S. Energy Information Administration

18. As Mr. Heard discusses in his Direct Testimony, although EML's residential prices will increase as a result of this FRP submittal, those prices will continue to compare favorably to the average prices shown in the chart above. After the implementation of the rate adjustments proposed in this FRP Submittal, a typical residential customer using 1,000 kWh per month would be billed approximately \$122.17 beginning in July 2022. This total bill includes the temporary effects of the base rate schedules (e.g., MSE, PMR, UPC, MISO). As Mr. Jeter demonstrates in his testimony, the chart below shows that EML's rates have grown more slowly than the cost of other goods since 2005. For example, EML's residential rates have increased by 9.6%, while during that time the cost of bread and eggs have risen by 46.5% and 37.4%, respectively. Additionally, the cost of materials that EML uses to provide services, such as concrete and iron and steel, have increased by 79.8% and 108.5%, respectively, during that time.



Sources: Edison Electric Institute and U.S. Bureau of Labor Statistics

19. EML’s residential rates continue to compare favorably to the averages shown above, especially in light of the rising cost of various goods. This demonstrates the successful efforts the Company has taken to manage costs given the substantial investments that EML has made and continues to make to modernize infrastructure for the benefit of our customers.

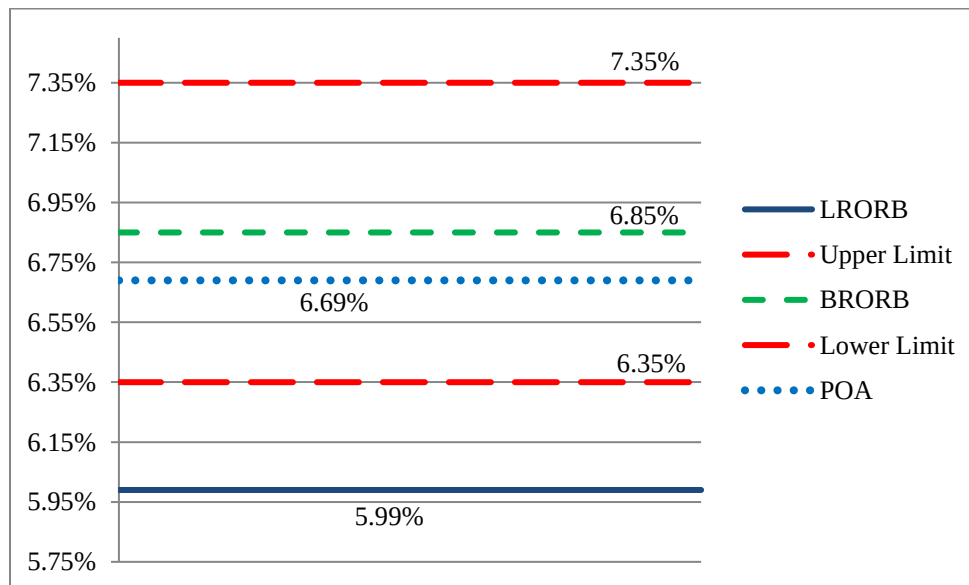
EML’s Formula Rate Plan

20. Entergy Mississippi’s current formula rate plan is Schedule FRP-7 (Second Revised), which the Commission ordered into effect through its February 10, 2022, Compliance Order in this Docket. Schedule FRP-7 conforms to the Mississippi statute and to the Commission’s Public Utilities Rules of Practice and Procedure (the “Procedural Rules”).

2021 Look-Back

21. Under Schedule FRP-7, in March of each year, the Company makes a look-back submittal containing accounting and operational data based on actual results, as adjusted pursuant to provisions of FRP-7, for the calendar year preceding the March filing (the “Look-back Evaluation Period”). This annual look-back provides information sufficient for the Staff to conduct a review of the Company’s expenses, capital accounts (rate base), revenues, and operational performance, and in so doing the filing indicates whether and how much of an interim rate adjustment is necessary based on actual performance. The Company’s 2021 Look-back is attached hereto as ATTACHMENT A. The Company’s 2021 Look-back shows that the Company’s actual Earned Return on Rate Base (“ERORB”) in calendar year 2021 is 5.99%, which is below the Look-back approved Benchmark Return on Rate Base (“BRORB”) of 6.85% and below the Lower Limit of the FRP bandwidth of 6.35%.

Illustration of 2021 Look-back Evaluation Results



22. As explained by Company witness Allen A Heard, because the Look-back Earned Rate of Return on Rate Base is less than the Lower Limit by 0.36%, Interim Rate Adjustments increasing revenue to the Point of Adjustment, 6.69%, would result. This result triggers a Change in FRP Revenues of \$34.3 million on an interim basis. Attachment K to the FRP provides that the DSM true-up shall be recovered outside of the FRP bandwidth calculation. The 2021 DSM true-up resulted in an under-recovery of \$124,439. Accordingly, the Interim Rate Adjustments reflected in Attachment A to FRP-7 on file with the Commission should be adjusted to increase FRP revenues by \$34.5 million on an annual basis, as shown on Attachment G, Line 19 in the 2021 Look-back effective June 30, 2022.

23. Net Utility Operating Income in the 2021 Look-back was not high enough for EML to reach the Point of Adjustment return authorized by the 2021 Evaluation Report approval. The primary driver of this difference is that Schedule FRP-7 capped EML's Annual Rate Adjustments for the 2021 Evaluation Report. Therefore, EML's rate adjustments were not designed to allow EML to reach the POA return during 2021, assuming EML's sales were the same as those in the 2021 Evaluation Report. The 2021 Annual Rate Adjustments were driven by the 2021 known and measurable capital additions and the corresponding depreciation.

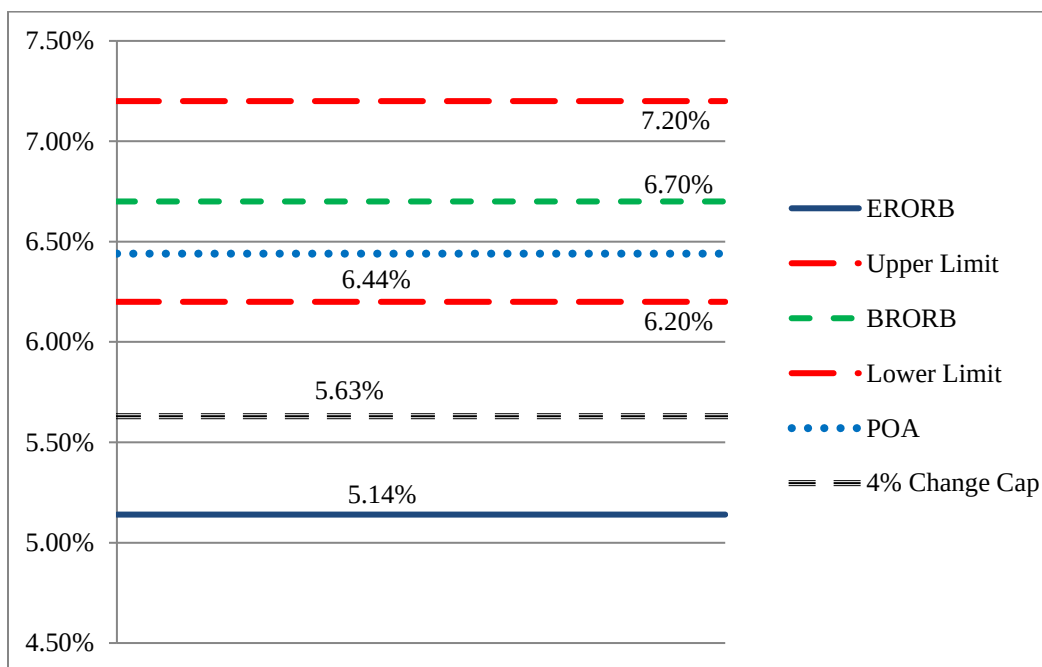
2022 Evaluation Report

24. Also, under Schedule FRP-7, in March of each year the Company makes an Evaluation Report submittal containing accounting and operational data based on actual results for the calendar year preceding the March filing, as adjusted for the current year expected results pursuant to provisions of the Formula Rate Plan. This Evaluation Report provides information sufficient for the Staff to conduct a review of the Company's expenses, capital accounts (rate base), revenues, and operational performance for the current calendar year, and in so doing the filing

indicates whether and how much of a rate adjustment is appropriate. The Company's 2022 Evaluation Report is attached hereto as ATTACHMENT B.

25. The 2022 Evaluation Report shows that the Company's ERORB is 5.14%, which is below the Company's BRORB of 6.70% and 1.06% below the lower limit of the band, which is 6.20%.

Illustration of 2022 Evaluation Results



26. As Mr. Heard also explains in his testimony, FRP-7's formula provides that Annual Rate Adjustments should increase FRP revenues to the Point of Adjustment, 6.44%, which in this case would result in a change in FRP revenues of \$69 million. However, the amount of the revenue increase allowed under the revised Annual Rate Adjustments for the 2022 Evaluation Report is capped at 4% of the Company's retail unadjusted Rate Schedule Revenues. Therefore, the results of the 2022 Evaluation Report produce a revenue change of \$48.6 million, which is equivalent to EML earning a 6.07% return on rate base for 2022.

27. The 2022 known and measurable capital additions and the corresponding

depreciation along with the previous year's capped Annual Rate Adjustments are the principal drivers of the results of EML's increasing revenue deficiency. For example, depreciation expense on EML's new capital additions is driving \$25.9 million of the revenue deficiency. The lower level of revenues from the capped 2021 Annual Rate Adjustments carries forward into the 2022 Evaluation Report and contributes to the revenue deficiency.

28. Effective April 2022, EML will implement initial Annual Rate Adjustments to increase FRP revenue by \$22.6 million (2%) of the \$48.6 million (4%) revenue increase resulting from the 2022 Evaluation Report. This revenue increase will be reflected on the Attachment A effective April 2022 through the Annual Rate Adjustments and resulting Net Rate Adjustments. Effective July 2022, assuming Commission approval in June and no changes to the 2022 Evaluation Report by the Commission, EML will implement revised rate adjustments that reflect a net revenue increase of \$61.8 million for the remainder of the Evaluation Report and Look-back changes to FRP revenue. At that point, assuming no changes to the 2022 Evaluation Report by the Commission, the entire \$48.6 million change to Schedule FRP Revenues resulting from the 2022 Evaluation Report will become permanent.

29. The typical residential customer using 1,000 kWh would see an FRP increase of approximately \$1.90 per month effective April 2022 from the initial FRP Net Rate Adjustments. When the effects of all other billing elements are added, including the update to Schedule VM-1, which the Company has filed to become effective with April 2022 bills, a typical residential customer using 1,000 kWh per month would be billed approximately \$120.77 per month, which is an increase of approximately \$1.73, or 1.45%, per month.

30. The typical residential customer using 1,000 kWh would see an additional increase of approximately \$4.00 per month under the FRP, effective July 2022 from the remainder of the

2022 Evaluation Report Annual Rate Adjustments and the 2021 Look-Back Interim Rate Adjustments. As explained by Ms. Elbe, EML is incorporating a full-costed customer charge as part of the 2022 Evaluation Report. The revised customer charge results in a decrease to base rates of \$2.75 for a typical residential customer using 1,000 kWh per month. When you include the temporary effects of the percentage of base rate schedules (e.g., Schedules MSE, PMR, UPC, MISO), a typical residential customer using 1,000 kWh per month would be billed approximately \$122.17 beginning in July 2022, which is an increase from March 2022 of approximately \$3.13, or 2.63%, per month.

Filing Requirements

31. The 2022 Evaluation Report and supporting workpapers² include the following data and information pursuant to the filing requirements for a rate adjustment under Schedule FRP-7, which requirements are set out in Attachment H to FRP-7:

Item

1. *All direct testimony to be relied upon, including a statement of the proposed changes and the reasons for the changes.* See the Direct Testimony of Mr. Robbin Jeter, Mr. Allen A Heard, Ms. Shannon C. Crews, and Ms. Crystal Elbe, Attachments C through F, along with exhibits to these attachments, hereto.
2. *Schedule of present rates, fares, tolls, charges or rentals in effect and the changes proposed to be made.* See Attachment A to the annual Evaluation Report. See also, Exhibits CKE-1 and CKE-2 to the Direct Testimony of Ms. Crystal Elbe, which contain revisions to the customer charges in the Residential Rate Schedule, Residential Electric Water Heating Rate Schedule, and General Lighting and Power Service Rate Schedule.
3. *Sample tariffs implementing the changes.* See Exhibits CKE-1 and CKE-2 to the Direct Testimony of Ms. Crystal Elbe.
4. *Balance-sheet for the most recent month available which shall be not later than nine months prior to the filing date.* See ATTACHMENT G (Evaluation Report workpapers 9.1 through 9.5, to be provided within 15 days).

² Pursuant to FRP-7, the FRP workpapers will be provided to the Staff within 15 days of this filing.

5. *Operating statement of revenues and expenses for twelve months ending as of the date of the balance sheet. See ATTACHMENT H (Evaluation Report workpapers 9.6 through 9.8, to be provided within 15 days).*
6. *Proforma operating statement in the same form as the actual operating statement beginning with the effective date of the proposed changes (a) without giving effect to changed rates and (b) giving effect to changed rates. Not applicable to the annual Evaluation Report.*
7. *Proforma operating statement in the same form as the actual operating statement for the same period giving effect to the proposed changes in rates and adjusted for known changes in the cost of operations. Not applicable to the annual Evaluation Report.*
8. *Statement showing (a) number of current customers by classes affected by the proposed changes (b) the actual revenue under the old rates arising from each class and (c) the annual amount of the proposed increase or decrease applicable to each class. See ATTACHMENT I.*
9. *Statement showing the utility's calculation of jurisdictional rate base including, if applicable, gross plant, accumulated depreciation, working capital, material and supplies, other properties and assets, accumulated deferred income taxes, customer deposits and investment tax credits. See ATTACHMENT J (Attachment B to the annual Evaluation Report).*
10. *Statement showing utility's calculation of return on rate base with and without the proposed increase. See ATTACHMENT K (Attachments B and G to the annual Evaluation Report).*
11. *Federal Income tax returns and State Income tax returns, with all required attachments and schedules, for prior three years. If a consolidated return, the portion applicable to Mississippi. Not applicable to the annual Evaluation Report.*
12. *Copy of notice to customers sent pursuant to RP 9. See ATTACHMENT L (Notice to customers will appear on customer bills during the March 2022 billing cycle. EML will supplement the filing with copies of the notice when available.)*
13. *Copy of the charter or articles of incorporation. See ATTACHMENT M (Incorporated by reference).*
14. *The amount and kinds of stock authorized, issued and outstanding. See ATTACHMENT N (Evaluation Report workpaper 11.2, to be provided within 15 days).*
15. *The number and amount of bonds authorized and the number and amount issued. See ATTACHMENT O (Evaluation Report workpaper 11.1, to be provided within 15 days).*
16. *The rate and amount of dividends paid during the five previous fiscal years and the amount of capital stock on which dividends were paid each year. See ATTACHMENT P.*
17. *An analysis of the surplus covering the period from the close of the last calendar year for which an annual report has been filed with the Commission to the date of the balance sheet attached to the notice. Not applicable to the annual Evaluation Report.*

18. *Guidelines or directives to the public utility's presentation provided by a controlling affiliate, parent or holding company.* Not applicable to the annual Evaluation Report.
19. *Marginal cost data.* Not applicable to the annual Evaluation Report.
20. *Alternative rate design.* Not applicable to the annual Evaluation Report.
21. *Conservation effectiveness.* Not applicable to the annual Evaluation Report.
22. *A properly prepared, complete, detailed lead/lag study for the test year for the total company, Mississippi retail, other jurisdictions, and Federal Energy Regulatory Commission wholesale rates (if applicable) in support of the public utility's total working capital requirements contained therein, including all working papers in support thereof.* Not applicable to the annual Evaluation Report.
23. *An exhibit listing the names and addresses of all interested persons as defined in Rule 2.115 of the Commission's Rules of Practice and Procedure together with a certificate that the filing utility has served a notice of the filing upon each.* Not applicable to the annual Evaluation Report.
24. *The year of the last authorized major rate increase, amount of the increase and the docket number of the proceeding.* Not applicable to the annual Evaluation Report.

32. Entergy Mississippi is an electric public utility as defined in Section 77-3-3(d)(i) of the Mississippi Code, as amended, and is engaged in the business of generating, transmitting, and distributing electric power to and for the public for compensation in forty-five (45) counties in western Mississippi, having its principal place of business in Jackson, Mississippi. Entergy Mississippi's mailing address is Post Office Box 1640, Jackson, Mississippi, 39215-1640. Entergy Mississippi is a Texas limited liability company registered to do business in Mississippi.

33. Entergy Mississippi is the holder of Certificates of Public Convenience and Necessity issued in Commission Docket No. U-44 and other Dockets, by orders of the Commission beginning December 3, 1958, as supplemented from time to time, authorizing the Company's utility operations in western Mississippi.

34. Entergy Mississippi expressly reserves all of its rights insofar as any order of the Commission or any court may result in confiscatory rates that constitute deprivation of property

without due process of law and insofar as matters in this proceeding are within the exclusive jurisdiction of the FERC, the Securities and Exchange Commission (“SEC”), or any other agency having jurisdiction over Entergy Mississippi. Entergy Mississippi’s reservation of rights is based on all applicable constitutional provisions, statutes and rules of law, including, but not limited to, the following:

- (1) The supremacy clause of the United States Constitution, Article VI, Clause 2;
- (2) The preemption doctrine;
- (3) The commerce clause of the United States Constitution, Article 1, Section 8, Clause 3;
- (4) The due process and equal protection clauses of the United States Constitution, Amendment XIV, Section 1;
- (5) The due process clause of the Mississippi Constitution, Article 3, Section 14;
- (6) The Public Utilities Holding Company Act of 1935, 15 U.S.C. Section 79 et seq., as it existed prior to its being superseded by the 2005 Energy Policy Act, and related statutes and regulations adopted by the SEC;
- (7) The Federal Power Act and statutes relating thereto, 16 U.S.C. Section 791(a), et seq., and 42 U.S.C. Section 7171, et seq., and regulations adopted by the FERC;
- (8) The Atomic Energy Act of 1954, 42 U.S.C. Section 2011, et seq., and regulations adopted by the Nuclear Regulatory Commission;
- (9) The Energy Independence and Security Act of 2007, 121 Stat. 1607 (December 19, 2007);
- (10) Other applicable federal law;
- (11) The Mississippi Public Utilities Act, Section 77-3-1, et seq., of the Mississippi Code of 1972, as amended;

(12) Article 2 of Chapter 3, Title 77, Section 77-3-101, et seq., of the Mississippi Code of 1972; and,

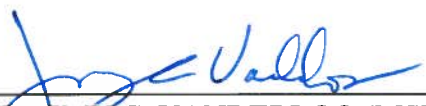
(13) Other applicable constitutional provisions, statutes and rules of law.

WHEREFORE, PREMISES CONSIDERED, Entergy Mississippi files the Company's Evaluation Report under Formula Rate Plan Rider Schedule FRP-7 (Second Revised) for the twelve-month period ending December 31, 2022, along with the Company's Look-back for the twelve-month period ended December 31, 2021, fully reserving EML's rights as set out herein. Entergy Mississippi prays that the Commission issue an order confirming that the Schedule FRP-7 Net Rate Adjustments set out in the Attachments A to the 2022 Evaluation Report should remain unchanged or to grant other relief consistent with this pleading and its attachments. Entergy Mississippi further prays for such other and general relief as may be required, beneficial, or needed.

This the 1st day of March, 2022.

Respectfully submitted,

ENTERGY MISSISSIPPI, LLC

BY: 

JEREMY C. VANDERLOO (MSB No. 101678)
VICE PRESIDENT, REGULATORY AFFAIRS

Tianna H. Raby (MSB No. 100256)
Alicia S. Hall (MSB No. 103580)
Alexander C. Martin, II (MSB No. 103634)
Entergy Services, LLC
P.O. Box 1640
(M-ELEC-6C)
Jackson, Mississippi, 39215-1640
(601) 969-4838

ATTORNEYS FOR ENTERGY MISSISSIPPI, LLC

STATE OF MISSISSIPPI

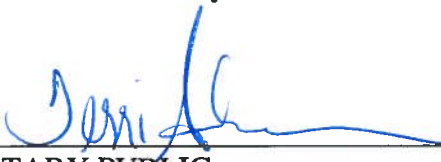
COUNTY OF HINDS

Personally appeared before me, the undersigned authority in and for the jurisdiction aforesaid, JEREMY C. VANDERLOO, who after being by me first duly sworn stated that he is Vice President, Regulatory Affairs of Entergy Mississippi, LLC, and that as such is fully authorized to make this affidavit; and further states that the matters and things contained in the foregoing are true, accurate, and correct as therein set forth to the best of his knowledge, information, and belief.



JEREMY C. VANDERLOO
VICE PRESIDENT, REGULATORY AFFAIRS

SWORN TO and subscribed before me this the 1st day of March 2022.



NOTARY PUBLIC

My commission expires:



RP 6.111 CERTIFICATE OF SERVICE

I, ALICIA S. HALL, attorney for Entergy Mississippi, LLC, hereby certify that on this day I have caused to be filed the foregoing with:

Katherine Collier
Executive Director
Mississippi Public Service Commission
Katherine.Collier@psc.ms.gov

and that on this day I have caused to be delivered a copy of the foregoing to:

Sally Doty
Executive Director
Mississippi Public Utilities Staff
Sally.Doty@mpus.ms.gov

Ross Hammons
General Counsel
Mississippi Public Service Commission
Ross.Hammons@psc.ms.gov

Emily Kruger
General Counsel
Mississippi Public Utilities Staff
Emily.Kruger@mpus.ms.gov

and that, in the filing of the foregoing, I have complied with RP 6 of the Commission's Public Utilities Rules of Practice and Procedure, in accordance with the Commission's March 12, 2020 Order Temporarily Suspending Rules and Encouraging Use of the Commission's Electronic Filing Systems.

This the 1st day of March 2022.



ALICIA S. HALL

P.O. Box 1640
(M-ELEC-6C)
Jackson, Mississippi 39215
(601) 969-2390

ENTERGY MISSISSIPPI, LLC

**Formula Rate Plan
FRP-7 (Second Revised)**

**Evaluation Report &
Workpapers**

Public

**Twelve Months Ended December 31, 2021
(Look-Back)**

**Entergy Mississippi, LLC
Formula Rate Plan
Evaluation Report for the
Twelve Months Ended December 31, 2021 (Look-Back)**

Table of Contents

Description	Section
<u>EVALUATION REPORT</u>	
Rate Adjustments (Attachment A)	1
Rate Adjustment Redetermination Formula (Attachment G)	2
Rate of Return on Rate Base (Attachment B)	3
Adjustments (Attachment C)	4
Benchmark Rate of Return on Rate Base (BRORB) (Attachment D)	5
Performance Rating Adjustments (Attachment F)	6

Rider Schedule FRP-7 (Second Revised)
Attachment A
April 2022

RATE ADJUSTMENTS

The following Net Rate Adjustments will be added to the Net Monthly Rates or Net Seasonal Rates set forth in Entergy Mississippi, LLC ("EML") currently effective rate schedules identified below, or such superseding rate schedules as may be ordered by the Commission, or such other rate schedules of EML subject to the Schedule FRP that may become effective, whether or not such schedules supersede any of the rate schedules below, but not including special contracts entered into pursuant to Miss. Code Ann. Sec. 77-3-35(1) that do not specifically and explicitly incorporate this Schedule into the contract. The Net Rate Adjustments shall be effective for bills rendered on and after the first billing cycle of April 2022:

Rate Class	Rate Schedules	(A) Annual Rate Adjustments	(B) Interim Rate Adjustments	(C) Interim Capacity Rate Adjustments	(A) + (B) + (C) Net Rate Adjustments
Residential	RS-38C, RS-38W, Other Residential Rates	\$0.01800/kWh	\$0.00138/kWh	\$0.00000/kWh	\$0.01938/kWh
General Service	GS-298, SWH-20, IPS-26, IP-33, MP-22, Other General Service Rates	\$0.01983/kWh	\$0.00151/kWh	\$0.00000/kWh	\$0.02134/kWh
Intermediate Gen. Svc.	B-34, CG-29	\$0.01682/kWh	\$0.00123/kWh	\$0.00000/kWh	\$0.01805/kWh
High Load Factor Svc.	HLF-7	\$0.01352/kWh	\$0.00102/kWh	\$0.00000/kWh	\$0.01454/kWh
Large General Service	C-29, OM-31, SE-29	\$0.01408/kWh	\$0.00107/kWh	\$0.00000/kWh	\$0.01515/kWh
Alt. Large General Svc.	ALGS-10	\$6.11/kW	\$0.45/kW	\$0.00/kW	\$6.56/kW
Lighting	PAL-17, DSL-16, LED-2 SL-37, HL-21, TF-23, UFL-16, RFL-16, Other Lighting Rates	\$0.04116/kWh	\$0.00319/kWh	\$0.00000/kWh	\$0.04435/kWh

April 2022		(A1)	(A2)	(B1)	(B2)	(A)	(B)	(C)	(D)
		Mar 2022 Existing Annual Rate Adjustments (1)	2022 FTY 2% \$24.3M Proposed Change (2)	Mar 2022 Existing Interim Rate Adjustments (3)	Approved Choctaw True-Up (4)	Annual Rate Adjustments (5)	Interim Rate Adjustments (6)	Capacity Rate Adjustments (7)	Net Rate Adjustments (8)
Residential		0.01595	0.00205	0.00153	0.00015	0.01800	0.00138	-	0.01938
General Service		0.01758	0.00225	0.00167	0.00016	0.01983	0.00151	-	0.02134
Interm. General Service		0.01491	0.00191	0.00136	0.00013	0.01682	0.00123	-	0.01805
High Load Factor		0.01199	0.00153	0.00113	0.00011	0.01352	0.00102	-	0.01454
Large General Service		0.01248	0.0016	0.00119	0.00012	0.01408	0.00107	-	0.01515
Alt. Large Gen. Service		5.43	0.68	0.5	0.05	6.11	0.45	-	6.56
Lighting		0.03626	0.0049	0.00354	0.00035	0.04116	0.00319	-	0.04435

Notes:

- (1) Column A1 reflects the Annual Rate Adjustments effective July 1, 2021.
- (2) Column A2 reflects the proposed maximum initial rate adjustments resulting from the 2022 Evaluation Report pursuant to Section III.B.1, which increases FRP revenues by \$24.3 million.
- (3) Column B1 reflects the Interim Rate Adjustments effective July 1, 2021 through June 30, 2022. The Interim Rate Adjustments include the Choctaw Annual Capacity Costs ("ACC") True-Up of \$1.7 million effective April 1, 2021 through March 31, 2022
- (4) Column B2 is the Choctaw ACC True-Up of \$1.7 million effective April 1, 2021 through March 31, 2022.
- (5) Column A equals the sum of Columns A1 and A2.
- (6) Column B equals Column B1 minus Column B2.
- (7) There are no Interim Capacity Rate Adjustments in effect at this time.
- (8) Column D is the sum Columns A, B, and C.

Rider Schedule FRP-7 (Second Revised)
Attachment A
July 2022

RATE ADJUSTMENTS

The following Net Rate Adjustments will be added to the Net Monthly Rates or Net Seasonal Rates set forth in Entergy Mississippi, LLC ("EML") currently effective rate schedules identified below, or such superseding rate schedules as may be ordered by the Commission, or such other rate schedules of EML subject to the Schedule FRP that may become effective, whether or not such schedules supersede any of the rate schedules below, but not including special contracts entered into pursuant to Miss. Code Ann. Sec. 77-3-35(1) that do not specifically and explicitly incorporate this Schedule into the contract. The Net Rate Adjustments shall be effective for bills rendered on and after the first billing cycle of July 2022:

Rate Class	Rate Schedules	(A) Annual Rate Adjustments	(B) Interim Rate Adjustments	(C) Interim Capacity Rate Adjustments	(A) + (B) + (C) Net Rate Adjustments
Residential	RS-38C, RS-38W, Other Residential Rates	\$0.02047/kWh	\$0.00291/kWh	\$0.00000/kWh	\$0.02338/kWh
General Service	GS-298, SWH-20, IPS-26, IP-33, MP-22, Other General Service Rates	\$0.02273/kWh	\$0.00320/kWh	\$0.00000/kWh	\$0.02593/kWh
Intermediate Gen. Svc.	B-34, CG-29	\$0.01947/kWh	\$0.00270/kWh	\$0.00000/kWh	\$0.02217/kWh
High Load Factor Svc.	HLF-7	\$0.01557/kWh	\$0.00217/kWh	\$0.00000/kWh	\$0.01774/kWh
Large General Service	C-29, OM-31, SE-29	\$0.01617/kWh	\$0.00227/kWh	\$0.00000/kWh	\$0.01844/kWh
Alt. Large General Svc.	ALGS-10	\$7.04/kW	\$0.97/kW	\$0.00/kW	\$8.01/kW
Lighting	PAL-17, DSL-16, LED-2 SL-37, HL-21, TF-23, UFL-16, RFL-16, Other Lighting Rates	\$0.04787/kWh	\$0.00695/kWh	\$0.00000/kWh	\$0.05482/kWh

July 2022	(A1)	(A2)	(A3)	(B1)	(B2)	(A)	(B)	(C)	(D)
	June 2022 Existing Annual Rate	2022 FTY 2% \$24.3M Proposed Change (2)	2022 FTY Remaining \$43.1M Proposed Change (3)	June 2022 Existing Interim Rate	2021 LB Interim Rate	Annual Rate Adjustments (6)	Interim Rate Adjustments (7)	Capacity Rate Adjustments (8)	Net Rate Adjustments (9)
Residential General Service	0.01800	0.00205	0.00452	0.00138	0.00291	0.02047	0.00291	-	0.02338
Interm. General Service	0.01983	0.00225	0.00515	0.00151	0.0032	0.02273	0.0032	-	0.02593
High Load Factor	0.01682	0.00191	0.00456	0.00123	0.0027	0.01947	0.0027	-	0.02217
Large General Service	0.01352	0.00153	0.00358	0.00102	0.00217	0.01557	0.00217	-	0.01774
Alt. Large Gen. Service	0.01408	0.0016	0.00369	0.00107	0.00227	0.01617	0.00227	-	0.01844
Lighting	6.11	0.68	1.61	0.45	0.97	7.04	0.97	-	8.01
	0.04116	0.0049	0.01161	0.00319	0.00695	0.04787	0.00695	-	0.05482

Notes:

- (1) Column A1 reflects the Annual Rate Adjustments effective April 1, 2022.
- (2) Column A2 reflects the proposed maximum initial rate adjustments resulting from the 2022 Evaluation Report pursuant to Section III.B.1, which increases FRP revenues by \$24.3 million effective April 1, 2022.
- (3) Column A3 reflects the recovery of the proposed maximum Annual Rate Adjustment resulting from the 2022 Evaluation Report, which increases FRP revenues by \$43.1 million. This amount takes into consideration expected revenue collected from April 1, 2022 through June 30, 2022 pursuant to the maximum initial rate adjustments resulting from the 2022 Evaluation Report.
- (4) Column B1 reflects the Interim Rate Adjustments effective April 1, 2022 through June 30, 2022.
- (5) Column B2 reflects the Interim Rate Adjustments effective April 1, 2022 through June 30, 2023 from the 2021 Look-back.
- (6) Column A equals Column A1 minus Column A2 plus Column A3.
- (7) Column B equals Column B2. The Interim Rate Adjustments effective April 1, 2022 in Column B1 expire June 30, 2022.
- (8) There are no Interim Capacity Rate Adjustments in effect at this time.
- (9) Column D is the sum Columns A, B, and C.

ENTERGY MISSISSIPPI, LLC
RATE ADJUSTMENT REDETERMINATION FORMULA
TWELVE MONTHS ENDING DECEMBER 31, 2021 (Look-back)

SECTION 1					
RETURN RANGE CHECK FOR RATE SCHEDULE FRP					
LINE NO	DESCRIPTION	REFERENCE			
1	Earned Rate of Return on Rate Base (ERORB)	Attachment B, Pg 1, Ln 3			5.99%
2	Benchmark Rate of Return on Rate Base (BRORB)	Attachment D			6.85%
3	Equity Ratio Adjustment (ERADJ)	Attachment D (0.50% x (Ln 5 / Ln 8 from Att D))			0.24%
4	Performance Adjustment (PADJ)	Attachment F (Ln 6 / 10)			6.29
5	If Line 2 + 0.5% < Line 1	7.35%	FALSE	GO TO Section 2 Ln 8	
6	If Line 2 - 0.5% > Line 1	6.35%	TRUE	GO TO Section 2 Ln 9	
7	Otherwise			No Rate Change Under Section 2	
SECTION 2					
POINT OF ADJUSTMENT					
LINE NO	DESCRIPTION				
8	Point of Adjustment (POA) - Upper Band If PADJ < 2, then POA = BRORB or If $2 \leq \text{PADJ} < 5$, then POA = BRORB + (0.5% - ERADJ) - (((5 - PADJ) / 3) x (0.5% - ERADJ)) or If $5 \leq \text{PADJ} < 9$, then POA = BRORB + 0.5% - (((9 - PADJ) / 4) x ERADJ) or If PADJ ≥ 9, then POA = BRORB + 0.5%				
9	Point of Adjustment (POA) - Lower Band If PADJ < 2, then POA = BRORB - 0.5% or If $2 \leq \text{PADJ} < 5$, then POA = BRORB - ERADJ - (((5 - PADJ) / 3) x (0.5% - ERADJ)) or If $5 \leq \text{PADJ} < 9$, then POA = BRORB - (((9 - PADJ) / 4) x ERADJ) or If PADJ ≥ 9, then POA = BRORB				6.69%
SECTION 3					
RATE ADJUSTMENT					
LINE NO	DESCRIPTION	REFERENCE			
10	Difference in POA and ERORB	(Line 8 or Line 9) - Line 1	0.7025%		
11	Adjusted Rate Base	Attachment B, Pg 2			3,614,832,397
12	Change in Return on Rate Base	Line 10 * Line 11			25,393,169
13	Revenue Conversion Factor	[See Note 1 Below]			1.3524
14	Change in Retail Revenues	Line 12 * Line 13			34,341,547
15	Evaluation Period Retail Revenues	Attachment B, Pg. 3, Ln 1, Col. 3			1,215,153,203
16	Maximum change in Retail Revenues	Line 15 * 4.0%			48,606,128
17	Interim Capacity Rate Adjustments Revenues	[See Note 2 Below]			
18	DSM True-up	[See Note 3 Below]			124,439
19	Change in Rider FRP Revenues	Line 17 + (Lesser of Line 14 or Line 16) [See Note 4 Below]			34,465,985

NOTES:

- (1) The Revenue Conversion Factor = $1 / [(1 - \text{State Tax Rate})(1 - \text{Federal Tax Rate})(1 - \text{Bad Debt Tax Rate} - \text{City Tax Rate})]$.
- (2) This line is not applicable to the 2021 Look-back.
- (3) Paragraph 5 of Attachment K provides for the Demand Side Management ("DSM") true-up to be recovered from or returned to customers outside of the bandwidth formula in Sections 1 and 2 above.
- (4) Any Change in Rider FRP Revenues that is a decrease shall not be a greater decrease than the Maximum Change in Retail Revenues when taken as a negative value.

Equity Ratio Adjustment (ER_{ADJ}) = 0.50% x (Common Equity / Total Capital)

ENTERGY MISSISSIPPI, LLC
RATE ADJUSTMENT REDETERMINATION FORMULA
FOR THE TWELVE MONTHS ENDED DECEMBER 31, 2021
(\$000 OMITTED)

April 2022

Line No.	Rate Class	(A) Allocator ^[1]	(B) Evaluation Period Annualized Incr/(Decr) ^[2]	(C) Lookback Interim Adjustment Incr/(Decr)	(D) FTY Rate Adjustment Incr/(Decr) ^[3]	(E) Total FRP Revenue ^[4]	(F) Billing Units ^[5]	(G) Current Annual Rate Adjustment ^[6]	(H) FTY Rate Adjustment ^[7]	(I) Lookback Interim Rate Adjustment ^[8]	(J) Net Rate Adjustment ^[9]
1	Residential	\$564,689	\$88,264		\$11,360	\$99,624	5,533,765,298 kWh	\$0.01595	\$0.00205	\$0.00138	\$0.01938
2	General Service	\$314,364	\$49,304		\$6,324	\$55,628	2,804,555,861 kWh	\$0.01758	\$0.00225	\$0.00151	\$0.02134
3	Interm. General Service	\$46,630	\$7,335		\$938	\$8,273	491,948,058 kWh	\$0.01491	\$0.00191	\$0.00123	\$0.01805
4	High Load Factor	\$128,260	\$20,245		\$2,580	\$22,825	1,688,484,908 kWh	\$0.01199	\$0.00153	\$0.00102	\$0.01454
5	Large General Service	\$35,775	\$5,618		\$720	\$6,338	450,155,608 kWh	\$0.01248	\$0.00160	\$0.00107	\$0.01515
6	Alt. Large Gen. Service	\$73,795	\$11,773		\$1,485	\$13,258	2,168,160 kW	\$5.43	\$0.68	\$0.45	\$6.56
7	Lighting	\$44,544	\$6,629		\$896	\$7,525	182,831,925 kWh	\$0.03626	\$0.00490	\$0.00319	\$0.04435
8	Total	\$1,208,057	\$189,168	-	\$24,303	\$213,471					

NOTES:

Prepared in accordance with Attachment G of the Rider Schedule FRP-7 (Second Revised).

[1] See Att. G Allocation Revenue tab for the development of the revenue adjustment allocation to the rate classes.

[2] Current Billed FRP Revenues allocated to Rate Classes by Column A. See FRP Annualization tab.

[3] Reflects the maximum initial rate adjustment resulting from the 2022 Evaluation Report of \$24.3 million

[4] Sum of Column B through Column D

[5] See PerBookData tab, column B (12 months Billing Units)

[6] Refer to the Annual Rate Adjustments (A) in Attachment A in the 2021 FRP Order

[7] Column D divided by Column F

[8] Refer to the Annual Rate Adjustments (B) in Attachment A in the 2021 FRP Order with updated rates for Interim Capacity Rate adjustment

[9] Sum of Column G through Column I

ENTERGY MISSISSIPPI, LLC
RATE ADJUSTMENT REDETERMINATION FORMULA
FOR THE TWELVE MONTHS ENDED DECEMBER 31, 2021
(\$000 OMITTED)

July 2022

Line No.	Rate Class	[A] Allocator ^[1]	[B] Evaluation Period Annualized Incr/(Decr) ^[2]	[C] Lookback Interim Adjustment Incr/(Decr) ^[3]	[D] FTY Rate Adjustment Incr/(Decr) ^[4]	[E] Total FRP Revenue ^[5]	[F] Billing Units ^[6]	[G] Current Annual Rate Adjustment ^[7]	[H] FTY Rate Adjustment ^[8]	[I] Lookback Interim Rate Adjustment ^[9]	[J] Net Rate Adjustment ^[10]
1	Residential	\$564,689	\$88,264	\$16,111	\$20,117	\$124,492	5,533,765,298 kWh	\$0.01595	\$0.00452	\$0.00291	\$0.02338
2	General Service	\$314,364	\$49,304	\$8,969	\$11,199	\$69,472	2,804,555,861 kWh	\$0.01758	\$0.00515	\$0.00320	\$0.02593
3	Intern. General Service	\$46,630	\$7,335	\$1,330	\$1,661	\$10,326	491,948,058 kWh	\$0.01491	\$0.00456	\$0.00270	\$0.02217
4	High Load Factor	\$128,260	\$20,245	\$3,659	\$4,569	\$28,473	1,688,484,908 kWh	\$0.01199	\$0.00358	\$0.00217	\$0.01774
5	Large General Service	\$35,775	\$5,618	\$1,021	\$1,274	\$7,913	450,155,608 kWh	\$0.01248	\$0.00369	\$0.00227	\$0.01844
6	Alt. Large Gen. Service	\$73,795	\$11,773	\$2,105	\$2,629	\$16,507	2,168,160 kW	\$5.43	\$1.61	\$0.97	\$8.01
7	Lighting	\$44,544	\$6,629	\$1,271	\$1,587	\$9,487	182,831,925 kWh	\$0.03626	\$0.01161	\$0.00695	\$0.05482
8	Total	\$1,208,057	\$189,168	\$34,466	\$43,036	\$266,670					

NOTES:

Prepared in accordance with Attachment G of the Rider Schedule FRP-7 (Second Revised).

[1] See Att. G Allocation Revenue tab for the development of the revenue adjustment allocation to the rate classes.

[2] Current Billed FRP Revenues allocated to Rate Classes by Column A. See FRP Annualization tab.

[3] Reflects the revenue change from the 2021 Look-back of \$34.3 million and DSM true-up of \$124k, which will be recovered over the twelve months

[4] Reflects the maximum initial rate adjustment resulting from the 2022 Evaluation Report of \$24.3 million

[5] Reflects the maximum Annual Rate Adjustment resulting from the 2022 Evaluation Report, which increases FRP revenues by \$43.0 million, allocated over 9 months

[6] Sum of Column B through Column D

[7] See PerBookData tab, column B (12 months Billing Units)

[8] Refer to the Annual Rate Adjustments (A) in Attachment A in the 2021 FRP Order

[9] Refer to the Annual Rate Adjustments (A) in Attachment A in the FTY Rate Increase capped at 4% already recovered from Apr-Jun 2022 and allocated over remaining 9 months

[10] Column C divided by Column F

[11] Sum of Column G through Column I

Amounts may not add or tie to other schedules due to rounding

2.3

ENTERGY MISSISSIPPI, LLC
EARNED RATE OF RETURN ON RATE BASE FORMULA
TWELVE MONTHS ENDED DECEMBER 31, 2021 (Look-back)

(1) Line No	(2) Description	(3) Adjusted Amount	(4) Reference
1	TOTAL RATE BASE	3,614,832,397	Page 2, Line 19
2	NET UTILITY OPERATING INCOME	216,374,031	Page 3, Line 35
3	EARNED RATE OF RETURN ON RATE BASE	5.99%	Line 2 / Line 1

ENTERGY MISSISSIPPI, LLC
RATE BASE
TWELVE MONTHS ENDED DECEMBER 31, 2021 (Look-back)

(1) Line No	(2) Description	(3) Per Books	(4) Adjustments (A)	(5) Adjusted Amount	(6) Reference
1	PLANT IN SERVICE (101)	6,196,089,402	(2,008,211)	6,194,081,191	
2	ACCUMULATED DEPRECIATION (108)	(1,933,392,587)	731,069	(1,932,661,518)	
3	NET UTILITY PLANT	4,262,696,815	(1,277,142)	4,261,419,673	Line 1 + Line 2
4	CONSTRUCTION WORK IN PROGRESS (107) (B)	-	-	-	
5	PLANT ACQUISITION ADJUSTMENT	83,828,314	-	83,828,314	
6	AMORTIZATION ACQUISITION ADJUSTMENT	(16,439,214)	-	(16,439,214)	
7	FUEL INVENTORY (151, 152, & 158) (C, E)	14,479,400	-	14,479,400	
8	MATERIALS & SUPPLIES (154 & 163) (C)	66,058,453	(447)	66,058,006	
9	PREPAYMENTS (165) (C)	15,387,730	-	15,387,730	
10	ACCUM DEF INCOME TAXES (190, 282, & 283)	(630,627,790)	(202,759,279)	(833,387,069)	
11	CUSTOMER DEPOSITS (235)	(86,183,305)	-	(86,183,305)	
12	CUSTOMER ADVANCES (252)	(0)	-	(0)	
13	ACCUM PROV FOR PROPERTY INS. (228) (C)	(30,854,963)	33,205,650	2,350,687	
14	OTHER POST EMPLOYMENT BENEFIT (C)	32,847,509	(6,606,526)	26,240,983	
15	ACCUM PROV FOR INJURIES & DAMAGES (228) (C)	(4,904,947)	-	(4,904,947)	
16	PENSIONS (253) (C)	(130,483,833)	222,958,162	92,474,329	
17	OTHER (D)	-	(11,907,398)	(11,907,398)	
18	REGULATORY ASSETS	-	5,415,209	5,415,209	
19	TOTAL RATE BASE	3,575,804,169	39,028,228	3,614,832,397	Sum Lines 3 - 18

NOTES: Plant in service calculated using the Company average balances based on the "FERC Method," which utilized 13-month averages (average monthly ending balance from December to December) for all Production and Transmission related investment balances and beginning-ending average (average of December of prior year and December of Evaluation Period ending balance) for Distribution and General Plant related investment balances, unless otherwise indicated.

- (A) ADJUSTMENTS DEFINED IN ATTACHMENT C
- (B) CWIP PROJECTED TO BE TRANSFERRED TO PLANT WITHIN 12 MONTHS OF THE END OF THE EVALUATION PERIOD
- (C) 13 MONTH AVERAGE BALANCES
- (D) OTHER ITEMS INCLUDED PURSUANT TO SECTION 6 OF ATTACHMENT C
- (E) FUEL INVENTORY INCLUDES ALLOWANCES

ENTERGY MISSISSIPPI, LLC
OPERATING INCOME STATEMENT
TWELVE MONTHS ENDED DECEMBER 31, 2021 (Look-back)

(1) Line No	(2) Description	(3) Per Books	(4) Adjustments (A)	(5) Adjusted Amount	(6) Reference
	REVENUES				
1	RATE SCHEDULE REVENUE (440, 442, 444 & 445)	1,215,153,203	(231,664,429)	983,488,774	
2	EPP, SYSTEM SALES, & PROVISION FOR RATE REFUND (447 & 449)	124,631,972	(31,532)	124,600,440	
3	OTHER ELECTRIC REVENUE (411, 450, 451, 454, 456 & 459)	66,561,292	(47,949,956)	18,611,336	
4	TOTAL OPERATING REVENUES	1,406,346,467	(279,645,917)	1,126,700,550	Sum of Lines 1 - 3
	EXPENSES				
	OPERATION & MAINTENANCE				
	PRODUCTION				
5	OPERATION (500, 502, 505, 506, 507, 546 & 548-550)	26,471,685	(304,904)	26,166,781	
6	MAINTENANCE (510, 511, 512, 513, 514, 551-554)	38,555,619	(328,300)	38,227,319	
7	FUEL (501 & 509)	318,080,933	21,499,986	339,580,919	
8	PURCHASED POWER (555)	297,967,897	(204,598,935)	93,368,963	
9	SYSTEM CONTROL (556)	676,994	(211)	676,784	
10	OTHER PROD EXP & CREDITS (557)	(136,362,952)	(194,906)	(136,557,858)	
11	TOTAL PRODUCTION	545,390,176	(183,927,269)	361,462,907	Sum of Lines 5 - 10
12	TRANSMISSION (560-573)	28,707,247	(15,763,900)	12,943,347	
13	REGIONAL MARKET	2,673,202	(2,673,202)	-	
14	DISTRIBUTION (580-598)	60,146,539	(17,972,002)	42,174,538	
15	CUSTOMER ACCOUNTING (901-905)	26,495,022	(1,184,161)	25,310,862	
16	CUSTOMER SERVICES (907-910)	6,485,722	(310,765)	6,174,958	
17	SALES (911-916)	1,184,849	(22,992)	1,161,856	
18	ADMINISTRATIVE & GENERAL (920-931 & 935)	111,601,716	(10,717,864)	100,883,852	
19	TOTAL O & M EXPENSE	782,684,474	(232,572,154)	550,112,319	Sum of Lines 11 - 18
20	GAIN ON DISPOSITION OF ALLOWANCES (411.8)	-	-	-	
21	GAIN ON DISPOSITION OF UTILITY PLANT	-	-	-	
22	REGULATORY DEBITS & CREDITS (407)	5,912,721	(5,368,432)	544,289	
23	INTEREST ON CUSTOMER DEPOSITS (431.001)	-	834,663	834,663	
24	OTHER CREDIT FEES	-	250,058	250,058	
25	DEPRECIATION & AMORTIZATION EXP (403 & 404)	223,990,586	(564,039)	223,426,547	
26	AMORTIZATION OF PLANT ACQUISITION ADJUSTMENT	2,722,019	-	2,722,019	
27	TAXES OTHER THAN INCOME (408)	111,711,558	(20,578,739)	91,132,820	
28	STATE INCOME TAX (409)	(10,812,857)	1,528,029	(9,284,828)	Page 4, Line 18
29	FEDERAL INCOME TAX (409)	(3,023,595)	(22,493,831)	(25,517,425)	Page 4, Line 26
30	DEFERRED FEDERAL INCOME TAX (410 & 411)	35,831,721	21,103,617	56,935,337	
31	DEFERRED STATE INCOME TAX (410 & 411)	22,941,537	(3,533,166)	19,408,372	
32	INVESTMENT TAX CREDIT (411.43)	1,836,307	(2,073,959)	(237,651)	
33	OTHER (B)	-	-	-	
34	TOTAL UTILITY OPERATING EXPENSES	1,173,794,472	(263,467,953)	910,326,519	Sum of Lines 19 - 33
35	NET UTILITY OPERATING INCOME	232,551,996	(16,177,964)	216,374,031	Line 4 - Line 34

NOTES:

(A) ADJUSTMENTS DEFINED IN ATTACHMENT C

(B) OTHER ITEMS INCLUDED PURSUANT TO SECTION 6 OF ATTACHMENT C

Amounts may not add or tie to other schedules due to rounding

3.3

ENTERGY MISSISSIPPI, LLC
INCOME TAX CALCULATION
TWELVE MONTHS ENDED DECEMBER 31, 2021 (Look-back)

(1) Line No	(2) Description	(3) Per Books	(4) Adjustments (A)	(5) Adjusted Amount	(6) Reference
1	TOTAL OPERATING REVENUES	1,406,346,467	(279,645,917)	1,126,700,550	Page 3, Line 4
2	TOTAL O&M EXPENSE	782,684,474	(232,572,154)	550,112,319	Page 3, Line 19
3	GAIN ON DISPOSITION OF ALLOWANCES	-	-	-	Page 3, Line 20
4	GAIN ON DISPOSITION OF UTILITY PLANT	-	-	-	Page 3, Line 21
5	REGULATORY DEBITS AND CREDITS	5,912,721	(5,368,432)	544,289	Page 3, Line 22
6	INTEREST ON CUSTOMER DEPOSITS	-	834,663	834,663	Page 3, Line 23
7	OTHER CREDIT FEES	-	250,058	250,058	Page 3, Line 24
8	DEPRECIATION AND AMORTIZATION EXPENSE	223,990,586	(564,039)	223,426,547	Page 3, Line 25
9	AMORTIZATION OF PLANT ACQUISITION ADJUSTMENT	2,722,019	-	2,722,019	Page 3, Line 26
10	TAXES OTHER THAN INCOME	111,711,558	(20,578,739)	91,132,820	Page 3, Line 27
11	NET INCOME BEFORE INCOME TAXES	279,325,109	(21,647,273)	257,677,836	Line 1 - Sum of Lines 2 - 10
12	ADJUSTMENTS TO NET INCOME BEFORE TAXES	(271,329,275)	(121,470,110)	(392,799,385)	
13	FEDERAL TAXABLE INCOME	7,995,835	(143,117,383)	(135,121,549)	Line 11 + Line 12
14	STATE ADJUSTMENTS	(1)	(53,703,168)	(53,703,169)	
	COMPUTATION OF STATE INCOME TAX				
15	STATE TAXABLE INCOME	7,995,834	(196,820,551)	(188,824,718)	Line 13 + Line 14
16	STATE INCOME TAX BEFORE ADJUSTMENTS	399,792	(9,841,028)	(9,441,236)	Line 15 * St Tax Rate (5%)
17	ADJUSTMENTS TO STATE TAX	(11,212,649)	11,369,057	156,408	
18	TOTAL STATE INCOME TAX	(10,812,857)	1,528,029	(9,284,828)	Line 16 + Line 17
	COMPUTATION OF FEDERAL INCOME TAX				
19	FEDERAL TAXABLE INCOME	7,995,835	(143,117,383)	(135,121,549)	Line 13
20	STATE INCOME TAX BEFORE ADJUSTMENTS	(399,792)	9,841,028	9,441,236	Minus Line 16
21	70% DIVIDENDS REC. DEDUCTION	-	-	-	
22	DIVIDENDS PAID DEDUCTION	-	-	-	
23	TOTAL FEDERAL TAXABLE INCOME	7,596,043	(133,276,356)	(125,680,313)	Sum of Lines 19 - 22
24	FEDERAL INCOME TAX BEFORE ADJUSTMENTS	1,595,169	(27,988,035)	(26,392,866)	Line 23 * Fed Tax Rate (21%)
25	ADJUSTMENTS TO FEDERAL TAX	(4,618,764)	5,494,204	875,440	
26	TOTAL FEDERAL INCOME TAX	(3,023,595)	(22,493,831)	(25,517,425)	Line 24 + Line 25
27	TOTAL INCOME TAX	(13,836,452)	(20,965,801)	(34,802,253)	Line 18 + Line 26

NOTES:

(A) ADJUSTMENTS DEFINED IN ATTACHMENT C

Amounts may not add or tie to other schedules due to rounding

****MPSC Electronic Copy ** 2018-UN-205 Filed On 3/1/2022****

ENTERGY MISSISSIPPI, LLC

**Formula Rate Plan
FRP-7 (Second Revised)**

**Evaluation Report &
Workpapers**

Public

Rate Effective Year Ending December 31, 2022

**Entergy Mississippi, LLC
Formula Rate Plan
Evaluation Report for the
Rate Effective Year Ending December 31, 2022**

Table of Contents

Description	Section
<u>EVALUATION REPORT</u>	
Rate Adjustments (Attachment A)	1
Rate Adjustment Redetermination Formula (Attachment G)	2
Rate of Return on Rate Base (Attachment B)	3
Adjustments (Attachment C)	4
Benchmark Rate of Return on Rate Base (BRORB) and Evaluation Period Cost of Common Equity (EPCOE) (Attachments D and E)	5
Performance Rating Adjustments (Attachment F)	6

Rider Schedule FRP-7 (Second Revised)
Attachment A
April 2022

RATE ADJUSTMENTS

The following Net Rate Adjustments will be added to the Net Monthly Rates or Net Seasonal Rates set forth in Entergy Mississippi, LLC ("EML") currently effective rate schedules identified below, or such superseding rate schedules as may be ordered by the Commission, or such other rate schedules of EML subject to the Schedule FRP that may become effective, whether or not such schedules supersede any of the rate schedules below, but not including special contracts entered into pursuant to Miss. Code Ann. Sec. 77-3-35(1) that do not specifically and explicitly incorporate this Schedule into the contract. The Net Rate Adjustments shall be effective for bills rendered on and after the first billing cycle of April 2022:

Rate Class	Rate Schedules	(A) Annual Rate Adjustments	(B) Interim Rate Adjustments	(C) Interim Capacity Rate Adjustments	(A) + (B) + (C) Net Rate Adjustments
Residential	RS-38C, RS-38W, Other Residential Rates	\$0.01800/kWh	\$0.00138/kWh	\$0.00000/kWh	\$0.01938/kWh
General Service	GS-298, SWH-20, IPS-26, IP-33, MP-22, Other General Service Rates	\$0.01983/kWh	\$0.00151/kWh	\$0.00000/kWh	\$0.02134/kWh
Intermediate Gen. Svc.	B-34, CG-29	\$0.01682/kWh	\$0.00123/kWh	\$0.00000/kWh	\$0.01805/kWh
High Load Factor Svc.	HLF-7	\$0.01352/kWh	\$0.00102/kWh	\$0.00000/kWh	\$0.01454/kWh
Large General Service	C-29, OM-31, SE-29	\$0.01408/kWh	\$0.00107/kWh	\$0.00000/kWh	\$0.01515/kWh
Alt. Large General Svc.	ALGS-10	\$6.11/kW	\$0.45/kW	\$0.00/kW	\$6.56/kW
Lighting	PAL-17, DSL-16, LED-2 SL-37, HL-21, TF-23, UFL-16, RFL-16, Other Lighting Rates	\$0.04116/kWh	\$0.00319/kWh	\$0.00000/kWh	\$0.04435/kWh

April 2022		(A1)	(A2)	(B1)	(B2)	(A)	(B)	(C)	(D)
		Mar 2022 Existing Annual Rate Adjustments (1)	2022 FTY 2% \$24.3M Proposed Change (2)	Mar 2022 Existing Interim Rate Adjustments (3)	Approved Choctaw True-Up (4)	Annual Rate Adjustments (5)	Interim Rate Adjustments (6)	Capacity Rate Adjustments (7)	Net Rate Adjustments (8)
Residential		0.01595	0.00205	0.00153	0.00015	0.01800	0.00138	-	0.01938
General Service		0.01758	0.00225	0.00167	0.00016	0.01983	0.00151	-	0.02134
Interm. General Service		0.01491	0.00191	0.00136	0.00013	0.01682	0.00123	-	0.01805
High Load Factor		0.01199	0.00153	0.00113	0.00011	0.01352	0.00102	-	0.01454
Large General Service		0.01248	0.0016	0.00119	0.00012	0.01408	0.00107	-	0.01515
Alt. Large Gen. Service		5.43	0.68	0.5	0.05	6.11	0.45	-	6.56
Lighting		0.03626	0.0049	0.00354	0.00035	0.04116	0.00319	-	0.04435

Notes:

- (1) Column A1 reflects the Annual Rate Adjustments effective July 1, 2021.
- (2) Column A2 reflects the proposed maximum initial rate adjustments resulting from the 2022 Evaluation Report pursuant to Section III.B.1, which increases FRP revenues by \$24.3 million.
- (3) Column B1 reflects the Interim Rate Adjustments effective July 1, 2021 through June 30, 2022. The Interim Rate Adjustments include the Choctaw Annual Capacity Costs ("ACC") True-Up of \$1.7 million effective April 1, 2021 through March 31, 2022
- (4) Column B2 is the Choctaw ACC True-Up of \$1.7 million effective April 1, 2021 through March 31, 2022.
- (5) Column A equals the sum of Columns A1 and A2.
- (6) Column B equals Column B1 minus Column B2.
- (7) There are no Interim Capacity Rate Adjustments in effect at this time.
- (8) Column D is the sum Columns A, B, and C.

Rider Schedule FRP-7 (Second Revised)
Attachment A
July 2022

RATE ADJUSTMENTS

The following Net Rate Adjustments will be added to the Net Monthly Rates or Net Seasonal Rates set forth in Entergy Mississippi, LLC ("EML") currently effective rate schedules identified below, or such superseding rate schedules as may be ordered by the Commission, or such other rate schedules of EML subject to the Schedule FRP that may become effective, whether or not such schedules supersede any of the rate schedules below, but not including special contracts entered into pursuant to Miss. Code Ann. Sec. 77-3-35(1) that do not specifically and explicitly incorporate this Schedule into the contract. The Net Rate Adjustments shall be effective for bills rendered on and after the first billing cycle of July 2022:

Rate Class	Rate Schedules	(A) Annual Rate Adjustments	(B) Interim Rate Adjustments	(C) Interim Capacity Rate Adjustments	(A) + (B) + (C) Net Rate Adjustments
Residential	RS-38C, RS-38W, Other Residential Rates	\$0.02047/kWh	\$0.00291/kWh	\$0.00000/kWh	\$0.02338/kWh
General Service	GS-298, SWH-20, IPS-26, IP-33, MP-22, Other General Service Rates	\$0.02273/kWh	\$0.00320/kWh	\$0.00000/kWh	\$0.02593/kWh
Intermediate Gen. Svc.	B-34, CG-29	\$0.01947/kWh	\$0.00270/kWh	\$0.00000/kWh	\$0.02217/kWh
High Load Factor Svc.	HLF-7	\$0.01557/kWh	\$0.00217/kWh	\$0.00000/kWh	\$0.01774/kWh
Large General Service	C-29, OM-31, SE-29	\$0.01617/kWh	\$0.00227/kWh	\$0.00000/kWh	\$0.01844/kWh
Alt. Large General Svc.	ALGS-10	\$7.04/kW	\$0.97/kW	\$0.00/kW	\$8.01/kW
Lighting	PAL-17, DSL-16, LED-2 SL-37, HL-21, TF-23, UFL-16, RFL-16, Other Lighting Rates	\$0.04787/kWh	\$0.00695/kWh	\$0.00000/kWh	\$0.05482/kWh

July 2022	(A1)	(A2)	(A3)	(B1)	(B2)	(A)	(B)	(C)	(D)
	June 2022 Existing Annual Rate	2022 FTY 2% \$24.3M Proposed Change (2)	2022 FTY Remaining \$43.1M Proposed Change (3)	June 2022 Existing Interim Rate	2021 LB Interim Rate	Annual Rate Adjustments (6)	Interim Rate Adjustments (7)	Capacity Rate Adjustments (8)	Net Rate Adjustments (9)
Residential General Service	0.01800	0.00205	0.00452	0.00138	0.00291	0.02047	0.00291	-	0.02338
Interm. General Service	0.01983	0.00225	0.00515	0.00151	0.0032	0.02273	0.0032	-	0.02593
High Load Factor	0.01682	0.00191	0.00456	0.00123	0.0027	0.01947	0.0027	-	0.02217
Large General Service	0.01352	0.00153	0.00358	0.00102	0.00217	0.01557	0.00217	-	0.01774
Alt. Large Gen. Service	0.01408	0.0016	0.00369	0.00107	0.00227	0.01617	0.00227	-	0.01844
Lighting	6.11	0.68	1.61	0.45	0.97	7.04	0.97	-	8.01
	0.04116	0.0049	0.01161	0.00319	0.00695	0.04787	0.00695	-	0.05482

Notes:

- (1) Column A1 reflects the Annual Rate Adjustments effective April 1, 2022.
- (2) Column A2 reflects the proposed maximum initial rate adjustments resulting from the 2022 Evaluation Report pursuant to Section III.B.1, which increases FRP revenues by \$24.3 million effective April 1, 2022.
- (3) Column A3 reflects the recovery of the proposed maximum Annual Rate Adjustment resulting from the 2022 Evaluation Report, which increases FRP revenues by \$43.1 million. This amount takes into consideration expected revenue collected from April 1, 2022 through June 30, 2022 pursuant to the maximum initial rate adjustments resulting from the 2022 Evaluation Report.
- (4) Column B1 reflects the Interim Rate Adjustments effective April 1, 2022 through June 30, 2022.
- (5) Column B2 reflects the Interim Rate Adjustments effective April 1, 2022 through June 30, 2023 from the 2021 Look-back.
- (6) Column A equals Column A1 minus Column A2 plus Column A3.
- (7) Column B equals Column B2. The Interim Rate Adjustments effective April 1, 2022 in Column B1 expire June 30, 2022.
- (8) There are no Interim Capacity Rate Adjustments in effect at this time.
- (9) Column D is the sum Columns A, B, and C.

ENTERGY MISSISSIPPI, LLC
RATE ADJUSTMENT REDETERMINATION FORMULA
FOR THE RATE EFFECTIVE YEAR ENDING DECEMBER 31, 2022

SECTION 1					
RETURN RANGE CHECK FOR RATE SCHEDULE FRP					
LINE NO	DESCRIPTION	REFERENCE			
1	Earned Rate of Return on Rate Base (ERORB)	Attachment B, Pg 1, Ln 3			5.14%
2	Benchmark Rate of Return on Rate Base (BRORB)	Attachment D			6.70%
3	Equity Ratio Adjustment (ERADJ)	Attachment D (0.50% x (Ln 5 / Ln 8 from Att D))			0.23%
4	Performance Adjustment (PADJ)	Attachment F (Ln 6 / 10)			4.65
5	If Line 2 + 0.5% < Line 1	7.20%	FALSE	GO TO Section 2 Ln 8	
6	If Line 2 - 0.5% > Line 1	6.20%	TRUE	GO TO Section 2 Ln 9	
7	Otherwise			No Rate Change Under Section 2	
SECTION 2					
POINT OF ADJUSTMENT					
LINE NO	DESCRIPTION				
8	Point of Adjustment (POA) - Upper Band If PADJ < 2, then POA = BRORB or If 2 ≤ PADJ < 5, then POA = BRORB + (0.5% - ERADJ) - (((5 - PADJ) / 3) x (0.5% - ERADJ)) or If 5 ≤ PADJ < 9, then POA = BRORB + 0.5% - (((9 - PADJ) / 4) x ERADJ) or If PADJ ≥ 9, then POA = BRORB + 0.5%				
9	Point of Adjustment (POA) - Lower Band If PADJ < 2, then POA = BRORB - 0.5% or If 2 ≤ PADJ < 5, then POA = BRORB - ERADJ - (((5 - PADJ) / 3) x (0.5% - ERADJ)) or If 5 ≤ PADJ < 9, then POA = BRORB - (((9 - PADJ) / 4) x ERADJ) or If PADJ ≥ 9, then POA = BRORB				6.44%
SECTION 3					
RATE ADJUSTMENT					
LINE NO	DESCRIPTION	REFERENCE			
10	Difference in POA and ERORB	(Line 8 or Line 9) - Line 1	1.2913%		
11	Adjusted Rate Base	Attachment B, Pg 2			3,949,547,994
12	Change in Return on Rate Base	Line 10 * Line 11			51,000,736
13	Revenue Conversion Factor	[See Note 1 Below]			1.3524
14	Change in Retail Revenues	Line 12 * Line 13			68,973,044
15	Evaluation Period Retail Revenues	Attachment B, Pg. 3, Ln 1, Col. 3			1,215,153,203
16	Maximum change in Retail Revenues	Line 15 * 4.0%			48,606,128
17	Interim Capacity Rate Adjustments Revenues	[See Note 2 Below]			
18	DSM True-up	[See Note 3 Below]			
19	Change in Rider FRP Revenues	Line 17 + (Lesser of Line 14 or Line 16) [See Note 4 Below]			48,606,128

NOTES:

- (1) The Revenue Conversion Factor = $1 / [(1 - \text{State Tax Rate})(1 - \text{Federal Tax Rate})(1 - \text{Bad Debt Tax Rate} - \text{City Tax Rate})]$.
- (2) This line is not applicable to the 2022 Evaluation Report.
- (3) This line is not applicable to the 2022 Evaluation Report.
- (4) Any Change in Rider FRP Revenues that is a decrease shall not be a greater decrease than the Maximum Change in Retail Revenues when taken as a negative value.

$$\text{Equity Ratio Adjustment (ER}_{ADJ}) = 0.50\% \times (\text{Common Equity} / \text{Total Capital})$$

ENTERGY MISSISSIPPI, LLC
RATE ADJUSTMENT REDETERMINATION FORMULA
FOR THE TWELVE MONTHS ENDED DECEMBER 31, 2021
(\$000 OMITTED)



April 2022

Line No.	Rate Class	(A) Allocator ^[1]	(B) Evaluation Period Annualized Incr/(Decr) ^[2]	(C) Lookback Interim Adjustment Incr/(Decr)	(D) FTY Rate Adjustment ^[3]	(E) Total FRP Revenue ^[4]	(F) Billing Units ^[5]	(G) Current Annual Rate Adjustment ^[6]	(H) FTY Rate Adjustment ^[7]	(I) Lookback Interim Rate Adjustment ^[8]	(J) Net Rate Adjustment ^[9]
1	Residential	\$564,689	\$88,264		\$11,360	\$99,624	5,533,765,298 kWh	\$0.01595	\$0.00205	\$0.00138	\$0.01938
2	General Service	\$314,364	\$49,304		\$6,324	\$55,628	2,804,555,861 kWh	\$0.01758	\$0.00225	\$0.00151	\$0.02134
3	Interm. General Service	\$46,630	\$7,335		\$938	\$8,273	491,948,058 kWh	\$0.01491	\$0.00191	\$0.00123	\$0.01805
4	High Load Factor	\$128,260	\$20,245		\$2,580	\$22,825	1,688,484,908 kWh	\$0.01199	\$0.00153	\$0.00102	\$0.01454
5	Large General Service	\$35,775	\$5,618		\$720	\$6,338	450,155,608 kWh	\$0.01248	\$0.00160	\$0.00107	\$0.01515
6	Alt. Large Gen. Service	\$73,795	\$11,773		\$1,485	\$13,258	2,168,160 kW	\$5.43	\$0.68	\$0.45	\$6.56
7	Lighting	\$44,544	\$6,629		\$896	\$7,525	182,831,925 kWh	\$0.03626	\$0.00490	\$0.00319	\$0.04435
8	Total	\$1,208,057	\$189,168	-	\$24,303	\$213,471					

NOTES:

Prepared in accordance with Attachment G of the Rider Schedule FRP-7 (Second Revised).

[1] See Att. G Allocation Revenue tab for the development of the revenue adjustment allocation to the rate classes.

[2] Current Billed FRP Revenues allocated to Rate Classes by Column A. See FRP Annualization tab.

[3] Reflects the maximum initial rate adjustment resulting from the 2022 Evaluation Report of \$24.3 million

[4] Sum of Column B through Column D

[5] See PerBookData tab, column B (12 months Billing Units)

[6] Refer to the Annual Rate Adjustments (A) in Attachment A in the 2021 FRP Order

[7] Column D divided by Column F

[8] Refer to the Annual Rate Adjustments (B) in Attachment A in the 2021 FRP Order with updated rates for Interim Capacity Rate adjustment

[9] Sum of Column G through Column I

Amounts may not add or tie to other schedules due to rounding

2.2

ENTERGY MISSISSIPPI, LLC
RATE ADJUSTMENT REDETERMINATION FORMULA
FOR THE TWELVE MONTHS ENDED DECEMBER 31, 2021
(\$000 OMITTED)

July 2022

Line No.	Rate Class	[A] Allocator ^[1]	[B] Evaluation Period Annualized Incr/(Decr) ^[2]	[C] Lookback Interim Adjustment Incr/(Decr) ^[3]	[D] FTY Rate Adjustment Incr/(Decr) ^[4]	[E] Total FRP Revenue ^[5]	[F] Billing Units ^[6]	[G] Current Annual Rate Adjustment ^[7]	[H] FTY Rate Adjustment ^[8]	[I] Lookback Interim Rate Adjustment ^[9]	[J] Net Rate Adjustment ^[10]
1	Residential	\$564,689	\$88,264	\$16,111	\$20,117	\$124,492	5,533,765,298 kWh	\$0.01595	\$0.00452	\$0.00291	\$0.02338
2	General Service	\$314,364	\$49,304	\$8,969	\$11,199	\$69,472	2,804,555,861 kWh	\$0.01758	\$0.00515	\$0.00320	\$0.02593
3	Intern. General Service	\$46,630	\$7,335	\$1,330	\$1,661	\$10,326	491,948,058 kWh	\$0.01491	\$0.00456	\$0.00270	\$0.02217
4	High Load Factor	\$128,260	\$20,245	\$3,659	\$4,569	\$28,473	1,688,484,908 kWh	\$0.01199	\$0.00358	\$0.00217	\$0.01774
5	Large General Service	\$35,775	\$5,618	\$1,021	\$1,274	\$7,913	450,155,608 kWh	\$0.01248	\$0.00369	\$0.00227	\$0.01844
6	Alt. Large Gen. Service	\$73,795	\$11,773	\$2,105	\$2,629	\$16,507	2,168,160 kW	\$5.43	\$1.61	\$0.97	\$8.01
7	Lighting	\$44,544	\$6,629	\$1,271	\$1,587	\$9,487	182,831,925 kWh	\$0.03626	\$0.01161	\$0.00695	\$0.05482
8	Total	\$1,208,057	\$189,168	\$34,466	\$43,036	\$266,670					

NOTES:

Prepared in accordance with Attachment G of the Rider Schedule FRP-7 (Second Revised).

[1] See Att. G Allocation Revenue tab for the development of the revenue adjustment allocation to the rate classes.

[2] Current Billed FRP Revenues allocated to Rate Classes by Column A. See FRP Annualization tab.

[3] Reflects the revenue change from the 2021 Look-back of \$34.3 million and DSM true-up of \$124k, which will be recovered over the twelve months

[4] Reflects the maximum initial rate adjustment resulting from the 2022 Evaluation Report of \$24.3 million

[5] Reflects the maximum Annual Rate Adjustment resulting from the 2022 Evaluation Report, which increases FRP revenues by \$43.0 million, allocated over 9 months

[6] Sum of Column B through Column D

[7] See PerBookData tab, column B (12 months Billing Units)

[8] Refer to the Annual Rate Adjustments (A) in Attachment A in the 2021 FRP Order

[9] Refer to the Annual Rate Adjustments (A) in Attachment A in the FTY Rate Increase capped at 4% already recovered from Apr-Jun 2022 and allocated over remaining 9 months

[10] Column C divided by Column F

[11] Sum of Column G through Column I

Amounts may not add or tie to other schedules due to rounding

2.3

BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC	IN RE:	NOTICE OF INTENT OF ENTERGY
EC123-0082-00		MISSISSIPPI, INC. TO IMPLEMENT
2018-UN-205		REVISIONS TO THE FORMULA RATE
		PLAN

DIRECT TESTIMONY

OF

J. ROBBIN JETER

VICE PRESIDENT, DISTRIBUTION OPERATIONS

ENTERGY MISSISSIPPI, LLC

ON BEHALF OF

ENTERGY MISSISSIPPI, LLC

MARCH 2022

TABLE OF CONTENTS

I.	INTRODUCTION AND BACKGROUND	1
II.	OVERVIEW OF THE FRP SUBMITTAL	3
III.	EML’S 2022 PLANNED CAPTIAL ADDITIONS	13

I. INTRODUCTION AND BACKGROUND

Q1. PLEASE STATE YOUR NAME AND BUSINESS ADDRESS.

A. My name is J. Robbin Jeter. I am employed by Entergy Mississippi, LLC (“Entergy Mississippi,” “EML,” or the “Company”) as Vice President, Distribution Operations. My business address is 308 East Pearl Street, Jackson, Mississippi 39201.

Q2. PLEASE DESCRIBE YOUR EDUCATIONAL AND PROFESSIONAL BACKGROUND.

A. I hold a Bachelor of Science degree in Electrical Engineering from Mississippi State University and a Master of Business Administration from Millsaps College. My career within the Entergy System spans 36 years in Mississippi. I have worked within the Entergy System as a substation design engineer, distribution field design engineer, industrial account representative, major account manager, and network manager.

In 2004, I became Central Region Manager for Entergy Mississippi, overseeing distribution construction and restoration activities (including Hurricane Katrina) for Jackson, Madison, and Rankin networks. Then, in 2008, I was named Operations Manager for Entergy Mississippi, and, in that capacity, I oversaw restoration work in the entire state following Hurricane Gustav. In 2010, I was promoted to Transmission and Distribution Operations Director for Entergy Mississippi. In January 2014, I was promoted to the position of Vice President, Customer Service. In 2019, EML split distribution operations and customer service into separate business units, and I retained responsibility for distribution operations.

1 Q3. WHAT ARE YOUR CURRENT DUTIES WITH ENTERGY MISSISSIPPI?

2 A. I am responsible for overseeing all aspects of electric service and reliability to
3 approximately 461,000 retail electric customers that are served by EML in parts of 45
4 counties in western Mississippi. My specific responsibilities include, but are not limited
5 to, overseeing or managing safety, operations, construction, reliability improvement,
6 customer service, engineering, asset planning, distribution dispatching, meter services,
7 contract management, and emergency restoration for the Company's distribution systems.

8
9 Q4. HAVE YOU TESTIFIED BEFORE THIS COMMISSION PREVIOUSLY?

10 A. Yes, I previously have filed written testimony with the Mississippi Public Service
11 Commission (the "Commission").
12

13 Q5. WHAT IS THE PURPOSE OF YOUR TESTIMONY AS PRESENTED HEREIN?

14 A. The purpose of my testimony is to support the Company's 2022 submittal under Formula
15 Rate Plan Rider Schedule FRP-7 (Second Revised) ("Schedule FRP-7", "Schedule FRP",
16 "Formula Rate Plan" or "FRP"). Accordingly, I provide an overview of EML's 2022
17 Evaluation Report and 2021 Look-back. In doing so, I address some of the same topics
18 that EML has previously discussed in testimony before the Commission, including the over
19 \$2.5 billion of infrastructure modernization improvements that EML has made since 2015.
20 I also discuss the distribution infrastructure improvements that EML is undertaking and
21 plans to undertake in 2022 to ensure the distribution system continues to be reliable and
22 resilient over time at a reasonable cost.

Q6. PLEASE IDENTIFY THE OTHER WITNESSES FILING TESTIMONY WITH THE FRP SUBMITTAL AND THE TOPICS COVERED IN THEIR TESTIMONY.

A. The other witnesses are as follows:

Allen A Heard – Mr. Heard is the Manager, Regulatory Filings. Mr. Heard discusses the mechanics of Schedule FRP and the results of the 2022 Evaluation Report and the 2021 Look-back. He also discusses the drivers of those results.

Shannon C. Crews – Ms. Crews is the Project Coordinator, Regulatory Filings. She discusses certain technical details of the 2022 Evaluation Report, including the known and measurable adjustments, and the 2021 Look-back.

Crystal K. Elbe – Ms. Elbe is the Manager, Utility Pricing and Analysis. Ms. Elbe supports EML’s revisions to its Residential Rate Schedule, Residential Electric Water Heating Rate Schedule, and General Lighting and Power Service Rate Schedule (and related riders) to incorporate the fully-costed fixed customer charges pursuant to Section V(C) of Schedule FRP.

II. OVERVIEW OF THE FRP SUBMITTAL

Q7. PLEASE PROVIDE AN OVERVIEW OF ENTERGY MISSISSIPPI’S 2022 FRP SUBMITTAL.

A. EML’s 2022 Evaluation Report and 2021 Look-back submittal is the seventh filing under Schedule FRP-7 and its predecessor schedule. The Company is submitting both an Evaluation Report for the twelve-month period ending December 31, 2022 (“2022 Evaluation Report”) and a look-back for the twelve-month period ended December 31,

1 2021 (“2021 Look-back”), containing accounting and operational data based on actual
2 results for the 2021 calendar year, as adjusted pursuant to provisions of Schedule FRP.

3 Both the 2022 Evaluation Report and 2021 Look-back show the need for an
4 increase in EML’s FRP Rate Adjustments. As explained by Company witness Mr. Allen
5 A Heard, the 2022 Evaluation Report shows that the Company’s Earned Return on Rate
6 Base is 5.14%, which is below the Company’s Benchmark Return on Rate Base of 6.70%
7 and the lower limit of the band, 6.20%. This result triggers a change in FRP revenues of
8 \$69.0 million, but the Schedule FRP limits the 2022 Evaluation Report change to \$48.6
9 million. The Company’s 2021 Look-back shows that the Company’s Look-back Earned
10 Return on Rate Base in calendar year 2021 is 5.99%, which is below the Company’s Look-
11 back Benchmark Return on Rate Base of 6.85% and the lower limit of the band, 6.35%.
12 This result, along with the DSM true-up for 2021, triggers a change in FRP revenues of
13 \$34.5 million on an interim basis. The increase in FRP revenues from the 2021 Look-back
14 is temporary and will cease automatically in twelve months; in contrast, the increase in
15 FRP revenues from the 2022 Evaluation Report is a permanent rate change, which would
16 remain in place until superseded by another permanent rate change.

17 As part of the 2022 Evaluation Report, EML is incorporating a fully-costed
18 customer charge as explained by Ms. Elbe. That fully-costed customer charge is \$14.68
19 per month for a residential customer. In order to be revenue neutral to base rates, the energy
20 charge is decreasing, which results in a monthly decrease to base rates of \$2.75 for a typical
21 residential customer using 1,000 kWh.

22 If the Commission approves the 2022 Evaluation Report and 2021 Look-back as
23 filed, the typical residential customer consuming 1,000 kWh would see an increase of

1 approximately \$1.73 per month, effective April 2022, and another increase of \$1.40 per
2 month, effective July 2022, for a total of \$3.13 per month, or a 2.63% increase. Company
3 witness Allen A Heard provides a more detailed discussion of the results of the 2022
4 Evaluation Report and 2021 Look-back and typical bills effects.

5
6 Q8. WHAT IS DRIVING THE INCREASE IN ENTERGY MISSISSIPPI'S RATES
7 DISCUSSED ABOVE?

8 A. Entergy Mississippi remains committed to safe and reliable utility operations with a focus
9 on customer service and reasonable prices and is continuing to make capital improvements
10 proactively to meet customers' service expectations and satisfy the Company's obligation
11 to serve its customers. These improvements are the principal driver of EML's rate changes
12 shown above.

13 In the Bright Future Plan described in the 2014 Rate Case, the Company explained
14 that multiple factors were driving the increasing capital improvements by Entergy
15 Mississippi. These factors included the Company's aging infrastructure, customer
16 expectations, and economic development opportunities. EML's plant in service as of
17 December 31, 2015, was \$4.1 billion. As of December 31, 2021, plant in service is \$6.6
18 billion.¹ Now, looking forward, in its 2022 Evaluation Report, the Company expects to
19 make \$ [REDACTED] million in infrastructure improvements, a significant portion of which is from
20 distribution plant additions. By the end of 2022, EML will have spent approximately \$2.9

¹ This amount is \$400 million higher than the per book net plant in service reported in the 2021 Look-back, which uses average balances pursuant to the FERC Method for calculating net plant in service – thirteen-month averages for power generation and transmission and beginning ending averages for distribution and general.

1 billion dollars in its infrastructure, a 70% increase, while a typical residential customer's
2 bill has risen by only 9% since 2015.

3
4 Q9. HOW DOES THAT COMPARE TO THE CAPITAL ADDITIONS ENTERGY
5 MISSISSIPPI PLANNED LAST YEAR?

6 A. The 2022 planned capital additions are much less than last year's. Last year EML planned
7 to expend \$519.2 million in capital additions, as reported in its 2021 Evaluation Report.
8 Ultimately, EML's 2021 capital additions were more than \$657.6 million mainly because,
9 in 2021, Winter Storm Uri, Hurricane Ida, and other storm activity required EML to incur
10 significant unplanned storm restoration capital costs to restore service to customers.
11 Winter Storm Uri caused interruptions to approximately 200,971 customers, with a peak
12 of 86,987 customers interrupted. EML was able to restore service to the vast majority of
13 customers affected within eight days. Hurricane Ida caused interruptions to approximately
14 106,646 customers, with a peak of 46,215 customers interrupted. EML was able to restore
15 service to the vast majority of customers affected within seven days. These restoration
16 times demonstrate EML's superior service restoration performance, but these two storms
17 and other storms in 2021 resulted in approximately \$95 million in capital additions that
18 EML did not anticipate when it filed last year's FRP submittal, and customers' current rates
19 do not reflect these capital additions. This restoration activity included replacing
20 approximately 822 poles, repairing approximately 3,991 spans of wire, which is the
21 equivalent to over 200 line-miles, replacing approximately 365 transformers and 537
22 crossarms.

1 Q10. DO CUSTOMERS' RATES REFLECT ALL OF THE PLANNED CAPITAL
2 ADDITIONS FROM THE 2021 EVALUATION REPORT?

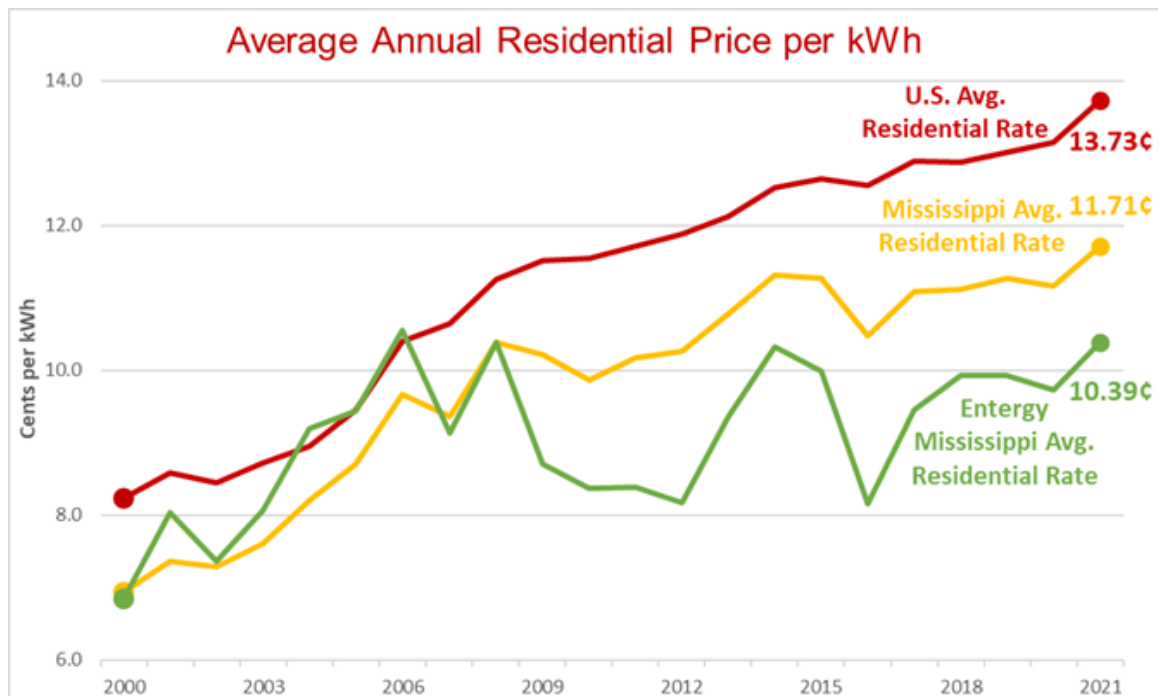
3 A. No. As Mr. Heard explains, Schedule FRP has a feature that allows rates to increase
4 gradually, which protects customers, and, last year, the Schedule FRP limited the 2021
5 Evaluation Report's revenue change. So, in this year's FRP submittal, the planned capital
6 additions made last year, the unplanned storm restoration capital additions, and the 2022
7 planned capital additions primarily drive this year's rate changes. And, once again, the
8 design of Schedule FRP would allow rates to increase gradually in 2022, like 2021, by
9 limiting the 2022 Evaluation Report revenue increase to 4% of retail revenues.

10
11 Q11. DOES ENTERGY MISSISSIPPI'S FRP SUBMITTAL CAPTURE COST REDUCTIONS
12 AS WELL AS COST INCREASES?

13 A. Yes, the FRP benefits customers because it captures both cost increases and cost decreases
14 on an annual basis and timely reflects both in customers' rates with minimal regulatory lag.
15 For example, in anticipation of the Sunflower solar facility acquisition and other business
16 needs, EML issued \$400 million in debt last year at favorable interest rates, which reduced
17 EML's total cost of debt by 14 basis points, along with reducing EML's equity ratio. As
18 discussed by Mr. Heard, the reduction in the cost of capital benefits customers by reducing
19 the revenue change in the 2022 Evaluation Report by more than \$12.3 million. Also, in the
20 2022 Evaluation Report EML is reflecting known and measurable savings of \$1.8 million
21 from its Advanced Metering Infrastructure ("AMI") project and decreased pension expense
22 of \$1.2 million. Ms. Crews discusses these adjustments in her testimony.

Q12. DO ENTERGY MISSISSIPPI'S PRICES COMPARE FAVORABLY TO PRICES CHARGED BY OTHER UTILITIES?

A. Yes. For example, EML's residential prices compare favorably to both the U.S. national average and the Mississippi average annual residential price per kilowatt-hour, as shown in the chart below.

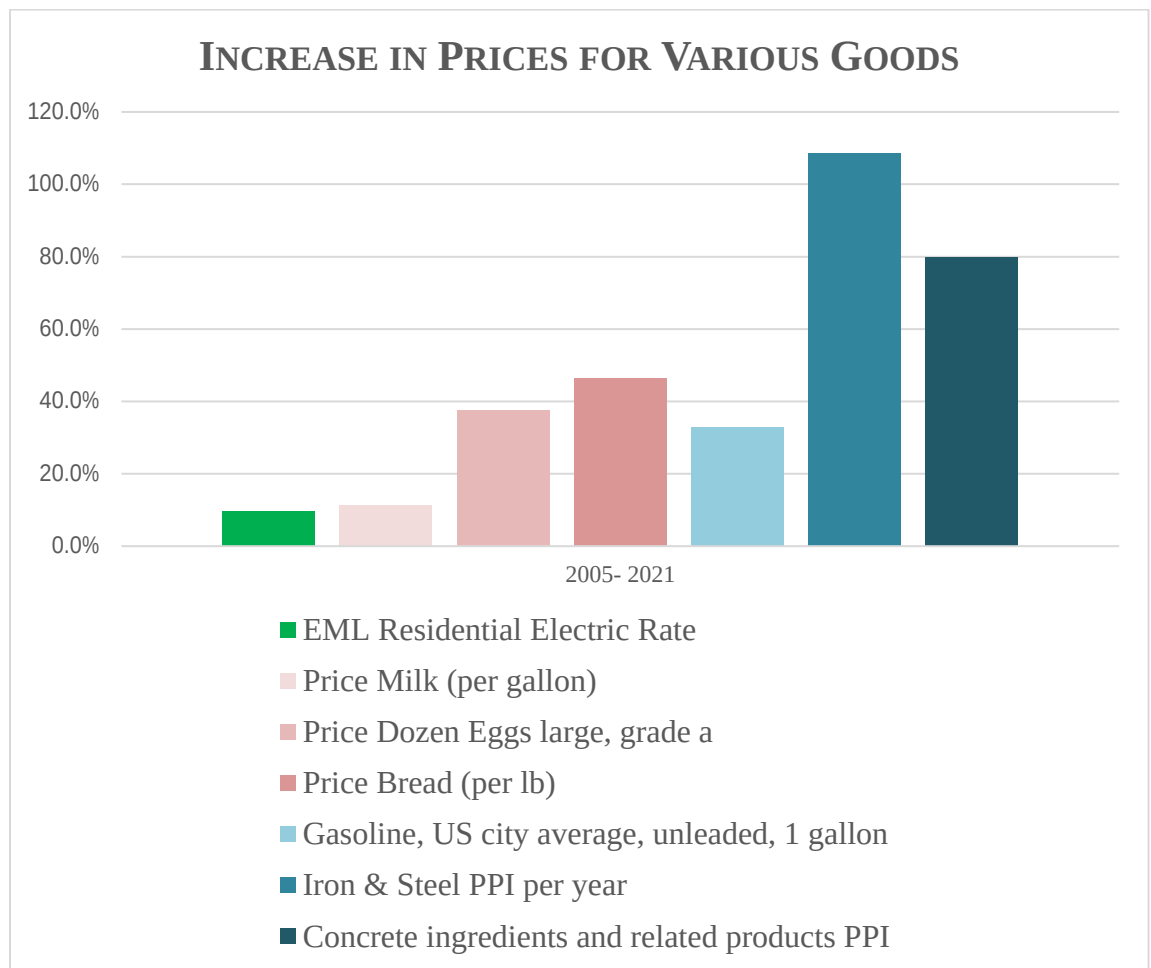


Source: U.S. Energy Information Administration

Although EML's residential rates will increase as a result of this FRP submittal, EML's residential rates should continue to compare favorably to the national and Mississippi average residential rates shown in the chart above. EML's residential rate trend has been consistent with the national and Mississippi residential rate trends. As discussed in detail by Mr. Heard, after the implementation of the rate adjustments proposed in this FRP submittal, a typical residential customer using 1,000 kWh per month would be billed

approximately \$122.17 beginning in July 2022. This total bill includes the temporary effects of the percentage of base rate schedules (e.g., MSE, PMR, UPC, MISO).

Moreover, the chart below shows that EML's rates have grown more slowly than the cost of other goods since 2005. For example, EML's residential rates have increased by 9.6%, while during that time the cost of bread and eggs have risen by 46.5% and 37.4%, respectively. Additionally, the cost of materials that EML uses to provide services, such as concrete and iron and steel, have increased by 79.8% and 108.5%, respectively, during that time.



Sources: Edison Electric Institute and U.S. Bureau of Labor Statistics

1 Q13. HOW IS ENTERGY MISSISSIPPI'S SUBSTANTIAL IMPROVEMENTS IN
2 INFRASTRUCTURE, WHILE KEEPING RATES AFFORDABLE, BENEFITTING ITS
3 CUSTOMERS?

4 A. The Company is starting to see customers recover from the pandemic's economic effects,
5 and the Company's capital improvements have supported this growth. This year, my
6 organization is designing facilities for many new subdivisions and installing new facilities
7 for new and existing customers expanding their operations. Also, my organization is
8 updating existing facilities to address load growth. After seeing an improvement in
9 reliability in 2020, we have been able to maintain that improved level. With our
10 distribution capital improvements, we are building a more resilient distribution grid by
11 following more rigorous standards when replacing components. Although EML did not
12 plan the storm restoration work that it undertook last year, the distribution facilities
13 replaced now meet the Company's more rigorous standards adopted in 2018, which should
14 improve storm restoration in the future and improve the performance of those facilities.

15
16 Q14. IS ENTERGY MISSISSIPPI CONTINUING TO EXPLORE WAYS TO REDUCE ITS
17 COST OF SERVICE AND IMPROVE EFFICIENCY?

18 A. Yes. Reducing costs and improving efficiency continues to be an important component of
19 continuous improvement. Continuous improvement focuses on EML's processes,
20 products, and services and drives a relentless focus on enhancing our skills, expanding our
21 knowledge, and sharpening our abilities; this produces efficiencies that benefit our
22 customers and other stakeholders. Continuous improvement creates value for customers,
23 EML, and its employees by eliminating expenses, redeploying resources, and creating

1 value. In 2019, what started as ideas solicited from employees became a continuous
2 improvement culture, which is now a part of EML's day-to-day business.

3 For example, in 2021 EML adjusted call center contracts and the call center
4 operating model to stabilize the call center workforce, which had seen high attrition due to
5 COVID. Our efforts have produced measurable results for customers: shorter, more
6 reasonable wait times; reduced attrition of customer service representatives; and a nearly
7 10% increase in reported customer satisfaction for our call center. We continue to see
8 improvement and expect that trend to continue as (1) our customer service representatives
9 become more efficient at handling calls, and (2) EML adds additional representatives to
10 serve our customers.

11
12 Q15. DESCRIBE HOW ENTERGY MISSISSIPPI CONTRIBUTED TO ECONOMIC
13 DEVELOPMENT IN MISSISSIPPI?

14 A. EML continued economic development activities, including new and expanded projects
15 across our territory. While COVID-19 created challenges for economic development
16 efforts, Entergy found success in numerous projects across our territory. In 2021, EML
17 signed agreements with nine customers for 21.8 MW of additional load. EML announced
18 14 economic development projects, representing 1,800 jobs and \$350 million in customer
19 capital improvements. Also, Continental Tire operations continue to provide economic
20 benefits to Entergy Mississippi's customers.

21 For example, in 2021, Milwaukee Tool announced they will be expanding
22 operations and developing a new location in Grenada, Mississippi. Milwaukee Tool has
23 committed to investing \$60 million and will be constructing a new 500,000 square foot

1 facility in the Grenada I-55 Business and Technology Park where they will create 800 new
2 jobs. In Clinton, Mississippi, Milwaukee Tool also announced a new location in the former
3 Delphi manufacturing facility. This expansion in Clinton represents a \$7 million
4 investment and creation of 200 to 400 new jobs. In Winona, Mississippi, Biewer Lumber
5 announced a new sawmill location and committed to investing \$130 million and creating
6 150 new jobs. In 2021, EML also saw an expansion of existing customer, Tyson Foods,
7 outside Vicksburg in Warren County. This expansion represents a new \$61 million
8 investment, creating 50 new jobs. In total, Entergy Mississippi saw an estimated 1,839
9 new jobs and \$352 million new investment announced in 2021.

10
11 Q16. DESCRIBE HOW ENTERGY MISSISSIPPI IS WORKING TO ASSIST CUSTOMERS
12 TO USE THEIR ELECTRIC SERVICE MORE EFFICIENTLY.

13 A. EML is working to fully integrate its demand-side management (“DSM”) offerings into
14 the energy grid as well as the Company’s long-term planning processes in a way that
15 creates more value for all customers, provides more personalized services for interested
16 customers, while also helping ensure that everyone who uses the energy grid shares in the
17 costs of maintaining it safely and reliably. In the 2022 Evaluation Report, EML is seeking
18 recovery of \$15.5 million of energy efficiency program costs and \$10.4 million in income-
19 qualified distributed generation and energy efficiency rebates. Ms. Crews explains how
20 EML plans to recover these costs in her direct testimony.

Q17. IS ENTERGY MISSISSIPPI REQUESTING ANY OTHER CHANGES IN THE FRP SUBMITTAL?

A. Yes. EML is requesting revenue-neutral changes to the customer charges in its residential and general service rate schedules pursuant to the Schedule FRP. Ms. Crystal Elbe discusses the changes to the residential and general service rate schedules in her direct testimony.

III. EML'S 2022 PLANNED CAPITAL ADDITIONS

Q18. WHAT ARE EML'S PLANNED CAPITAL ADDITIONS REFLECTED IN THE 2022 EVALUATION REPORT?

A. In 2022, EML plans to expend over \$[REDACTED] million in its infrastructure, a significant portion of which is from distribution plant additions, as shown in the table below.

2022 Capital Additions Included in Adjustment AJ05A – Plant Transfers	
Capital Description	Capital Additions Amount (\$)
Intangible Plant	[REDACTED]
Production Plant	[REDACTED]
Transmission Plant	[REDACTED]
Distribution Plant	[REDACTED]
General Plant	[REDACTED]
Total Capital Additions	[REDACTED]

The total capital additions in the 2022 Evaluation Report are less than the total capital additions in each of the last four Evaluation Reports, but this is the third Evaluation Report, with the 2020 Evaluation Report being the first, in a row that EML's distribution capital additions have been [REDACTED] million. Mr. Heard and I summarize the major capital additions, and further details are provided in Attachment I to the Evaluation Report.

1 Q19. WHAT IS DRIVING THE DISTRIBUTION CAPITAL ADDITIONS FOR 2022?

2 A. Entergy Mississippi is in the process of modernizing its distribution grid. This grid
3 modernization involves upgrading and redesigning grid infrastructure while also adding
4 new technologies and intelligent devices that facilitate safe multi-directional energy flows,
5 automate operations, enable remote control, increase operational efficiency, improve
6 quality of service, and increase reliability and resiliency. This change involves adopting a
7 more customer-centric strategy for designing and maintaining the energy grid, one which
8 seeks to minimize interruptions experienced by customers regardless of fluctuating
9 conditions on the system.

10 In late 2019 to early 2020, EML began exploring a multi-year customer-centric
11 strategy for grid modernization. At that time, EML realized that certain foundational
12 enhancements to the grid could benefit future grid modernization efforts. These
13 enhancements would make the grid more reliable and provide additional flexibility
14 necessary to take full advantage of future smart devices and other smart grid technologies.
15 Accordingly, EML increased its spending in its distribution recurring programs to improve
16 reliability for customers. In 2022, EML is continuing to spend to improve the reliability
17 and resiliency of its distribution grid.

18
19 Q20. PLEASE DESCRIBE EML'S DISTRIBUTION RECURRING PROGRAMS.

20 A. EML organizes its distribution capital improvements around ten recurring programs, which
21 will be discussed in more detail in Attachment I to Schedule FRP. The capital additions
22 associated with these programs total \$[REDACTED] million. For example, EML has the
23 Distribution Revenue Program, which captures the construction of facilities to provide

1 electric service to customers. Such facilities can range from a large underground
2 installation for a new subdivision to extending a single overhead service to a residential
3 construction site. In 2022, Funding Project F1PPU00558: Maximo Distribution Revenue
4 Blanket is planned to result in \$[REDACTED] million in capital additions. Included in that amount
5 are twenty-two subdivision service designs, which is more than the previous year. Also,
6 EML plans to make improvements in facilities to serve a new sawmill, a new wholesale
7 grocery complex, and a new commercial/residential development.

8
9 Q21. YOU MENTIONED AGING INFRASTRUCTURE BEING A DRIVER OF CAPITAL
10 ADDITIONS. WHICH RECURRING PROGRAM TARGETS AGING DISTRIBUTION
11 COMPONENTS?

12 A. The Distribution Infrastructure Program addresses distribution asset renewal and seeks to
13 reasonably minimize the failure of aging equipment and facilities by maintaining or
14 replacing the equipment and facilities before failure with the objective of reducing the
15 potential for customer interruptions. The total capital additions associated with this
16 program are \$[REDACTED] million. The largest component of that amount is \$[REDACTED] million, which
17 is attributable to Funding Project F1PPPOLRPL: Pole Program. In that program, the
18 Company is transitioning to a ten-year cycle for distribution pole inspections and plans to
19 undertake approximately 56,000 pole inspections. Last year, EML performed
20 approximately 55,000 inspections and restored approximately 6,000 poles. The Company
21 estimates that it will take eight years to make this transition.

1 Q22. IN WHICH PROGRAM DOES EML PROACTIVELY TARGET SPECIFIC
2 FACILITIES FOR IMPROVED PERFORMANCE?

3 A. The Distribution Reliability Program captures a group of programs that target specific
4 outage drivers to obtain the greatest performance improvement while managing customer
5 costs. The capital additions associated with this program total \$[REDACTED] million. Funding
6 Project F1PPDA1750 captures the largest program in terms of capital additions, the
7 FOCUS Program. FOCUS stands for Find, Observe, Collect, Understand, and Succeed.
8 The program identifies circuits or devices for improvement through an algorithmic
9 approach.

10
11 Q23. WHAT ARE THE CAPITAL ADDITIONS ASSOCIATED WITH THE
12 FAILURE/EMERGENCY RECURRING PROGRAM?

13 A. The capital additions associated with that program total \$[REDACTED] million. This amount is in
14 line with last year's capital additions for this program.

15
16 Q24. ARE THE DISTRIBUTION RECURRING PROGRAMS THE ONLY GRID
17 MODERNIZATION EFFORTS BEING UNDERTAKEN BY ENTERGY MISSISSIPPI?

18 A. No. Entergy Mississippi has undertaken and is undertaking specific capital projects related
19 to grid modernization. The most visible to customers and an initial building block of grid
20 modernization is the Advanced Metering Infrastructure ("AMI") project. AMI is a system,
21 including associated hardware, software, and communications systems, which collects
22 time-differentiated energy usage from advanced meters and makes that information
23 available to customers and Entergy Mississippi. The Company completed mass

1 deployment of its advanced meters last year, but a small number of meters (approximately
2 1,700 meters or less than 0.5%) have not yet been installed because of unique
3 circumstances that make installation more difficult. In 2022, EML will continue its
4 Distribution Automation project and the grid modernization projects discussed in the 2022
5 Transmission and Distribution Plan.

6
7 Q25. ARE THERE CAPITAL ADDITIONS IN 2022 RELATED TO AMI?

8 A. Yes. The capital additions related to AMI have a total cost of \$[REDACTED] million. These
9 additions are primarily for meters that could not be installed as part of the mass deployment,
10 for the AMI communication network, the Distribution Management System (“DMS”), and
11 the Outage Management System (“OMS”).

12
13 Q26. PLEASE DESCRIBE THE DISTRIBUTION AUTOMATION PROJECT.

14 A. The Distribution Automation (“DA”) project involves installation of automated devices,
15 such as switches and reclosers, on existing distribution facilities, which can be remotely
16 operated so that service can be restored more efficiently after an outage. The new
17 Distribution Automation group will lead this project. In 2020, EML began monthly
18 installations of DA devices to the distribution system and the DA communication system.
19 The 2022 capital additions associated with the DA project are expected to be \$16.7 million
20 across three funding projects – F1PPDASDEV: DA Device Deployment, F1PPDATECH:
21 DA Enablement - IT Systems, and F1PPDACOMM: Distribution Automation Enablement.

1 Q27. PLEASE DESCRIBE EML'S CURRENT PLANS WITH RESPECT TO ITS GRID
2 MODERNIZATION PROJECTS.

3 A. Storms have hampered EML's grid modernization projects by requiring resources assigned
4 to those projects to be redirected to storm restoration activities. Nevertheless, EML
5 completed the Jackson/Miami project in 2021 and will continue work on the remaining
6 grid modernization projects. In 2022, EML plans to complete the Greenville project, which
7 modernizes four existing circuits from the Greenville substation to improve service to
8 approximately 3,000 customers, and the Byram project, which modernizes four circuits
9 from the Byram, Florence, and Elton Road substations to improve service to approximately
10 4,000 customers. The 2022 capital additions associated with these projects total \$[REDACTED]
11 million.

12 EML plans to complete the Vicksburg Southeast and Vicksburg South projects in
13 2023. These two projects modernize three circuits and build a new circuit from the
14 Vicksburg substation to improve service to approximately 2,500 customers. The 2022
15 capital additions associated with these projects total \$[REDACTED] million.
16

17 Q28. ABOVE YOU MENTIONED THE EFFECT OF STORMS ON CAPITAL
18 IMPROVEMENT. HOW DOES EML INTEND TO MEET THE CHALLENGES
19 PRESENTED BY STORMS SUCH AS HURRICANE IDA?

20 A. EML is examining how building a more resilient grid can mitigate the challenges presented
21 by extreme weather. We cannot prevent storms from occurring; we also cannot build a
22 grid that is impervious to storms. But, we can harden select grid components and
23 implement new technologies so that storm restoration can occur with less time and cost.

1 Q29. ARE THE DISTRIBUTION CAPITAL ADDITIONS RESULTING IN BENEFITS TO
2 CUSTOMERS?

3 A. Yes. As I mentioned above, the advanced meter deployment has resulted in savings to
4 customers, and the Company is including incremental savings for 2022 in the 2022
5 Evaluation Report through a pro forma adjustment. Furthermore, the Company's
6 distribution capital additions are resulting in improved reliability for customers. In 2020,
7 EML greatly improved its Service Interruption Index ("SII") to 143.72 as compared to the
8 previous year's SII score of 170.76. In 2021, EML was able to maintain that improvement
9 with an SII score of 150.38. As another example, customers have benefitted from the
10 Company's Sectionalization Program, which installs sectionalizing devices that are
11 expected to reduce customer exposure in the event of an outage by isolating the outage
12 cause. The devices installed through this program avoided over 41,000 customer
13 interruptions in 2021, which was substantially more avoided interruptions than EML
14 expected. The Company's vegetation management efforts also are contributing to
15 improved reliability as well.

16
17 Q30. HOW HAVE THE COMPANY'S VEGETATION MANAGEMENT EFFORTS
18 CONTRIBUTED TO RELIABILITY IMPROVEMENTS?

19 A. EML continues to see reduced customer interruptions from its vegetation management
20 program and vegetation-related customer interruptions have remained flat between 2020
21 and 2021.

22 The Company, however, is encountering challenges due to municipal restrictions
23 on vegetation management activities. These restrictions, which conflict with Commission-

1 approved polices and EML's internal procedures, are adversely affecting our customers.
2 In one specific municipality, we have seen vegetation-related interruptions increase from
3 approximately 9,500 in 2020 to over 16,000 in 2021 and interruption minutes increase from
4 3.2 million in 2020 to over 14.1 million, taking into account all interruptions, even those
5 occurring during a major event.²
6

7 Q31. THE 2022 CAPITAL ADDITIONS TABLE, PROVIDED IN RESPONSE TO
8 QUESTION 18 ABOVE, 13SHOWS AN AMOUNT FOR TRANSMISSION CAPITAL
9 ADDITIONS. DOES THAT AMOUNT INCLUDE TRANSMISSION CAPITAL
10 ADDITIONS FOR TRANSMISSION POLE REPLACEMENTS TO IMPROVE
11 RESILIENCY?

12 A. No. As explained by Mr. Heard, the transmission resiliency capital additions total \$
13 million, and the table excludes this amount because the Commission authorized EML to
14 recover the transmission pole replacements through the Grid Modernization Rider
15 Schedule.
16

17 Q32. DOES THIS CONCLUDE YOUR DIRECT TESTIMONY AT THIS TIME?

18 A. Yes, at this time.

² IEEE Standard 1366 intends that a utility measure reliability performance under normal operating conditions; therefore, the IEEE prescribes a methodology for excluding from interruption calculations the effects of major events that are not representative of normal operating conditions and involve substantial widespread outages. As part of its customer-centric strategy, EML considers all interruptions to customers in its distribution planning.

STATE OF MISSISSIPPI
COUNTY OF Rankin

Personally appeared before me, the undersigned authority in and for the jurisdiction aforesaid authority in and for the jurisdiction aforesaid, JAMES ROBBIN JETER, who after being by me first duly sworn that that he is the Vice President, Distribution Operations of Entergy Mississippi, LLC, and that as such is fully authorized to make this affidavit; and further stated that the matters and things contained in the foregoing Direct Testimony are true, accurate, and correct as therein set forth to the best of his knowledge, information, and belief.



JAMES ROBBIN JETER
VP, DISTRIBUTION OPERATIONS
ENTERGY MISSISSIPPI, LLC

SWORN TO AND SUBSCRIBED before me, this the 23rd day of February 2022.



NOTARY PUBLIC

My Commission Expires:

Dec. 16, 2025



BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC	IN RE:	NOTICE OF INTENT OF ENTERGY
EC123-0082-00		MISSISSIPPI, INC. TO IMPLEMENT
2018-UN-205		REVISIONS TO THE FORMULA RATE
		PLAN

DIRECT TESTIMONY

OF

ALLEN A HEARD

MANAGER, REGULATORY FILINGS

ENTERGY SERVICES, LLC

ON BEHALF OF

ENTERGY MISSISSIPPI, LLC

MARCH 2022

TABLE OF CONTENTS

I. INTRODUCTION AND BACKGROUND	1
II. OVERVIEW OF SCHEDULE FRP AND DETAILED FRP RESULTS.....	4
III. DRIVERS OF THE RATE ADJUSTMENTS	14
A. Major Drivers of the 2021 Look-back Results.....	14
B. Major Drivers of the 2022 Evaluation Report Results.....	15
IV. TRANSITION OF COST RECOVERY OF TRANSMISSION WOOD POLE REPLACEMENTS.....	18
V. CONCLUSION	19

I. INTRODUCTION AND BACKGROUND

Q1. PLEASE STATE YOUR NAME AND BUSINESS ADDRESS.

A. My name is Allen A Heard. My business address is 639 Loyola Avenue, New Orleans, Louisiana, 70113. I am employed by Entergy Services, LLC (“ESL”) as Manager, Regulatory Filings.

Q2. ON WHOSE BEHALF ARE YOU TESTIFYING?

A. I am testifying on behalf of Entergy Mississippi, LLC (“Entergy Mississippi,” “EML,” or the “Company”).

Q3. PLEASE DESCRIBE YOUR EDUCATIONAL BACKGROUND.

A. I hold a Bachelor of Business Administration in Accounting from Texas A&M University in College Station, Texas, and a Master of Business Administration from Tulane University in New Orleans, Louisiana.

Q4. PLEASE DESCRIBE YOUR BUSINESS EXPERIENCE.

A. In June 1989, I accepted a position as an Accountant in the Regulatory Affairs department with Gulf States Utilities in Beaumont, Texas. My duties included assisting and preparing regulatory filings to be filed at the Louisiana Public Service Commission (“LPSC”), developing accounting adjustments to be including in filings, developing procedures to create a desktop computing environment cost of service model, and maintaining computer logic related to cost of service and accounting issues.

1 In May 1994, as part of the Entergy Corporation and Gulf States Merger, I accepted
2 a position as a Senior Regulatory Analyst in Regulatory Affairs – Louisiana. I assisted in
3 all regulatory cases initiated at the LPSC relating to Entergy Gulf States, Inc. and Entergy
4 Louisiana, Inc., including responding to discovery questions, ensuring that cases were filed
5 in accordance with Commission regulatory guidelines, and analyzing affiliate cost
6 transactions. In April 2000, I was promoted to Manager, Regulatory Affairs – Louisiana
7 and was responsible for managing all regulatory cases initiated at the LPSC relating to
8 Entergy Gulf States, Inc.

9 In September 2004, I joined Regulatory Services as Manager, Regulatory Strategy.
10 I was responsible for managing regulatory strategy issues for the Entergy Operating
11 Companies, with concentration on Entergy New Orleans, Inc. and Entergy Mississippi,
12 reviewing with each Regulatory Affairs department expected financial impacts from
13 regulatory actions, discussing regulatory strategies for recovery of costs, maintaining
14 knowledge of the current regulatory trends, and understanding regulatory issues including:
15 Cost of Service, Revenue Requirements Studies, Regulatory Accounting, rate making
16 allocation methodology, Retail/Wholesale class and rate schedules development,
17 Performance and Incentive based rate making.

18 In 2012, I became the Manager, Regulatory Filings, responsible exclusively for
19 supporting Mississippi rate filings.

1 Q5. WHAT ARE YOUR PRINCIPAL RESPONSIBILITIES AS MANAGER,
2 REGULATORY FILINGS?

3 A. I am responsible for managing the preparation of the Formula Rate Plan Rider Schedule
4 FRP-7 (Second Revised) (“Schedule FRP” or “FRP-7”) look-back and evaluation reports
5 and cost-of-service filings with the Mississippi Public Service Commission (the
6 “Commission”).
7

8 Q6. HAVE YOU TESTIFIED BEFORE THIS COMMISSION PREVIOUSLY?

9 A. Yes, I have. I testified in the 2014 rate modernization case, which resulted in approval of
10 the Formula Rate Plan Rider Schedule FRP-6 (Second Revised), as well as in subsequent
11 proceedings pursuant to that schedule and FRP-7. I also testified in the proceedings related
12 to the Choctaw Generating Station (“Choctaw”) and Sunflower Solar Facility, as well as
13 having filed written testimony in other proceedings.
14

15 Q7. WHAT IS THE PURPOSE OF YOUR TESTIMONY?

16 A. My testimony covers multiple topics pertinent to EML’s submittal pursuant to FRP-7.
17 First, I discuss the mechanics of FRP-7. Second, I discuss the results of the look-back for
18 the twelve-month period ended December 31, 2021 (“2021 Look-back”) and the
19 Evaluation Report for the twelve-month period ending December 31, 2022 (“2022
20 Evaluation Report”). I then present information regarding the typical residential bills and
21 discuss the drivers of the 2021 Look-back and the 2022 Evaluation Report results. Third, I
22 discuss how EML is transitioning the recovery of costs for its recurring transmission wood

pole replacement program from FRP-7 to the Company's Grid Modernization Rider Schedule GMR-1 (Second Revised) ("Schedule GMR-1") pursuant to the Commission's Order dated January 18, 2022, in Docket 2017-UN-198.

II. OVERVIEW OF SCHEDULE FRP AND DETAILED FRP RESULTS

Q8. PLEASE PROVIDE AN OVERVIEW OF FRP-7.

A. FRP-7 is very similar to its predecessor. FRP-7 continues to incorporate future net investment based on historical costs adjusted for known and measurable changes, including electric plant, accumulated depreciation and amortization, and accumulated deferred income taxes. In addition, Schedule FRP-7 provides that the Mississippi Public Utilities Staff (the "Staff") and the Company may propose other adjustments for known and measurable changes, associated with other future costs subject to approval by the Commission. FRP-7 allows the Company to propose adjustments to historical costs in the following specific categories:

Category	Known and Measurable Changes
Rate Base	Plant in Service Construction Work in Progress Accumulated Depreciation Accumulated Deferred Income Taxes Pension and OPEB Liabilities Regulatory Assets Other
Revenues	Known new large customer Loss of existing large customer Material impact from Energy Efficiency program

Category	Known and Measurable Changes
Expenses	Operations & Maintenance (non-payroll) Administrative and General Payroll Depreciation Ad Valorem tax Regulatory asset Pension and OPEB Other

The adjustments to the historical accounting data are for changes to rate base, expenses, or revenues that (1) with a high degree of certainty will occur (whether increase or decrease) during the evaluation period and are accurately and objectively measurable or (2) are new recurring operating expenses that with a high degree of certainty will occur and can be measured with a high degree of accuracy.

Q9. IS THE ANNUAL RATE ADJUSTMENT FORMULA IN FRP-7 DIFFERENT FROM THE FORMULA IN ITS PREDECESSOR SCHEDULE?

A. No, it is the same. FRP-7 provides a format for calculating the Company's expected Earned Rate of Return on Rate Base ("ERORB" or "Earned Return") for the Evaluation Period (the calendar year that coincides with the FRP filing). In computing any revenue or rate adjustments under the FRP, this Earned Return is compared to the Benchmark Rate of Return on Rate Base ("BRORB" or "Benchmark") in the FRP tariff. Subject to the bandwidth described below, any required rate adjustment is determined by calculating the difference in the Company's Earned Return versus the FRP Point of Adjustment, and computing the revenues represented by this difference. Annual rate adjustments under the FRP are capped at 4% of the Company's unadjusted Evaluation Period retail revenue.

1 The Benchmark is developed using a weighted average of the Company's
2 embedded cost of long-term bond debt, preferred equity, and cost of common equity. The
3 cost of common equity is based on comparable electric utilities' computed cost of equity
4 using both a Discounted Cash Flow ("DCF") model and a regression analysis. The DCF
5 and regression analysis outcomes are averaged together, and a 12.5 basis point flotation
6 adjustment is added to that average to arrive at the Evaluation Period Cost of Equity
7 ("EPCOE"). The EPCOE is adjusted upwards or downwards by a Performance Rating
8 Adjustment ("Performance Adjustment") that measures and holds the Company
9 accountable for its performance in the areas of customer service, customer reliability, and
10 customer price.

11 FRP-7 contains a Bandwidth, called the Rate of Return on Rate Base Range
12 ("Bandwidth" or "ROR Range"), around the Benchmark within which no rate adjustments
13 will be made (this is called a "range of no change"). The upper limit of the Bandwidth (or
14 ROR Range) is 0.50% above the Benchmark and the lower limit is 0.50% below the
15 Benchmark. Under FRP-7, rate adjustments are provided for if EML's Earned Return is
16 outside of the Bandwidth. There are no rate adjustments if EML's Earned Return is within
17 the Bandwidth. This Bandwidth provides the Company the opportunity to earn near its
18 Benchmark return each year but without any guarantee of such earnings level.

1 Q10. HOW IS A RATE ADJUSTMENT DETERMINED IF ENTERGY MISSISSIPPI'S
2 EARNED RETURN IS ABOVE OR BELOW THE BANDWIDTH?

3 A. If EML's Earned Return is above or below the Bandwidth, then FRP-7 provides for a rate
4 adjustment that permits EML to earn a return on rate base equal to the Point of Adjustment,
5 which is expressed as a percentage and is calculated pursuant to a formula set forth in FRP-
6 7. The Point of Adjustment formula takes into account EML's performance in the previous
7 calendar year with respect to price, customer satisfaction, and reliability. The resulting
8 Rate Adjustments are calculated to recover the change in Rider FRP Revenues over the 12-
9 month period beginning April of the Evaluation Period.

10
11 Q11. IS THERE A LIMITATION ON THE ANNUAL CHANGE IN RIDER FRP
12 REVENUES?

13 A. Yes. FRP-7 limits the annual increase or decrease in revenues in each Evaluation Report
14 to 4% of retail unadjusted Rate Schedule Revenues.

15 Q12. IS THERE ANY PROTECTION FOR THE COMPANY OR THE CUSTOMER IN THE
16 EVENT THAT REVENUE OR COST LEVELS DEVIATE FROM THOSE EXPECTED?

17 A. Yes, there is. FRP-7 provides for a "look-back" at the prior calendar year. The Company
18 will calculate its actual earned return, called the Look-back Earned Rate of Return on Rate
19 Base or LRORB, for the Look-back Evaluation Period and compare it to the BRORB
20 calculated for the previous Evaluation Period. If the LRORB exceeds the Upper Point of
21 the BRORB Bandwidth, then there shall be an interim rate adjustment to reduce the

1 LRORB to the previous Point of Adjustment for the previous Evaluation Period. If the
2 LRORB is less than the Lower Point of the BRORB Bandwidth, then there shall be an
3 interim rate adjustment to increase the LRORB to the previous Point of Adjustment for the
4 previous Evaluation Period. This means that if the Company's actual earned return in a
5 given calendar year exceeds the level that the Commission previously determined was
6 reasonable, FRP-7 provides that the Company shall adjust revenues downward during an
7 interim period to the Point of Adjustment. Similarly, if the Company's actual earned return
8 in a given calendar year falls too far below the level that the Commission previously
9 determined was reasonable, FRP-7 provides that the Company shall adjust revenues
10 upward during the interim period to the Point of Adjustment.

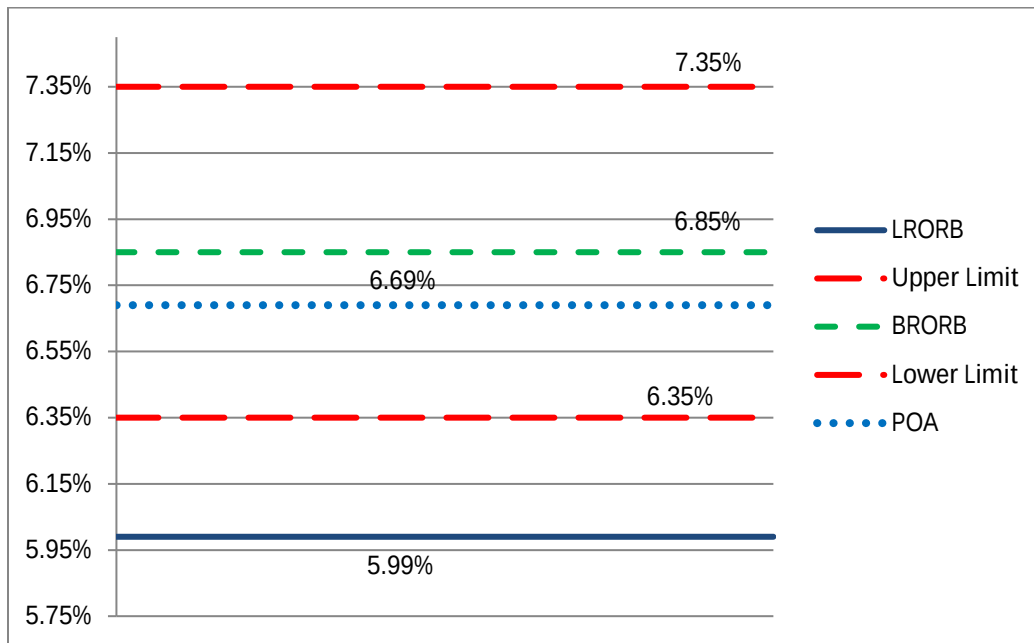
11
12 Q13. UNDER FRP-7, WHEN DO REVISED RATE ADJUSTMENTS BECOME
13 EFFECTIVE?

14 A. FRP-7 provides for temporary implementation of Net Rate Adjustments, subject to a cap
15 of 2%, of Evaluation Period Retail Revenues. These Net Rate Adjustments become
16 effective for the first billing cycle of April subject to refund and secured by a bond or other
17 security approved by the Commission. EML expects that it will secure its Net Rate
18 Adjustments on a temporary basis with an already existing letter of credit, which is what
19 EML did last year. If the required rate adjustment exceeds 2%, then the remainder of the
20 adjustment would become effective upon Commission approval, typically for the first
21 billing cycle of July and be recovered over nine months, July through March.

Q14. PLEASE SUMMARIZE THE RESULTS OF THE 2021 LOOK-BACK.

A. The Company's Look-back Benchmark Rate of Return on Rate Base of 6.85%, which was the Benchmark Rate of Return on Rate Base reflected in the Joint Stipulation approved by the Commission's June 2021 Order,¹ establishes a Bandwidth from 6.35% to 7.35%. As shown in the graph below, the Company's Look-back Earned Rate of Return on Rate Base is 5.99% and falls below the Bandwidth.

Illustration of the 2021 Look-back Results



¹ The Commission approved the Joint Stipulation setting the Benchmark Rate of Return on Rate Base for the 2021 Evaluation Report in its Order dated June 6, 2021.

1 Q15. DOES THE 2021 LOOK-BACK RESULT IN REVISED INTERIM RATE
2 ADJUSTMENTS?

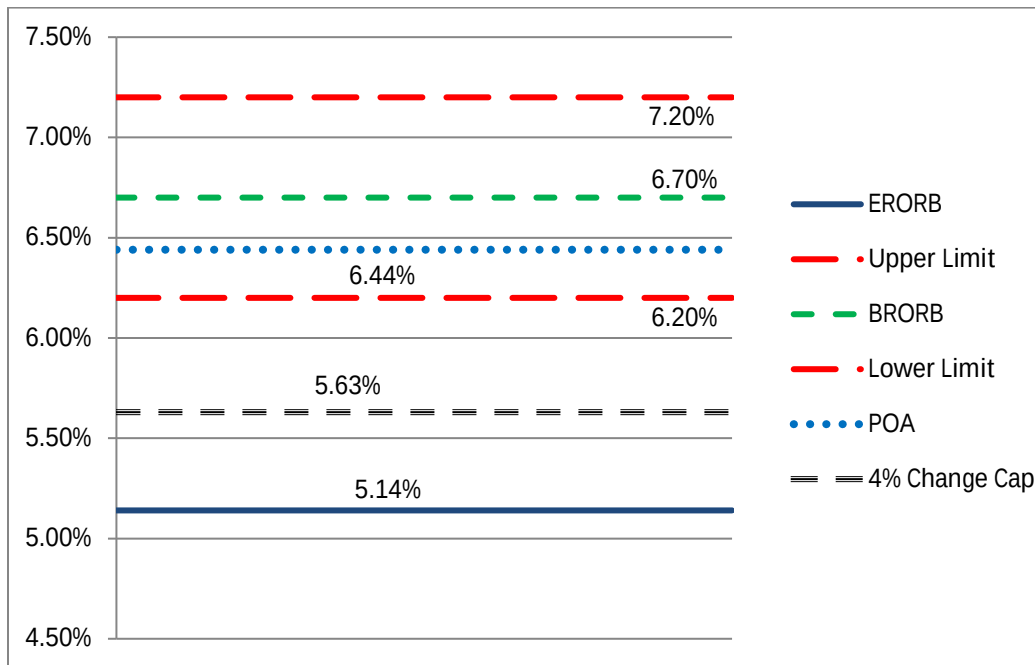
3 A. Yes. Because the Look-back Earned Rate of Return on Rate Base is less than the Lower
4 Limit by 0.36%, Interim Rate Adjustments increasing revenue to the Point of Adjustment,
5 6.69%, would result. The corresponding Change in Rider FRP Revenues is \$34.3 million.
6 Attachment K to the FRP provides that the DSM true-up shall be recovered outside of the
7 FRP bandwidth calculation. The 2021 DSM true-up resulted in an under-recovery of
8 \$124,439. Accordingly, the Interim Rate Adjustments reflected in Attachment A to FRP-
9 7 on file with the Commission should be adjusted to increase FRP revenues by \$34.5
10 million on an annual basis, as shown on Attachment G, Line 19 in the 2021 Look-back
11 effective June 30, 2022.

12
13 Q16. PLEASE SUMMARIZE THE RESULTS OF THE 2022 EVALUATION REPORT.

14 A. The Company's Benchmark Rate of Return on Rate Base is 6.70%, which establishes a
15 Bandwidth from 6.20% to 7.20%. As shown in the graph below, without updated Annual
16 Rate Adjustments, the Company's Earned Rate of Return on Rate Base is 5.14%, which is
17 1.06% below the Lower Limit of the Bandwidth. Schedule FRP-7 provides that the Annual
18 Rate Adjustments shall be increased to the Point of Adjustment, 6.44%, which in this case
19 would results in a change in FRP revenues of \$69.0 million. However, the amount of the
20 revenue increase allowed under the revised Annual Rate Adjustments for the 2022
21 Evaluation Report is capped at 4% of the Company's retail unadjusted Rate Schedule

Revenues. Therefore, the results of the 2022 Evaluation Report produce a revenue change of \$48.6 million, which is equivalent to EML earning a 6.07% return on rate base for 2022.

Illustration of the 2022 Evaluation Report Results



Q17. WHAT IS THE DIFFERENCE IN REVENUE BETWEEN THE AMOUNT NECESSARY TO REACH THE POINT OF ADJUSTMENT AND THE AMOUNT OF THE MAXIMUM CHANGE IN RETAIL REVENUES ALLOWED IN THE EVALUATION REPORT UNDER SCHEDULE FRP-7?

A. The 4% cap equates to a maximum revenue change of \$48.6 million. The revenue adjustment necessary to reach the Point of Adjustment is \$69.0 million. Thus, the 4% cap is limiting the revenue change for the 2022 Evaluation Report to \$48.6 million.

1 Q18. IS THIS A REASONABLE RESULT IN YOUR OPINION?

2 A. Yes. The 4% cap has the effect of phasing-in a portion of the rate change resulting from
3 the annual Evaluation Report. These smaller, albeit more frequent, rate changes compared
4 to general rate cases appropriately balance the interests of EML and our customers.

5

6 Q19. HOW IS EML IMPLEMENTING THE INITIAL RATE ADJUSTMENTS FROM THE
7 2022 EVALUATION REPORT?

8 A. Effective April 2022, the net revenue increase of \$22.6 million will be reflected on the
9 Attachment A. Effective July 2022, assuming Commission approval in June and no
10 changes to the 2022 Evaluation Report by the Commission, EML will implement revised
11 rate adjustments that reflect a net revenue increase of \$61.8 million for the remainder of
12 the Evaluation Report and Look-back changes to FRP revenue.

13 Included with this FRP submittal are the corresponding FRP-7 Attachment A's for
14 the rate changes – one effective April 2022 through June 2022 and a second effective July
15 2022 (which includes the 2021 Look-back Interim Rate Adjustments expiring in June
16 2023).

17

18 Q20. HAS THE COMPANY CALCULATED THE BILL IMPACT FOR THE INITIAL NET
19 RATE ADJUSTMENTS EFFECTIVE APRIL 2022?

20 A. Yes. The typical residential customer using 1,000 kWh would see an FRP increase of
21 approximately \$1.90 per month effective April 2022 from the initial FRP Net Rate
22 Adjustments. When the effects of all other billing elements are added, including the update

1 to Schedule VM-1, which the Company has filed to become effective with April 2022 bills,
2 a typical residential customer using 1,000 kWh per month would be billed approximately
3 \$120.77 per month, which is an increase of approximately \$1.73, or 1.45%, per month.

4
5 Q21. ASSUMING NO CHANGES TO THE FRP SUBMITTAL BY THE COMMISSION,
6 WHAT IS THE BILL IMPACT FOR THE REVENUE CHANGES EFFECTIVE JULY
7 2022?

8 A. The typical residential customer using 1,000 kWh would see an additional increase of
9 approximately \$4.00 per month under the FRP, effective July 2022 from the remainder of
10 the 2022 Evaluation Report Annual Rate Adjustments and the 2021 Look-Back Interim
11 Rate Adjustments. As explained by Ms. Elbe, EML is incorporating a full-costed customer
12 charge as part of the 2022 Evaluation Report. The revised customer charge results in a
13 decrease to base rates of \$2.75 for a typical residential customer using 1,000 kWh per
14 month. When you include the temporary effects of the percentage of base rate schedules
15 (e.g., Schedules MSE, PMR, UPC, MISO), a typical residential customer using 1,000 kWh
16 per month would be billed approximately \$122.17 beginning in July 2022, which is an
17 increase from March 2022 of approximately \$3.13, or 2.63%, per month.

18
19 Q22. EVEN WITH THESE CHANGES, WILL EML'S RATES REMAIN REASONABLE?

20 A. Yes. Company witness Robbin Jeter provides a comparison of EML's rates to the state
21 and national averages and shows that EML's residential rates continue to compare
22 favorably to those averages. This demonstrates the successful efforts the Company has

taken to manage its costs given the substantial investments that EML has made and continues to make to modernize its infrastructure for the benefit of its customers.

III. DRIVERS OF THE RATE ADJUSTMENTS

A. Major Drivers of the 2021 Look-back Results

Q23. HAS THE COMPANY ANALYZED THE MAJOR DRIVERS OF THE 2021 LOOK-BACK RESULTS?

A. Yes. The Company has compared the 2021 Look-back Earned Rate of Return on Rate Base, which reflect 2021 actual operating results, to the 2021 Point of Adjustment (“POA”) from the 2021 Evaluation Report compliance filing, which reflects expected operating results for 2021. The table below shows the differences in expected and actual Total Rate Base and the expected and actual Net Utility Operating Income between the two reports.

Rate of Return on Rate Base Comparison 2021 Compliance Evaluation Report versus 2021 Look-back (\$millions)			
	2021 Evaluation Report	2021 Look-back	Difference
Expected and Actual Total Rate Base	3,575	3,614	1.1%
Expected and Actual Net Utility Operating Income	239*	216	-9.6%
POA and LRORB	6.69	5.99	
*Although the Utility Operating Income for 2021 reflects \$239 million, the 4% cap limited EML’s Actual Utility Operating Income to \$171 million, which is a significant driver of the 2021 Look-back.			

Q24. BASED ON THE ABOVE COMPARISON, WHAT ARE THE PRIMARY DRIVERS OF THE INTERIM RATE ADJUSTMENTS?

A. Net Utility Operating Income in the 2021 Look-back was not high enough for EML to earn the Point of Adjustment return authorized by 2021 Evaluation Report approval. The

primary driver of this difference is that Schedule FRP-7 capped EML's Annual Rate Adjustments for the 2021 Evaluation Report; and therefore, EML's rate adjustments were not designed to allow EML to earn the POA return during 2021, assuming EML's sales were the same as those in the 2021 Evaluation Report. As I stated last year, the 2021 Annual Rate Adjustments were driven by the 2021 known and measurable capital additions and the corresponding depreciation.

B. Major Drivers of the 2022 Evaluation Report Results

Q25. HAS THE COMPANY ANALYZED THE MAJOR DRIVERS OF THE 2022 EVALUATION REPORT RESULTS?

A. Yes. The Company has compared the 2022 Earned Rate of Return on Rate Base from the 2022 Evaluation Report to the 2021 Look-back Earned Rate of Return on Rate Base. The table below shows the differences in Total Rate Base and Net Utility Operating Income between the two reports. As shown below, Total Rate Base is expected to grow by 9.3%, and Net Utility Operating Income is expected to decrease by 6.0%.

Rate of Return on Rate Base Comparison 2021 Look-back versus 2022 Evaluation Report (\$millions)			
	2021 Look-back	2022 Evaluation Report	Change
Total Rate Base	3,614	3,949	9.3%
Net Utility Operating Income	216	203	-6.0%
Earned Rate of Return on Rate Base	5.99	5.14	

1 Q26. WHAT ARE THE MAJOR DRIVERS OF THE 2022 EVALUATION REPORT
2 RESULTS?

3 A. The 2022 known and measurable capital additions and the corresponding depreciation
4 along with the previous year's capped Annual Rate Adjustments are the principal drivers
5 of the results of EML's increasing revenue deficiency. For example, depreciation expense
6 on EML's new capital additions is driving \$25.9 million of the revenue deficiency. The
7 lower level of revenues from the capped 2021 Annual Rate Adjustments carries forward
8 into the 2022 Evaluation Report and contributes to the revenue deficiency.

9 Additionally, EML had a reduction in its cost of capital, which benefited customers
10 by reducing the revenue change in the 2022 Evaluation Report by more than \$12.3 million.²
11

12 Q27. HOW ARE THE COMPANY'S KNOWN AND MEASURABLE 2022 CAPITAL
13 ADDITIONS REFLECTED IN THE 2022 EVALUATION REPORT?

14 A. The 2022 known and measurable capital additions are included in Total Rate Base through
15 Adjustment AJ05A. The incremental Depreciation Expense associated with the capital
16 additions is included in Net Utility Operating Income through Adjustment AJ05B. The
17 Direct Testimony of Shannon Crews discusses these adjustments in more detail.

² In anticipation of the Sunflower solar facility acquisition and other business needs, EML issued \$400 million in debt last year at favorable interest rates, which reduced EML's total cost of debt by 14 basis points, along with reducing EML's equity ratio.

Q28. WHAT IS THE TOTAL AMOUNT OF THE 2022 CAPITAL ADDITIONS?

A. The total amount is \$[REDACTED] million. Most of that amount, \$[REDACTED] million, is captured in seventy-six funding projects having closing amounts in excess of \$1.0 million each. These projects will be shown on Attachment I to FRP-7.

Q29. PLEASE BRIEFLY DESCRIBE SOME OF THE MAJOR CAPITAL PROJECTS CLOSING IN 2022 REFLECTED IN ADJUSTMENT AJ05A.

A. In addition to the distribution projects discussed by Mr. Jeter, there are three additional projects I would like to discuss. Funding Project F1PPU51079: Franklin 500 kV Upgrade Station consists of reconfiguring the 500 kV extra-high voltage (“EHV”) substation so that the Franklin-Bogalusa and Franklin-McKnight 500 kV transmission lines do not share a common breaker. This project is necessary to comply with NERC TPL-001-4 Reliability Standards and Entergy’s Local Planning Criteria. The Company filed a Petition for a Certificate of Public Convenience and Necessity (“CCN”) on May 25, 2021, for this project in Docket No. 2021-UA-81 and the Commission approved the CCN on December 7, 2021.

Funding Project F1PPDESOSC: Desoto Service Center Project consists of the construction of the new Entergy Service Center for Desoto County, Mississippi, which is EML’s second largest network and considered one of the busiest service centers due to the rapid growth of the area.

Funding Project F1PPVMC027: Delta Lake Closure consists of the closure of the lake at the site of the former Delta Steam Electric Station in Cleveland, Mississippi, including draining (completed in 2021) and pushing in the levees and grading the lake

1 bottom to accomplish positive drainage. The 600-acre lake is no longer needed for cooling
2 water as the generation facility has been demolished.

3
4 **IV. TRANSITION OF COST RECOVERY OF**
5 **TRANSMISSION WOOD POLE REPLACEMENTS**
6

7 Q30. PLEASE DESCRIBE HOW THE COMPANY IS TRANSITIONING COST RECOVERY
8 OF TRANSMISSION WOOD POLE REPLACEMENTS FROM SCHEDULE FRP-7 TO
9 SCHEDULE GMR-1.

10 A. In the Commission's Order dated January 18, 2022, in Docket 2017-UN-198, EML
11 received approval to recover the costs of its recurring transmission wood pole replacement
12 program through Entergy Mississippi's Grid Modernization Rider Schedule. These costs
13 have historically been recovered through Schedule FRP-7. Beginning in 2022, capital
14 improvements in the Company's recurring transmission wood pole replacement program
15 and similar expenditures will be recovered through Schedule GMR-1 prospectively.

16
17 Q31. WHAT IS THE INITIAL AMOUNT OF RECURRING TRANSMISSION WOOD POLE
18 REPLACEMENT COSTS TO BE RECOVERED THROUGH SCHEDULE GMR-1?

19 A. The expected costs are \$27.4 million for calendar year 2022. This amount includes the
20 Company's existing transmission line crew costs along with the incremental costs of
21 adding two new transmission line crews during 2022. This capital is not included in the
22 FRP as part of the 2022 Evaluation Report.

V. CONCLUSION

1

2 Q32. ARE THE 2022 EVALUATION REPORT AND 2021 LOOK-BACK REASONABLE

3 AND CONSISTENT WITH THE PROVISIONS OF SCHEDULE FRP-7?

4 A. Yes, they are.

5

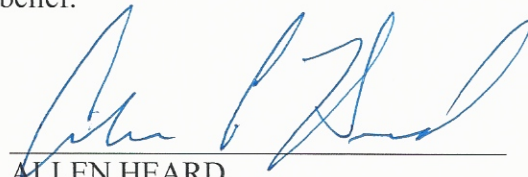
6 Q33. DOES THIS CONCLUDE YOUR DIRECT TESTIMONY?

7 A. Yes, at this time.

STATE OF LOUISIANA

PARISH OF T Jefferson

Personally appeared before me, the undersigned authority in and for the jurisdiction aforesaid authority in and for the jurisdiction aforesaid, ALLEN HEARD, who after being by me first duly sworn that that he is the Manager, Regulatory Filings of Entergy Services, LLC, and that as such is fully authorized to make this affidavit; and further stated that the matters and things contained in the foregoing Direct Testimony are true, accurate, and correct as therein set forth to the best of his knowledge, information, and belief.



ALLEN HEARD
MANAGER, REGULATORY FILINGS
ENTERGY SERVICES, LLC

SWORN TO AND SUBSCRIBED before me, this the 28 day of February 2022.


NOTARY PUBLIC

My Commission Expires:

STEPHEN T. PERRIEN

Notary Public

Parish of Orleans, State of Louisiana

My Commission is Issued for Life.

Bar No. 22590

Notarial No. 49480

BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC	IN RE:	NOTICE OF INTENT OF ENTERGY
EC123-0082-00		MISSISSIPPI, INC. TO IMPLEMENT
2018-UN-205		REVISIONS TO THE FORMULA RATE
		PLAN

DIRECT TESTIMONY

OF

SHANNON C. CREWS

PROJECT COORDINATOR, REGULATORY FILINGS

ENTERGY SERVICES, LLC

ON BEHALF OF

ENTERGY MISSISSIPPI, LLC

MARCH 2022

TABLE OF CONTENTS

	<u>PAGE</u>
I. INTRODUCTION AND BACKGROUND	1
II. DEVELOPMENT OF THE FRP SUBMITTAL	3
A. Per Books Data	3
B. COVID-19 Bad Debt Deferral Recovery.....	5
C. DSM Cost Recovery Mechanics	6
III. PRO FORMA ADJUSTMENTS	9
IV. CONCLUSION.....	16

LIST OF EXHIBITS

Exhibit SCC-1	Pro Forma Adjustments in the Evaluation Reports
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I. INTRODUCTION AND BACKGROUND

Q1. PLEASE STATE YOUR NAME AND BUSINESS ADDRESS.

A. My name is Shannon C. Crews. My business address is 639 Loyola Ave, New Orleans, Louisiana 70113.

Q2. BY WHOM ARE YOU EMPLOYED, AND WHAT IS YOUR CURRENT POSITION?

A. I am employed by Entergy Services, LLC (“ESL”). My present position is Project Coordinator, Regulatory Filings.

Q3. WHAT ARE YOUR PRINCIPAL RESPONSIBILITIES AS PROJECT COORDINATOR, REGULATORY FILINGS?

A. I am responsible for coordinating the preparation of the Formula Rate Plan Rider Schedule FRP-7 (Second Revised) (“Schedule FRP”, “FRP-7”, or “FRP”) look-backs and evaluation reports and cost-of-service filings with the Mississippi Public Service Commission (the “Commission”).

Q4. ON WHOSE BEHALF ARE YOU TESTIFYING?

A. I am testifying on behalf of Entergy Mississippi, LLC (“Entergy Mississippi,” “EML,” or the “Company”).

Q5. PLEASE DESCRIBE YOUR EDUCATIONAL AND PROFESSIONAL BACKGROUND.

A. I graduated from the University of New Orleans with a Bachelor of Science degree in

1 Accounting and a Master of Science degree in Accounting. I am also a licensed Certified
2 Public Accountant in the state of Louisiana. I have worked at Entergy Services, LLC for
3 nine years in the Regulatory Services organization.

4
5 Q6. HAVE YOU TESTIFIED BEFORE THIS COMMISSION PREVIOUSLY?

6 A. Yes, I submitted testimony in support of EML's 2019, 2020, and 2021 FRP submittals.
7

8 Q7. WHAT IS THE PURPOSE OF YOUR TESTIMONY?

9 A. The purpose of my testimony is to discuss certain technical details of the Evaluation Report
10 for the twelve-month period ending December 31, 2022 ("2022 Evaluation Report") and
11 the look-back for the twelve-month period ended December 31, 2021 ("2021 Look-back").
12 First, I discuss the per books data included in the 2022 Evaluation Report and the 2021
13 Look-back. As part of that discussion, I address EML's request for recovery of the bad
14 debt expenses deferred pursuant to the Commission's order dated April 14, 2020, in Docket
15 No. 2018-AD-141, regarding the deferral of certain expenses resulting from the COVID-
16 19 pandemic ("COVID-19 Deferral Order"). Additionally, I discuss the mechanics of
17 EML's demand-side management ("DSM") cost recovery. This is the second FRP
18 submittal made by EML since approval of Attachment K in the Commission's Order dated
19 November 4, 2020, in Docket 2018-UN-205, and, for the first time, EML will be truing-up
20 the previous estimated DSM revenue requirement to the actual revenue requirement. The
21 true-up amount will be recovered from customers outside of the 2021 Look-back
22 bandwidth formula.

23 Second, I discuss certain adjustments included in the 2021 Look-back and the 2022

1 Evaluation Report, including the known and measurable adjustments included in the 2022
2 Evaluation Report.

3
4 **II. DEVELOPMENT OF THE FRP SUBMITTAL**

5 **A. Per Books Data**

6 Q8. FROM WHAT SOURCES WERE THE HISTORICAL DATA INCLUDED IN
7 ENTERGY MISSISSIPPI'S FILING DEVELOPED?

8 A. The filing is based upon audited financial information derived from the Company's
9 accounting records.

10
11 Q9. PLEASE DESCRIBE THE SYSTEM OF ACCOUNTS USED IN MAINTAINING THE
12 COMPANY'S BOOKS AND RECORDS.

13 A. The Company complies with the Uniform System of Accounts ("USofA") established by
14 the Federal Energy Regulatory Commission ("FERC"). The Company also applies
15 Generally Accepted Accounting Principles ("GAAP") established by the Financial
16 Accounting Standards Board and the accounting regulations and guidance established by
17 the Securities and Exchange Commission ("SEC").

18
19 Q10. WHAT STEPS ARE TAKEN TO ASSURE THAT THE ACCOUNTS ARE KEPT IN
20 THE PROPER MANNER?

21 A. The Company's financial processes and systems are well-designed, well-controlled, and
22 are operated by trained professionals, resulting in reliable and accurate financial reporting.
23 The financial statements of the Company and its affiliates are audited annually by an

1 independent external audit firm, Deloitte & Touche LLP, which provides an opinion on
2 whether the Company's financial statements are fairly presented and comply with the
3 USofA and GAAP. Additionally, the external auditor conducts tests of the system of
4 internal financial controls, as required by the Sarbanes-Oxley Act of 2002, and has
5 expressed unqualified opinions since the implementation of this legislation as to the
6 effectiveness of the Company's system of internal controls over financial reporting.

7
8 Q11. HOW WERE THE PER BOOKS AMOUNTS IN THE COMPANY'S ACCOUNTS
9 DEVELOPED FOR THIS FILING?

10 A. The per book financial information supporting this filing was compiled under my direction
11 and control. To the best of my knowledge, information, and belief, the historical financial
12 information included in this filing was taken from the Company's books and records and
13 presents fairly the rate base of the Company as of December 31, 2021, and the results of
14 its operations for the twelve-month period ended December 31, 2021.

15
16 Q12. ARE THE PER BOOKS RATE BASE AMOUNTS SHOWN IN THE 2021 LOOK-BACK
17 AND THE 2022 EVALUATION REPORT CALCULATED CONSISTENT WITH THE
18 PROVISIONS OF THE FRP?

19 A. Yes. In the 2021 Look-back, first, the Company calculated per book plant in service and
20 accumulated depreciation using the FERC Method. Second, the Company calculated per
21 book accumulated deferred income taxes ("ADIT") primarily using the beginning/ending
22 average of each account, except in the case of sixteen accounts, for which the Company
23 used the thirteen-month average. Third, the Company calculated per book customer

1 deposits using the beginning/ending average of the pertinent accounts.

2 In the 2022 Evaluation Report, the per book amounts for plant in service,
3 accumulated depreciation, plant acquisition adjustment, amortization acquisition
4 adjustment, ADIT, and customer deposits start with the December 31, 2021 balances of the
5 pertinent accounts.

6 **B. COVID-19 Bad Debt Deferral Recovery**

7 Q13. BRIEFLY SUMMARIZE THE COMMISSION'S COVID-19 DEFERRAL ORDER.

8 A. The COVID-19 Deferral Order authorizes a utility to defer as a regulatory asset all
9 necessary and reasonable incremental costs or expenses resulting from the COVID-19
10 pandemic. Pursuant to this order, EML deferred its incremental bad debt expenses in
11 Account 1823CB ("COVID Bad Debt Deferral"). In the Commission's Order dated June
12 6, 2021, in this docket, the Commission found that the quantification of the COVID Bad
13 Debt Deferral as of December 31, 2020, and the methodology for quantifying the deferral
14 were consistent with the COVID-19 Deferral Order. The Commission further directed
15 EML to continue using the quantification methodology and to propose an amortization of
16 the deferral in the 2022 Evaluation Report.

17
18 Q14. DID THE COVID BAD DEBT DEFERRAL'S BALANCE CHANGE OVER THE
19 COURSE OF 2021?

20 A. Yes, it did. The balance of the COVID Bad Debt Deferral was \$15.5 million as of
21 December 31, 2020. By December 31, 2021, the deferral was \$13.1 million.

1 Q15. WHY DID THE BALANCE DECREASE OVER 2021?

2 A. The deferral balance decreased primarily due to the collection of arrearages in 2021. As a
3 result, EML's bad debt expense without deferral accounting was less than the level of bad
4 expense reflected in EML's base rates, as adjusted by the FRP Rate Adjustment, as of
5 December 31, 2019, and the deficiency reduced the COVID Bad Debt Deferral.
6

7 Q16. OVER WHAT PERIOD DOES EML PROPOSE TO RECOVER THE COVID BAD
8 DEBT DEFERRAL?

9 A. Through Adjustment AJ06D, EML proposes to recover the deferral over thirty-six months
10 commencing with the month that the Rate Adjustment from the 2022 Evaluation Report
11 becomes effective, which EML expects to be July 1, 2022. This adjustment also includes
12 the deferral's beginning/ending average unamortized balance in rate base, consistent with
13 the Commission's COVID-19 Deferral Order.
14

15 Q17. WHAT WOULD HAPPEN IF EML COLLECTS ANY OUTSTANDING
16 RECEIVABLES THAT WOULD HAVE DECREASED THE COVID BAD DEBT
17 DEFERRAL?

18 A. Any arrearage collections that previously would have reduced the COVID Bad Debt
19 Deferral would instead lower bad debt expense in the year of collection.
20

21 **C. DSM Cost Recovery Mechanics**

22 Q18. PLEASE DESCRIBE HOW ATTACHMENT K AFFECTS THE 2021 LOOK-BACK.

23 A. Attachment K requires a true-up of the estimated 2021 DSM Cost Recovery outside of the

1 Look-back bandwidth formula. As discussed by Mr. Heard in his Direct Testimony filed
2 last year, the DSM revenue requirement consists of (1) a return on the average balance of
3 the DSM regulatory asset net of ADIT, (2) the amortization of the DSM regulatory asset,
4 and (3) the revenue adjustment for the expected usage and revenue reduction resulting from
5 the DSM investment. Pursuant to Paragraph 5 of Attachment K, EML must true-up only
6 the first and second components of the previous year's DSM revenue requirement in each
7 Look-back.

8
9 Q19. WHAT IS THE AMOUNT OF TRUE-UP?

10 A. The true-up amount is a recovery from customers of \$0.1 million, which will be included
11 in the Interim Rate Adjustment effective July 1, 2022, as discussed by Mr. Heard. Last
12 year, EML estimated its 2021 DSM expenditures to be \$11.8 million. EML's actual 2021
13 DSM expenditures were \$12.9 million, which included energy efficiency program
14 expenditures of \$12.1 million, the cumulative under-recovery of the former Energy
15 Efficiency Rider of \$0.7 million, and e-Tech rebates of approximately \$71,000. Thus, the
16 resulting regulatory asset net of ADIT and amortization are greater than previously
17 estimated. The calculation of the true-up amount is included in the 2021 Look-back in
18 Workpaper MD 1.4.

19
20 Q20. ARE THERE ANY OTHER STEPS TO THE TRUE-UP?

21 A. Yes. In order to prevent the true-up from occurring twice, Paragraph 5 of Attachment K
22 requires the difference in the estimated revenue requirement and the actual revenue
23 requirement to be removed from the calculation of the Look-back Return on Rate Base

1 calculation. To accomplish this, Adjustment AJ06B includes the estimated 2021 DSM
2 Regulatory Asset net of ADIT from the 2021 Evaluation Report. No adjustment to the per
3 books amortization is necessary because the per books amortization is based on the 2021
4 DSM expenditure estimate. Adjustment AJ06B is only included in the 2021 Look-back.

5
6 Q21. WHAT ADJUSTMENTS ARE NECESSARY FOR THE 2022 EVALUATION
7 REPORT RELATED TO DSM COST RECOVERY?

8 A. The adjustments necessary for the 2022 Evaluation Report are included in Adjustment
9 AJ05M Known and Measurable – DSM Recovery. First, adjustments are necessary to
10 reflect the expected 2022 DSM revenue requirement in rate base and Net Utility Operating
11 Income. Second, adjustments are necessary to adjust the 2021 DSM Regulatory Asset
12 balance and the related amortization to the appropriate levels for 2022.

13
14 Q22. WHAT IS THE 2022 DSM EXPENDITURE AMOUNT USED IN ADJUSTMENT
15 AJ05M?

16 A. The expected 2022 DSM expenditures are \$25.9 million. This amount includes energy
17 efficiency program expenditures of \$15.5 million and income-qualified distributed
18 generation rebates and energy efficiency rebates required by the Commission's Order in
19 Docket No. 2021-AD-19 dated January 18, 2022, of \$10.4 million.

20
21 Q23. IS THIS THE FIRST KNOWN AND MEASURABLE ADJUSTMENT IN AN FRP
22 EVALUATION REPORT RELATED TO DSM COST RECOVERY?

23 A. Yes. Last year, the Commission authorized EML to recover the 2021 DSM revenue

1 requirement outside the Evaluation Report bandwidth formula. Now, EML must recover
2 all DSM revenue requirements inside the bandwidth formula, apart from the true-up
3 discussed above, which requires a known and measurable adjustment to the 2022
4 Evaluation Report consistent with Schedule FRP Attachment K.

5
6 **III. PRO FORMA ADJUSTMENTS**

7 Q24. DOES SCHEDULE FRP-7 ALLOW EML TO MAKE ADJUSTMENTS TO THE PER
8 BOOK DATA?

9 A. Yes. Attachment C and Attachment K to Schedule FRP-7 defines the instances in and
10 methods by which actual data for each Evaluation Period shall be adjusted. Section 5 of
11 Attachment C allows EML to make adjustments to the Evaluation Period to reflect future
12 net investment and known and measurable changes to operating expenses including, but
13 not limited to, a defined list of categories of rate base, revenues, and operating expenses.
14 Section 6 further provides that, “Nothing in this Schedule shall preclude the Company or
15 Public Staff from proposing additional adjustment(s) beyond those described in
16 Adjustments 1-5. However, if the Company or Public Staff proposes such adjustment(s) it
17 shall be required to establish that such adjustment(s) are consistent with the general
18 philosophy and structure of this Schedule FRP.”

19 Q25. DO THE 2022 EVALUATION REPORT AND 2021 LOOK-BACK CONTAIN ANY
20 PRO FORMA ADJUSTMENTS?

21 A. Yes.

1 Q26. PLEASE IDENTIFY THE PRO FORMA ADJUSTMENTS INCLUDED IN THE 2022
2 EVALUATION REPORT AND 2021 LOOK-BACK.

3 A. Attached to my testimony as Exhibit SCC-1 is a table listing each pro forma adjustment by
4 number and title and showing whether the pro forma adjustment is included in the 2021
5 Look-back, the 2022 Evaluation Report, or both. Pro forma adjustments that are in both
6 evaluation reports have the same purpose; however, they may include different amounts
7 because of differences in the respective evaluation periods.

8
9 Q27. DID THE COMPANY PROPOSE ANY ADJUSTMENTS TO REFLECT KNOWN AND
10 MEASURABLE CHANGES?

11 A. Yes. As shown in Exhibit SCC-1, the Company made ten pro forma adjustments to reflect
12 known and measurable changes pursuant to Attachment C, Section 5 of Schedule FRP-7.
13 Most of these adjustments are the same type that were made in the previous Evaluation
14 Reports and that were accepted by the Commission.

15
16 Q28. WHAT IS THE PURPOSE OF ADJUSTMENT AJ05A (PLANT TRANSFERS)?

17 A. Adjustment AJ05A adjusts Plant in Service, Accumulated Depreciation, and ADIT for
18 expected additions and retirements in calendar year 2022. To develop this adjustment,
19 subject matter experts from the various functions (Transmission, Distribution, etc.) were
20 consulted and confirmed the capital projects that are expected to close to Plant in Service
21 in 2022. The total additions for 2022 are \$[REDACTED] million. Company witnesses J. Robbin
22 Jeter and Allen A Heard discuss the major capital additions in their respective Direct
23 Testimonies. The Company functionalized each addition based upon the 300-level

1 functional FERC plant account to which an addition was anticipated to close. Similar to
2 the 2021 Evaluation Report, the expected 2022 retirements are based on the historical
3 average retirements per year over the period 2017 through 2021. The adjustment [REDACTED]
4 Plant in Service by [REDACTED] million and [REDACTED] Accumulated Depreciation by [REDACTED]
5 million and ADIT by [REDACTED] million.

6
7 Q29. WHAT IS THE PURPOSE OF ADJUSTMENT AJ05B (DEPRECIATION
8 ANNUALIZATION)?

9 A. This adjustment annualizes the depreciation expense based on the changes to plant in
10 service expected to occur in 2022 and reflected in Adjustment AJ05A, discussed above.
11 The adjustment in total [REDACTED] depreciation and amortization expense by \$ [REDACTED] million.

12
13 Q30. WHAT IS THE PURPOSE OF ADJUSTMENT AJ05D (ADIT)?

14 A. Adjustment AJ05D adjusts ADIT balances to either the average of the beginning and
15 ending year balance as of December 31, 2022, or the thirteen-month average balance for
16 December 31, 2021 to December 31, 2022, consistent with the rate base calculation. This
17 adjustment [REDACTED] rate base by \$ [REDACTED] million.

18
19 Q31. WHAT IS THE PURPOSE OF ADJUSTMENT AJ05E (ITC)?

20 A. Adjustment AJ05E adjusts ITC amortization expense for known and measurable changes.
21 This adjustment [REDACTED] Investment Tax Credit expense by approximately \$ [REDACTED].

1 Q32. WHAT IS THE PURPOSE OF ADJUSTMENT AJ05H (PENSION)?

2 A. Adjustment AJ05H adjusts rate base to reflect that 2022 pension contributions are [REDACTED]
3 [REDACTED] and adjusts O&M expense to reflect 2022 expense levels for
4 pension, supplemental pension, and other postretirement employment benefits based on
5 information supplied by EML's actuary. The adjustment also [REDACTED] the amortization
6 of the pension settlement deferral to the level currently expected for 2022. Overall, the
7 adjustment [REDACTED] rate base by approximately \$ [REDACTED] million and [REDACTED] pensions and
8 benefits expense by \$ [REDACTED] million.

9
10 Q33. WHAT IS THE PURPOSE OF ADJUSTMENT AJ05I (PAYROLL)?

11 A. Adjustment AJ05I adjusts payroll and related expenses to an annualized level reflective of
12 the January 2022 headcount as required by FRP-7. This adjustment [REDACTED] expense by
13 \$ [REDACTED] million. To calculate the change associated with payroll expense billed to EML by
14 ESL, EML used the historical, actual 2021 percentage of ESL payroll expense billed to
15 EML.

16
17 Q34. WHAT IS THE PURPOSE OF ADJUSTMENT AJ05J (CUSTOMER DEPOSITS &
18 INTEREST)?

19 A. First, this adjustment adjusts the customer deposits to the average of the beginning and
20 ending year balance as of December 31, 2022. To calculate the December 31, 2022,
21 balance, the Company multiplied the December 31, 2021, balance by the average annual
22 growth rate over the period 2019 through 2021. The first part of the adjustment [REDACTED]

1 rate base by \$[REDACTED] million.

2 Second, this adjustment also adjusts interest expense reclassified above the line in
3 Adjustment AJ04F to the level resulting from the Commission-approved interest rate for
4 2022, 1.39%, times the average balance described above. The second part of the
5 adjustment [REDACTED] the reclassified interest expense from Adjustment AJ04F by \$[REDACTED]
6 million.

7
8 Q35. WHAT IS THE PURPOSE OF ADJUSTMENT AJ05K (AMI)?

9 A. The purpose of this adjustment is to decrease O&M expense to reflect known and
10 measurable AMI-related savings in 2022. These savings are not based on the level of
11 savings reflected in the 2016 AMI filing. Rather, these savings relate to a contract for
12 meter reading services that has terminated effective January 2022. This adjustment
13 [REDACTED] O&M expense by \$[REDACTED] million.

14
15 Q36. WHAT IS THE PURPOSE OF ADJUSTMENT AJ05M (DSM RECOVERY)?

16 A. The purpose of Adjustment AJ05M is to commence recovery of the 2022 DSM revenue
17 requirement, as discussed in the previous section of my testimony. This portion of the
18 adjustment [REDACTED] rate base by \$[REDACTED] million and O&M expense by \$[REDACTED] million and
19 [REDACTED] rate schedule revenues by \$[REDACTED] million. Also, the Adjustment AJ05M adjusts
20 the 2021 DSM Regulatory Asset and the related amortization to the appropriate level for
21 the 2022 Evaluation Report. This portion of the adjustment [REDACTED] rate base by \$[REDACTED]

1 million and [REDACTED] O&M expense by \$ [REDACTED] million.

2
3 Q37. WHAT IS THE PURPOSE OF ADJUSTMENT AJ05O (INCENTIVE COMPENSATION
4 AND STOCK OPTIONS)?

5 A. The purpose of the adjustment is to eliminate certain incentive compensation, system
6 executive retirement plan-related pension expense, and stock option expense. The
7 adjustment [REDACTED] O&M expense by \$ [REDACTED] million.

8
9 Q38. HAS THE COMPANY PROPOSED ANY ADJUSTMENTS PURSUANT TO SECTION
10 6, ATTACHMENT C TO FRP-7?

11 A. Yes. The Company has proposed four adjustments, Adjustment AJ06A, AJ06B, AJ06C,
12 and AJ06D.

13
14 Q39. WHAT IS THE PURPOSE OF ADJUSTMENT AJ06A (OTHER - ACCRUAL AND
15 AMORTIZATION REVERSAL)?

16 A. The first purpose of the adjustment is to eliminate the credit accrued in 2021 with the
17 regulatory asset reflecting the Company's expectation of an Interim Rate Adjustment
18 resulting from the 2021 Look-back. If this credit accrual is not eliminated from the
19 calculation of Net Utility Operating Income in the 2021 Look-back, then Net Utility
20 Operating Income would reflect that the Interim Rate Adjustment became effective in
21 2021, when it did not. If this credit accrual is not eliminated from the calculation of Net
22 Utility Operating Income in the 2022 Evaluation Report, then EML would be refunding
23 the estimated Interim Rate Adjustment through the Annual Rate Adjustment.

1 The second purpose is to eliminate the 2021 amortizations of the regulatory assets
2 reflecting the 2020 Look-back Interim Rate Adjustment, 2021 Annual Rate Adjustment in
3 excess of 2%,¹ and the Choctaw Annual Capacity Costs (“ACC”) true-up. If these
4 amortizations are not eliminated from the 2021 Look-back and the 2022 Evaluation Report,
5 then EML could recover a portion of these amortizations a second time.

6 The third purpose of this adjustment is to eliminate the amortization of the COVID
7 non-bad debt deferral. Overall, this adjustment ██████████ expense by \$██████ million in both
8 the 2021 Look-back and the 2022 Evaluation Report.

9
10 Q40. WHAT IS THE PURPOSE OF ADJUSTMENT AJ06B (DSM REG ASSET)?

11 A. The purpose of this adjustment is to include in rate base the DSM regulatory asset, net of
12 ADIT, at the estimated level included in the 2021 Evaluation Report and to facilitate the
13 true-up of the 2021 DSM Regulatory Asset, as discussed previously in my testimony. This
14 adjustment ██████████ rate base by \$██████ million and is only included in the 2021 Look-back.

15
16 Q41. WHAT IS THE PURPOSE OF ADJUSTMENT AJ06C (OTHER – INTERIM RATE
17 ADJUSTMENT)?

18 A. The purpose of this adjustment is to eliminate the revenue from the Interim Rate
19 Adjustment resulting from the 2020 Look-back and Choctaw ACC true-up. This
20 adjustment is related to Adjustment AJ06A and ██████████ Rate Schedule Revenues by

¹ EML recognized a regulatory asset for the portion of the 2021 Annual Rate Adjustment in excess of the 2% cap. EML began to amortize the regulatory asset in July 2021 once EML implemented the remainder of the Annual Rate Adjustment pursuant to Commission approval.

\$[REDACTED] million. If this revenue is not eliminated from the calculation of Net Utility Operating Income in the 2021 Look-back and the 2022 Evaluation Report, then the Company would lose those revenues through the 2021 Look-back Interim Adjustments and the 2022 Evaluation Report Annual Rate Adjustments.

Q42. WHAT IS THE PURPOSE OF ADJUSTMENT AJ06D (COVID BAD DEBT)?

A. As discussed above, EML is seeking recovery of its COVID Bad Debt Deferral over thirty-six months and including the unamortized balance in rate base in the 2022 Evaluation Report. This adjustment [REDACTED] rate base by \$ [REDACTED] million and [REDACTED] O&M expense by \$ [REDACTED] million.

IV. CONCLUSION

Q43. ARE THE 2022 EVALUATION REPORT AND 2021 LOOK-BACK REASONABLE AND CONSISTENT WITH THE PROVISIONS OF SCHEDULE FRP-7?

A. Yes, they are.

Q44. DOES THIS CONCLUDE YOUR DIRECT TESTIMONY?

A. Yes, at this time.

STATE OF LOUISIANA
PARISH OF Orleans

Personally appeared before me, the undersigned authority in and for the jurisdiction aforesaid authority in and for the jurisdiction aforesaid, SHANNON CREWS, who after being by me first duly sworn that that she is the Project Coordinator, Regulatory Filings of Entergy Services, LLC, and that as such is fully authorized to make this affidavit; and further stated that the matters and things contained in the foregoing Direct Testimony are true, accurate, and correct as therein set forth to the best of her knowledge, information, and belief.

Shannon Crews
SHANNON CREWS
PROJECT COORDINATOR,
REGULATORY FILINGS
ENTERGY SERVICES, LLC

SWORN TO AND SUBSCRIBED before me, this the 28th day of February 2022.

[Signature]
NOTARY PUBLIC

My Commission Expires:
STEPHEN T. PERRIEN
Notary Public
Parish of Orleans, State of Louisiana
My Commission is Issued for Life.
Bar No. 22590
Notarial No. 49480

List of Pro Forma Adjustments in the 2021 Look-Back and 2022 Evaluation Report			
Adjustment Number	Adjustment Title	In 2021 Look- Back?	In 2022 Evaluation Report?
AJ01A	Special Rates Rider Eliminations	Yes	Yes
AJ01B	Adjustment to Remove Unbilled Revenue	Yes	Yes
AJ01C	FRP Revenue Adjustment	No	Yes
AJ02	Interest Synchronization	Yes	Yes
AJ03A	Income Tax Adjustment - Current Income Taxes	Yes	Yes
AJ03B	Income Tax Adjustment - Federal and State Deferred Income Taxes	Yes	Yes
AJ03C	Accumulated Deferred Income Taxes	Yes	Yes
AJ03D	Income Tax Adjustment - ITC	Yes	Yes
AJ04A	Reclassification - Cash Working Capital	Yes	Yes
AJ04B	Reclassification - Miscellaneous	Yes	Yes
AJ04C	Reclassification - Advertising	Yes	Yes
AJ04D	Reclassification - ESL Interest	Yes	Yes
AJ04E	Reclassification - Lobbying	Yes	Yes
AJ04F	Reclassification - Customer Deposits	Yes	Yes
AJ04G	Reclassification - Storm Costs	Yes	Yes
AJ04H	Reclassification - OPEB & Pension	Yes	Yes
AJ04I	Reclassification - ARO	Yes	Yes
AJ04J	Reclassification - Credit Facility Fees	Yes	Yes
AJ04K	Reclassification - Future Use	Yes	Yes
AJ04N	Reclassification - Ad Valorem Taxes	Yes	Yes
AJ04O	Reclassification - Incentive Compensation	Yes	No
AJ05A	Known and Measurable - Plant Transfers	No	Yes
AJ05B	Known and Measurable - Depreciation Annualization	No	Yes
AJ05D	Known and Measurable - ADIT	No	Yes
AJ05E	Known and Measurable - ITC	No	Yes
AJ05H	Known and Measurable - Pension and OPEB	No	Yes
AJ05I	Known and Measurable - Payroll	No	Yes
AJ05J	Known and Measurable – Customer Deposits & Interest	No	Yes
AJ05K	Known and Measurable - Advanced Metering Infrastructure	No	Yes
AJ05M	Known and Measurable – DSM Recovery	No	Yes
AJ05O	Known and Measurable - Incentive Compensation and Stock Options	No	Yes
AJ06A	Other - Accrual and Amortization Reversal	Yes	Yes
AJ06B	Other – DSM Reg Asset	Yes	No
AJ06C	Other – Interim Rate	Yes	Yes
AJ06D	Other – COVID Bad Debt	No	Yes

BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC

EC-123-0082-00

2018-UN-205

IN RE: NOTICE OF INTENT OF ENTERGY
MISSISSIPPI, INC. TO IMPLEMENT
REVISIONS TO THE FORMULA RATE
PLAN

DIRECT TESTIMONY

OF

CRYSTAL K. ELBE

MANAGER, UTILITY PRICING AND ANALYSIS

ENTERGY SERVICES, LLC

ON BEHALF OF

ENTERGY MISSISSIPPI, LLC

MARCH 2022

TABLE OF CONTENTS

I. INTRODUCTION AND BACKGROUND	1
II. FULLY-COSTED FIXED CUSTOMER CHARGES	3

Exhibits

Exhibit CKE-1	Red-line Versions of the Revised Residential Rate Schedule, Residential Electric Water Heating Rate Schedule, and General Lighting and Power Service Rate Schedule and related riders
Exhibit CKE-2	Clean Versions of the Revised Residential Rate Schedule, Residential Electric Water Heating Rate Schedule, and General Lighting and Power Service Rate Schedule and related riders
Exhibit CKE-3	2014 Rate Case Compliance Unit Cost Study Results (CONFIDENTIAL)
Exhibit CKE-4	Bill Impacts for the Residential Rates (RS-C and RS-W) Rate Schedules for Fully-Costed Customer Charge (CONFIDENTIAL)
Exhibit CKE-5	Bill Impacts for the General Lighting and Power Service Rate (GS) Schedule for Fully-Costed Customer Charge (CONFIDENTIAL)

I. INTRODUCTION AND BACKGROUND

Q1. PLEASE STATE YOUR NAME, TITLE, AND BUSINESS ADDRESS.

A. My name is Crystal K. Elbe. I am employed by Entergy Services, LLC (“ESL”)¹ as Manager of Utility Pricing and Analysis. My business address is 639 Loyola Avenue, New Orleans, Louisiana 70113.

Q2. ON WHOSE BEHALF ARE YOU TESTIFYING?

A. I am testifying before the Mississippi Public Service Commission (“MPSC” or the “Commission”) on behalf of Entergy Mississippi, LLC (“Entergy Mississippi”, “EML” or the “Company”).

Q3. PLEASE DESCRIBE YOUR EDUCATIONAL, PROFESSIONAL AND WORK EXPERIENCE.

A. I have a Master of Business Administration from the A. B. Freeman School of Business at Tulane University and both a Master of Science and a Bachelor of Science in Accounting from the E. J. Ourso College of Business at Louisiana State University. I have worked for Entergy since 1995, holding a variety of positions during that time primarily within the Regulatory, Finance, and Accounting departments.

Currently, I am member of ESL’s Regulatory Services department as the Manager of Utility Pricing and Analysis and in this role, I am responsible for the development of utility retail rates, rate design, and allocation factors in support of EOC regulatory filings.

¹ ESL is a subsidiary of Entergy Corporation that provides technical and administrative services to all of the Entergy Operating Companies (“EOCs”). The EOCs include Entergy Arkansas LLC, Entergy Louisiana, LLC, Entergy Mississippi, LLC, Entergy New Orleans, LLC, and Entergy Texas, Inc.

1 In my prior role as the Rates Strategy Manager within the Regulatory Research group, I
2 also supported the EOCs' efforts to develop regulatory and rate mechanisms for new
3 customer centric offerings that address the evolving needs and interests of the EOCs'
4 respective customers. These new offerings include distributed energy resources, energy
5 efficiency, demand response, and customer billing and convenience offerings. Prior to this
6 role, I was a Regulatory Project Coordinator in ESL's Regulatory strategy group and
7 coordinated the development of the EOCs' respective regulatory strategies for potential
8 new customer offerings. I also coordinated the EOCs' Advanced Metering Infrastructure
9 ("AMI") regulatory applications, which included the net benefit analysis, revenue
10 requirement estimates, and the development of the regulatory recovery mechanisms for
11 each EOC's AMI deployment.

12 Also, I have held several leadership positions within the Regulatory Services
13 organization as Manager of ELL Regulatory Filings (2015), Regulatory Strategy Manager
14 (2014), and Manager of Revenue Requirements and Analysis (2013). My primary area of
15 responsibility in these roles included managing regulatory filings for cost recovery
16 mechanisms (Formula Rate Plans and Rate Case Costs of Service), new tariff development,
17 rate design analysis, and financial forecasting. From 2009-2012, I was the Regulatory
18 Affairs Coordinator in the ESL Integrated Energy Management Organization which led the
19 initial research and analysis into emerging new smart grid technologies and, as such, was
20 responsible for coordinating the financial and regulatory aspects of Entergy New Orleans,
21 LLC's Department of Energy AMI Stimulus Grant pilot project. Prior to that, I worked
22 within Entergy's Accounting, Finance, and Regulatory Services organizations since
23 December 1995.

1 Q4. HAVE YOU PREVIOUSLY TESTIFIED BEFORE THIS COMMISSION?

2 A. Yes. I have testified in the Prepay Electric Service Option (Docket No. 2021-UN-177) and
3 in the Smart Energy Services (Docket No. 2018-UN-133).

4
5 Q5. WHAT IS THE PURPOSE OF YOUR DIRECT TESTIMONY?

6 A. The purpose of my testimony is to support the fully-costed fixed customer charges for the
7 Residential Rate Schedule, Residential Electric Water Heating Rate Schedule, and General
8 Lighting and Power Service Rate Schedule (and related riders) filed by EML pursuant to
9 Section V(C) of the Formula Rate Plan Rider Schedule FRP-7 (Second Revised). The
10 fully-costed fixed customer charge for the Residential Rate Schedule and Residential
11 Electric Water Heating Rate Schedule is \$14.68 per month. The fully-costed fixed
12 customer charge for the General Lighting and Power Service (“GS” or “general service”)
13 Rate Schedule and related riders is \$28.38 per customer per month. The related riders are
14 the Short Term and Temporary Service Rider Schedule, the Service to Churches, Schools,
15 and Recreational Facilities Rider Schedule, the Service to Churches Rider Schedule, and
16 the General Municipal Service Rider Schedule, which I collectively refer to as the “GS
17 Riders.” I have included the revised red-line versions of these rate schedules and riders as
18 Exhibit CKE-1 to my Direct Testimony and clean versions in Exhibit CKE-2.

19

20 **II. FULLY-COSTED FIXED CUSTOMER CHARGES**

21 Q6. WHAT IS THE PURPOSE OF A CUSTOMER CHARGE?

22 A. The purpose of the customer charge is to recover the customer-related costs that are
23 incurred by a utility even if a customer does not impose a demand on the Company’s

1 capacity or consume energy. These costs vary with the number of customers served. For
2 example, the cost of meters, meter-related expenses, and bill preparation expenses are
3 examples of customer-related costs.²

4 Generally, a utility identifies costs as customer-related as part of its cost of service
5 preparation. EML refers to this part of cost of service preparation as classification, and
6 EML classifies its costs into three categories: demand-related, energy-related, and
7 customer-related.

8
9 Q7. HOW DID ENTERGY MISSISSIPPI DETERMINE THE CUSTOMER CHARGES
10 FOR THE REVISED RATE SCHEDULES INCLUDED WITH THE FRP
11 SUBMITTAL?

12 A. The base rates reflected in the current residential and general service rate schedules resulted
13 from EML's 2014 Rate Case filed in Commission Docket No. 2014-UN-132. Given the
14 lack of time available to prepare new analyses for this FRP submittal, the proposed
15 customer charges and rate design are based on the Company's most recent cost of service
16 developed for that proceeding. The results of the unit cost study, which is part of the cost
17 of service, showed that to recover the residential rate class's customer-related costs through
18 a monthly fixed customer charge, the monthly residential customer charge should be set at
19 \$14.68 per customer. The results further showed that to recover the GS rate class's
20 customer-related costs through a monthly fixed customer charge, the monthly GS customer

² As technology and EML's cost of service processes change, EML may be able to determine that other types of costs are customer-related costs.

charge should be set at \$28.38 per customer. See Confidential Exhibit CKE-3 for the unit cost study results from the Company's most recent cost of service study.

Q8. WHAT IS THE CURRENT RESIDENTIAL CUSTOMER CHARGE?

A. The current residential customer charge is \$6.75.

Q9. DOES THIS CHANGE MEAN THAT A TYPICAL RESIDENTIAL CUSTOMER'S BILL IS INCREASING BY ALMOST \$8 DUE TO THE INCREASED CUSTOMER CHARGE?

A. No. The proposed increases in the customer charges are designed to be revenue neutral, meaning that the level of customer charges plus the volumetric rates are designed to produce the same level of authorized revenues for the rate class as the existing base rates approved by the Commission. Specifically, the proposed customer charge increases are offset by volumetric charge decreases in the residential and general service rate schedules. Thus, when applied to the 2014 Rate Case billing determinants, the two sets of changes result in EML collecting the same level of base revenues as approved in the 2014 Rate Case. The result of these changes means that base rates for about 90% of typical residential customers on rate schedule RS-38C are actually decreasing.

Q10. DID EML CHANGE THE CHARGES FOR THREE-PHASE SERVICE AND UNDERGROUND SERVICE IN THE RESIDENTIAL RATE SCHEDULES?

A. Yes. EML increased those service charges in the same proportion as the customer charge. The charge for three-phase service increased to \$7.70 per month from \$3.54 per month. The charge for underground service increased to \$3.50 per month from \$1.61 per month.

Q11. WHAT ARE THE CHANGES IN THE VOLUMETRIC CHARGES IN THE RESIDENTIAL RATE SCHEDULE (RS38-C) AND RESIDENTIAL ELECTRIC WATER HEATING RATE SCHEDULE (RS38-W)?

A. The table below shows the changes. Both residential schedules have two energy charge blocks.

Table 1				
Summary of Energy Charge Changes in Residential Rate Schedules				
	Present	Proposed	Change (\$)	Change (%)
RS-38C				
First 500 kWh	\$0.098815	\$0.078103	(\$0.020712)	(21.0%)
All Additional kWh	\$0.070934	\$0.070293	(\$0.000641)	(0.9%)
RS-38W				
First 500 kWh	\$0.093874	\$0.076540	(\$0.017334)	(18.5%)
All Additional kWh	\$0.067017	\$0.068885	\$0.001868	2.8%

Q12. HOW DID ENTERGY MISSISSIPPI ARRIVE AT THE PROPOSED RATES?

A. As an initial approach, EML considered allocating the additional revenue resulting from increasing the customer charge to each block in proportion to the revenue collected through each block. That approach caused bill increases for all customers with 1,000 kilowatt-hours (“kWh”) or less of usage per month with the bill increases increasing as usage

1 decreased. For example, a residential customer on RS-38C using 500 kWh would have
2 experienced a bill increase of \$3.60 per month.

3 To mitigate bill increases to residential customers on RS-38C with usage less than
4 1,000 kWh, EML reduced the price differential between RS-38C's first block and RS-
5 38W's first block from 5% to 2%. The price differential change reallocates approximately
6 \$3.7 million of revenue from the RS-38C customers' rate schedule to the RS-38W
7 customers' rate schedule. Next, EML changed the percent reductions between the first and
8 second blocks of both residential rate schedules from 28% to 10%.

9
10 Q13. WHY DID EML REALLOCATE REVENUE FROM THE RS-38C RATE SCHEDULE
11 TO THE RS-38W RATE SCHEDULE?

12 A. The above changes to the volumetric rates are another step in the phase-out of RS-38W,
13 the Electric Water Heating Rate Schedule, and the transition to a single residential rate
14 schedule for the residential rate class.³

15
16 Q14. WHAT ARE THE ESTIMATED BILL EFFECTS OF THE REVISION OF THE
17 RESIDENTIAL RATE SCHEDULES?

18 A. The effects of the revisions are shown on Confidential Exhibit CKE-4. All customers on
19 RS-38C with usage of 400 kWh or more per month (about 90% of EML's RS-38C
20 residential customers) would see a bill decrease. For example, a residential customer on
21 RS-38C using 500 kWh would experience a bill decrease of \$2.75 per month. Customers
22 on RS-38C with usage below 400 kWh per month would see a bill increase. The bill

³ See the Commission's Final Order in Docket No. 2014-UN-132, dated December 11, 2014, at p. 23.

increases to these customers are necessary to ensure that those customers bear all of their customer-related costs that are collected through the residential rate schedules.

All customers on RS-38W with usage greater than or equal to 500 kWh but less than or equal to 1,500 kWh would see bill decreases or bill increases of less than 1%.

Q15. WHAT ARE THE CHANGES IN THE VOLUMETRIC CHARGES IN THE GS RATE SCHEDULE?

A. The table below shows the changes to the GS Rate Schedule's four energy charge blocks.

Table 2				
Summary of Energy Charge Changes in the GS-298 Rate Schedule				
	Present	Proposed	Change (\$)	Change (%)
First 870 kWh	\$0.123555	\$0.115009	(\$0.008546)	(6.9%)
Next 7,000 kWh	\$0.075731	\$0.071715	(\$0.004016)	(5.3%)
Additional kWh up to 60,000 kWh or 300 kWh/kW	\$0.066564	\$0.063416	(\$0.003148)	(4.7%)
For kWh in excess of 60,000 kWh or 300 kWh/kW	\$0.059401	\$0.056931	(\$0.002470)	(4.2%)

Q16. HOW DID ENTERGY MISSISSIPPI ARRIVE AT THE PROPOSED RATES?

A. EML allocated the additional revenue resulting from increasing the customer charge to each block in proportion to the revenue collected through each block.

Q17. WHAT ARE THE ESTIMATED BILL EFFECTS OF THE REVISION OF THE GS RATE SCHEDULE?

A. The effects of the revisions are shown on Confidential Exhibit CKE-5. Customers with average demands less than 12 kilowatts, which are the majority of customers, would experience bill increases ranging from approximately \$6 to \$21. These bill effects are

1 consistent with a fully-costed customer charge and the GS Rate Schedule's design, which
2 generally produces higher average costs for low demand and low load factor customers.
3

4 Q18. WHAT ARE THE CHANGES TO THE GS RIDERS?

5 A. The minimum bill amounts in the GS Riders now reflect the fully-costed monthly GS
6 customer charge of \$28.38.
7

8 Q19. DOES THIS CONCLUDE YOUR DIRECT TESTIMONY?

9 A. Yes, at this time.

STATE OF LOUISIANA
PARISH OF ORLEANS

Personally appeared before me, the undersigned authority in and for the jurisdiction aforesaid authority in and for the jurisdiction aforesaid, CRYSTAL ELBE, who after being by me first duly sworn that that she is the Manager, Utility Pricing and Analysis of Entergy Services, LLC, and that as such is fully authorized to make this affidavit; and further stated that the matters and things contained in the foregoing Direct Testimony are true, accurate, and correct as therein set forth to the best of her knowledge, information, and belief.


CRYSTAL ELBE
MANAGER, UTILITY PRICING & ANALYSIS
ENTERGY SERVICES, LLC

SWORN TO AND SUBSCRIBED before me, this the 24th day of February 2022.


NOTARY PUBLIC

My Commission Expires:

upon death

Sean Damian Moore
Notary ID# 40557
Notary Public for the State of Louisiana
~~My Commission Expires Upon Death~~

ENTERGY MISSISSIPPI, LLCDate Filed: March 1, 2022~~November 20, 2018~~Date to be Effective: June 30, 2022~~December 1, 2018~~Docket No.: 2018-UN-205~~2018-UA-39~~**MISSISSIPPI PUBLIC SERVICE COMMISSION**

P.S.C. Schedule No. I-5

Revised Schedule No. 5, Date: June 30, 2022~~December 1, 2018~~Superseded Schedule No. 5, Date: December 1, 2018~~January 30, 2015~~

Schedule Consists of: Two Pages

RESIDENTIAL RATE SCHEDULE RS-398C**I. AVAILABILITY**

At any point on Company's existing distribution lines of adequate capacity and suitable voltage.

II. APPLICATION

For residential electric service to private residences, individual family apartments, or farms with individual motor loads not larger than 10 horsepower, supplied through one meter.

Service is for the use of the customer and may not otherwise be shared and may not be resold to others.

When a portion of a residence is used for other than residential purposes the appropriate non-residential service schedule will be applied.

Not applicable to standby or supplementary service.

III. CHARACTER OF SERVICE

The service to be supplied will normally be single phase, 60 cycles, and approximately 120/240 volts. However, three phase service may be supplied, provided that it is available at the service location and Company determines that single phase facilities will not adequately meet Customer's needs.

IV. NET MONTHLY RATE**A. RATE**

~~\$14.686.75~~ Customer Charge; plus
~~\$0.07810398845~~ per kWh for the first 500 kWh
~~\$0.0702930934~~ per kWh for all additional kWh

For three phase service there will be an additional charge of ~~\$7.703.54~~.For customers served from underground electric distribution facilities installed subsequent to June 7, 1966, there will be an additional charge of ~~\$3.501.64~~.**B. MINIMUM BILL**

The minimum bill shall be the customer charge plus any applicable Facilities Charge.

C. FACILITIES CHARGE

In addition to the amount otherwise computed under the provisions of the net monthly rate included herein, the amount of any Facilities Charge applicable to such service, will be paid monthly. Such Facilities Charge shall be based upon the additional investment necessary to cover the cost of rendering said service.

(Continued on reverse side)

D. ADJUSTMENTS

First - Plus or minus an amount determined in accordance with Company's effective Energy Cost Recovery Rider on file with the Mississippi Public Service Commission.

Second - Plus or minus a percentage adjustment on the pre-tax billing sufficient to compensate Company for any increase in income taxes above the 1993 level or to reduce Customer's billing to adjust for any decrease in any effective income tax rates.

Upon any change in the effective rates of income taxes the Company will file within 30 days the percentage adjustment to be applied for the remainder of the year based on operations for the prior calendar year. Subsequently the percentage adjustment to be applied during a year will be filed with the Commission prior to February 1 of each year and will be based on the prior calendar year's operations. The adjustment will be such percentage as may be necessary to obtain the same after-tax income under the effective tax rates as would have been realized under the income tax rates in effect for the year 1993 without this income tax adjustment.

Third - Plus the applicable proportionate part of any directly allocable tax, impost, or assessment imposed or levied by any governmental authority, which is assessed or levied against the Company or directly affects the Company's cost of operation and which the Company is legally obligated to pay on the basis of meters, customers, or rates of, or revenue from electric power and energy or service sold, or on the volume of the energy generated, transported, purchased for sale, or sold, or on any other basis where direct allocation is possible.

V. RESERVATION

Subject to orders of regulatory authorities having jurisdiction and to the provisions of Company's Service Policy on file with the Mississippi Public Service Commission.

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P.S.C. Schedule No. V-6

Revised Schedule No. V-6, Date: [June 30, 2022](#)
~~December 1, 2018~~Superseded Schedule No. V-6, Date: [December 1, 2018](#)
~~January 30, 2015~~

Schedule Consists of: Two Pages

RESIDENTIAL ELECTRIC WATER HEATING RATE SCHEDULE RS-398W
NOT AVAILABLE TO NEW CUSTOMERS AFTER JANUARY 30, 2015

I. AVAILABILITY

At any point on Company's existing distribution lines of adequate capacity and suitable voltage.

II. APPLICATION

For residential electric service to private residences, individual family apartments, or farms with individual motor loads not larger than 10 horsepower, using an approved electric water heater(s) for the total water heating requirements supplied through one meter. This Rate Schedule is not available to new customers after January 30, 2015.

Service is for the use of the customer and may not otherwise be shared and may not be resold to others.

When a portion of a residence is used for other than residential purposes the appropriate non-residential service schedule will be applied.

Not applicable to standby or supplementary service.

III. CHARACTER OF SERVICE

The service to be supplied will normally be single phase, 60 cycles, and approximately 120/240 volts. However, three phase service may be supplied, provided that it is available at the service location and Company determines that single phase facilities will not adequately meet Customer's needs.

IV. NET MONTHLY RATE**A. RATE**

\$14.686.75	Customer Charge; plus
\$0.07654093874	per kWh for the first 500 kWh
\$0.0688857017	per kWh for all additional kWh

For three phase service there will be an additional charge of ~~\$7.703.54~~.

For customers served from underground electric distribution facilities installed subsequent to June 7, 1966, there will be an additional charge of ~~\$3.501.61~~.

B. MINIMUM BILL

The minimum bill shall be the customer charge plus any applicable Facilities Charge.

C. FACILITIES CHARGE

In addition to the amount otherwise computed under the provisions of the net monthly rate included herein, the amount of any Facilities Charge applicable to such service, will be paid monthly. Such Facilities Charge shall be based upon the additional investment necessary to cover the cost of rendering said service.

(Continued on reverse side)

D. ADJUSTMENTS

First - Plus or minus an amount determined in accordance with Company's effective Energy Cost Recovery Rider on file with the Mississippi Public Service Commission.

Second - Plus or minus a percentage adjustment on the pre-tax billing sufficient to compensate Company for any increase in income taxes above the 1993 level or to reduce Customer's billing to adjust for any decrease in any effective income tax rates.

Upon any change in the effective rates of income taxes the Company will file within 30 days the percentage adjustment to be applied for the remainder of the year based on operations for the prior calendar year. Subsequently the percentage adjustment to be applied during a year will be filed with the Commission prior to February 1 of each year and will be based on the prior calendar year's operations. The adjustment will be such percentage as may be necessary to obtain the same after-tax income under the effective tax rates as would have been realized under the income tax rates in effect for the year 1993 without this income tax adjustment.

Third - Plus the applicable proportionate part of any directly allocable tax, impost, or assessment imposed or levied by any governmental authority, which is assessed or levied against the Company or directly affects the Company's cost of operation and which the Company is legally obligated to pay on the basis of meters, customers, or rates of, or revenue from electric power and energy or service sold, or on the volume of the energy generated, transported, purchased for sale, or sold, or on any other basis where direct allocation is possible.

V. APPROVED ELECTRIC WATER HEATERS

Approved electric water heaters are those which are permanently connected, thermostatically controlled and with insulated storage tank capacity of at least 30 gallons and with heating elements that can be operated simultaneously of not more than 5,000 watts or 115 watts per gallon of tank capacity, whichever is greater.

VI. RESERVATION

Subject to orders of regulatory authorities having jurisdiction and to the provisions of Company's Service Policy on file with the Mississippi Public Service Commission.

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P.S.C. Schedule No. I-10

Revised Schedule No. 10, Date: June 30, 2022~~December 1, 2018~~Superseded Schedule No. 10, Date: December 1, 2018~~January 30, 2015~~

Schedule Consists of: Three Pages

GENERAL LIGHTING AND POWER SERVICE RATE SCHEDULE GS-2998**I. AVAILABILITY**

At any point on Company's existing distribution lines of adequate capacity and suitable voltage.

II. APPLICATION

To all electric service for which no specific schedule is provided, supplied at one point of delivery and measured through one kilowatt-hour meter.

Applicable to temporary, seasonal, standby, and supplementary service only in conjunction with the applicable rider for such service.

Not applicable for resale or shared service.

III. CHARACTER OF SERVICE

The service to be supplied will be 60 cycles at one nominal voltage as described in Company's Standards For Electrical Installations. Customers with individual motors with ratings of less than 5 horsepower or who have less than an aggregate motor rating of 10 horsepower will normally be provided with single phase service.

IV. NET MONTHLY RATE**A. RATE**

\$28.387	Customer Charge; plus
\$0.11500923555	per kWh for the first 870 kWh*
\$0.0717155734	per kWh for the next 7,000 kWh
\$0.0634166564	per kWh for additional kWh except
\$0.0569319404	per kWh for all kWh that is in excess of the greater of 60,000 kWh or 300 kWh per kW of Measured Load.
\$0.47	per KVAR of Excess KVAR

*When the kW of measured load is above 6 kW, the \$0.11500923555 block is increased at the rate of:

120 kWh per kW for the first 19 kW in excess of 6 kW
82 kWh per kW for the next 75 kW
74 kWh per kW for all additional kW

B. MINIMUM BILL

~~\$28.387~~ for the first 10 kW or less of Capacity Requirement and \$2.07 for each additional kW of Capacity Requirement but not less than ~~\$59.654~~ for three phase service. In addition to the foregoing, there will be added any applicable Facilities Charge.

C. FACILITIES CHARGE

In addition to the amount otherwise computed under the provisions of the net monthly rate included herein, the amount of any Facilities Charge applicable to such service, will be paid monthly. Such Facilities Charge shall be based upon the additional investment necessary to cover the cost of rendering said services.

(Continued on reverse side)

D. PRIMARY DELIVERY ADJUSTMENT

Where it is feasible and economical from the standpoint of efficient operation, Customer may elect to take service at the primary voltage that is available, or in Company's judgment, can be made available in the most practicable manner. When Customer contracts for 200 kW minimum billing basis at 12,500 volts or higher and provides all facilities necessary to take service at this voltage, the billing, before adjustments, will be reduced \$0.47 per kW of Measured Load.

E. METERING ADJUSTMENT

Company may elect to measure such service on the secondary side of Customer's transformer installation. Where metering is at primary, the metering equipment installed will compensate for transformer losses or in lieu thereof an allowance of 1% will be made in the measured quantities.

F. OTHER ADJUSTMENTS

First - Plus or minus an amount determined in accordance with Company's effective Energy Cost Recovery Rider on file with the Mississippi Public Service Commission.

Second - Plus or minus a percentage adjustment on the pre-tax billing sufficient to compensate Company for any increase in income taxes above the 1993 level or to reduce Customer's billing to adjust for any decrease in any effective income tax rates.

Upon any change in the effective rates of income taxes the Company will file within 30 days the percentage adjustment to be applied for the remainder of the year based on operations for the prior calendar year. Subsequently the percentage adjustment to be applied during a year will be filed with the Commission prior to February 1 of each year and will be based on the prior calendar year's operations. The adjustment will be such percentage as may be necessary to obtain the same after-tax income under the effective tax rates as would have been realized under income tax rates in effect for the year 1993 without this income tax adjustment.

Third - Plus the applicable proportionate part of any directly allocable tax, impost, or assessment imposed or levied by any governmental authority, which is assessed or levied against the Company or directly affects the Company's cost of operation and which the Company is legally obligated to pay on the basis of meters, customers, or rates of, or revenue from electric power and energy or service sold, or on the volume of the energy generated, transported, purchased for sale, or sold, or on any other basis where direct allocation is possible.

V. MEASURED LOAD

The average kW supplied during the 15-minute period of greatest use during the current month, but not less than the higher of:

- (1) the minimum kW specified in the Agreement For Service, or
- (2) one-third of the Capacity Requirement.

VI. EXCESS KVAR

The average KVAR supplied during the 15-minute period of greatest KVAR use during the current month in excess of 60% of the Measured Load for the current month. A KVAR meter may be installed where tests indicate a power factor less than 85%.

VII. CAPACITY REQUIREMENT

The highest kW of Measured Load previously established, or the maximum kW specified in the Agreement For Service, whichever is the greater; provided, however, that beginning with bills rendered during the January 2016 billing month, "*Capacity Requirement*" shall be the highest kW of Measured Load established during the immediately preceding 24-month period, or the maximum kW specified in the Agreement For Service, whichever is the greater. In the event the instantaneous load of Customer's installation exceeds the Measured Load by an unusual amount, such instantaneous load may be taken as the Capacity Requirement.

VIII. CONTRACT PERIOD

- (1) Not less than one year and extended for one-year periods thereafter when required by the currently effective Character of Service Available, or
- (2) as required by the currently effective Rider Schedule, or
- (3) when new or additional facilities are involved, an appropriate term contract may be required.

IX. RESERVATION

Subject to orders of regulatory authorities having jurisdiction and to the provisions of Company's Service Policy currently on file with the Mississippi Public Service Commission.

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P.S.C. Schedule No. I-22

Revised Schedule No. 22, Date: [June 30, 2022](#)~~December 1, 2018~~Superseded Schedule No. 22, Date: [December 1, 2018](#)~~January 30, 2015~~

Schedule Consists of: Two Pages

SHORT TERM AND TEMPORARY SERVICE RIDER SCHEDULE ST-165

I. AVAILABILITY

At points on existing Facilities having adequate capacity and suitable voltage for delivery of service. The supplying of such service at any point of delivery in no way shall obligate the Company to leave in place any facilities temporarily installed, to supply service after a period of discontinuance of use, to extend or renew any service agreement, to furnish additional service at such point of delivery, or to furnish service to any other point of delivery, each application for service and period of use being a separate transaction determined by availability of capacity at the time and the location, and by the need for temporary facilities.

II. APPLICATION

To electric service billed under the General Lighting and Power (GS) rate schedule where Customer's use of service is temporary in nature or is for a term of less than that specified in the rate schedule and the Agreement For Service.

Customer will, upon request by Company, curtail his use of service at times of peak load on Company's system to the extent and during the hours specified by Company from time to time on not less than 48 hours' notice, but such curtailment will not be required for more than 10 hours in any one day.

Not applicable to standby or supplementary service.

All provisions of Company's applicable rate schedules apply, except as modified herein.

III. BILLING

In accordance with the terms of the applicable rate schedule except the Minimum Monthly Bill shall not be less than \$2.98 per kW based on the maximum kW specified in the Agreement For Service or the highest kW previously established, whichever is greater, and the total billing shall be at least \$~~28.38~~[8.44](#) for each period the meter is installed.

Bills will be prorated for a period of less than one month only at the beginning and on termination of the Service Agreement. The minimum billing period is one month.

IV. CONNECTION COST

Customer will pay Company in advance of construction the estimated gross cost of providing, installing, and removing the temporary facilities required to deliver service less the estimated salvage value of such facilities on removal. When the use of service is discontinued or the Service Agreement is terminated, Company will dismantle such facilities, and the materials and equipment temporarily provided by Company will be salvaged by Company and will remain its property.

V. CONTRACT PERIOD

Continuously from month to month until discontinuance of use by Customer or termination of the Service Agreement.

(Continued on reverse side)

VI. BREAKDOWN SERVICE

Breakdown Service will be supplied under this Rider Schedule only, and only in event and for the duration of an emergency breakdown in lines or equipment affecting Customer's normal source of power supply.

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P.S.C. Schedule No. I-23

Revised Schedule No. 23, Date: [June 30, 2022](#)~~December 1, 2018~~Superseded Schedule No. 23, Date: [December 1, 2018](#)~~January 30, 2015~~

Schedule Consists of: One Page

**SERVICE TO CHURCHES, SCHOOLS, AND RECREATIONAL FACILITIES
RIDER SCHEDULE CS-132**

I. AVAILABILITY

At points on existing facilities having adequate capacity and suitable voltage for delivery of service from the Company's interconnected transmission system.

II. APPLICATION

To electric service billed under the General Lighting and Power Service (GS) rate schedule when all service supplied is used for the following non-profit applications:

1. Schools
2. Churches
3. Playgrounds and sports fields

Not applicable to standby, supplementary, resale, or shared service.

All provisions of Company's rate schedule apply except as modified herein.

III. BILLING

In accordance with the provisions of the rate schedule except the Minimum Bill is as follows:

1. Schools and churches: \$[28.38](#) ~~7.67~~ per month, or such amount as may be required for line extension customers.
2. Playgrounds and sports fields: \$[28.38](#) ~~15.34~~ per month for months in which service is connected, or such amount as may be required for line extension customers.

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P.S.C. Schedule No. I-24

Revised Schedule No. 24, Date: [June 30, 2022](#)~~December 1, 2018~~Superseded Schedule No. 24, Date: [December 1, 2018](#)~~January 30, 2015~~

Schedule Consists of: One Page

SERVICE TO CHURCHES RIDER SCHEDULE CR-132

I. AVAILABILITY

At points on existing facilities having adequate capacity and suitable voltage for delivery of service from the Company's interconnected transmission system.

II. APPLICATION

Upon written request, to electric service billed under the General Lighting and Power Service (GS) rate schedule when all service supplied is used for churches and synagogues in which (1) the primary use of the premises to which service is supplied is for public worship and (2) the sanctuary or principal room designated or used for said public worship is cooled by electric air conditioning equipment.

Not applicable to standby, supplementary, resale, or shared service.

All provisions of Company's rate schedule apply except as modified herein.

III. BILLING

In accordance with the provisions of the rate schedule except that:

1. The Minimum Bill shall be \$~~28.387~~^{28.387} per month, or such amount as may be required for line extension customers.
2. For the four billing months of June, July, August, and September, a discount of 15% will be allowed on the amounts computed in accordance with the Net Monthly Rate of the rate schedule, before adjustments.

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P.S.C. Schedule No. I-29

Revised Schedule No. 29, Date: [June 30, 2022](#)~~December 1, 2018~~Superseded Schedule No. 29, Date: [December 1, 2018](#)~~January 30, 2015~~

Schedule Consists of: One Page

GENERAL MUNICIPAL SERVICE RIDER SCHEDULE MS-154

I. AVAILABILITY

At any point on existing facilities having adequate capacity and suitable voltage for delivery of service from the Company's interconnected transmission system.

II. APPLICATION

To electric service billed under the General Lighting and Power (GS) rate schedule to any municipality in which the Company does a general retail business, when such service is used for municipal purposes and is paid for out of taxes levied by the Municipality.

Not applicable to sports field lighting, municipal service for which a specific schedule is provided, standby, supplementary, resale, or shared service.

All provisions of Company's rate schedule apply, except as modified herein.

III. BILLING

In accordance with the provisions of the rate schedule, except:

1. The Minimum Monthly Bill is \$[28.387](#) ~~67~~ or such amount as may be required for line extension customers.
2. A discount of 15% will be allowed on the net amount, including the minimum bill, before adjustments.

ENTERGY MISSISSIPPI, LLC

Date Filed: March 1, 2022
 Date to be Effective: June 30, 2022
 Docket No.: 2018-UN-205

MISSISSIPPI PUBLIC SERVICE COMMISSION

P.S.C. Schedule No. I-5
 Revised Schedule No. 5, Date: June 30, 2022
 Superseded Schedule No. 5, Date: December 1, 2018
 Schedule Consists of: Two Pages

RESIDENTIAL RATE SCHEDULE RS-39C**I. AVAILABILITY**

At any point on Company's existing distribution lines of adequate capacity and suitable voltage.

II. APPLICATION

For residential electric service to private residences, individual family apartments, or farms with individual motor loads not larger than 10 horsepower, supplied through one meter.

Service is for the use of the customer and may not otherwise be shared and may not be resold to others.

When a portion of a residence is used for other than residential purposes the appropriate non-residential service schedule will be applied.

Not applicable to standby or supplementary service.

III. CHARACTER OF SERVICE

The service to be supplied will normally be single phase, 60 cycles, and approximately 120/240 volts. However, three phase service may be supplied, provided that it is available at the service location and Company determines that single phase facilities will not adequately meet Customer's needs.

IV. NET MONTHLY RATE**A. RATE**

\$14.68 Customer Charge; plus
 \$0.078103 per kWh for the first 500 kWh
 \$0.070293 per kWh for all additional kWh

For three phase service there will be an additional charge of \$7.70.

For customers served from underground electric distribution facilities installed subsequent to June 7, 1966, there will be an additional charge of \$3.50.

B. MINIMUM BILL

The minimum bill shall be the customer charge plus any applicable Facilities Charge.

C. FACILITIES CHARGE

In addition to the amount otherwise computed under the provisions of the net monthly rate included herein, the amount of any Facilities Charge applicable to such service, will be paid monthly. Such Facilities Charge shall be based upon the additional investment necessary to cover the cost of rendering said service.

(Continued on reverse side)

D. ADJUSTMENTS

First - Plus or minus an amount determined in accordance with Company's effective Energy Cost Recovery Rider on file with the Mississippi Public Service Commission.

Second - Plus or minus a percentage adjustment on the pre-tax billing sufficient to compensate Company for any increase in income taxes above the 1993 level or to reduce Customer's billing to adjust for any decrease in any effective income tax rates.

Upon any change in the effective rates of income taxes the Company will file within 30 days the percentage adjustment to be applied for the remainder of the year based on operations for the prior calendar year. Subsequently the percentage adjustment to be applied during a year will be filed with the Commission prior to February 1 of each year and will be based on the prior calendar year's operations. The adjustment will be such percentage as may be necessary to obtain the same after-tax income under the effective tax rates as would have been realized under the income tax rates in effect for the year 1993 without this income tax adjustment.

Third - Plus the applicable proportionate part of any directly allocable tax, impost, or assessment imposed or levied by any governmental authority, which is assessed or levied against the Company or directly affects the Company's cost of operation and which the Company is legally obligated to pay on the basis of meters, customers, or rates of, or revenue from electric power and energy or service sold, or on the volume of the energy generated, transported, purchased for sale, or sold, or on any other basis where direct allocation is possible.

V. RESERVATION

Subject to orders of regulatory authorities having jurisdiction and to the provisions of Company's Service Policy on file with the Mississippi Public Service Commission.

ENTERGY MISSISSIPPI, LLC

Date Filed: March 1, 2022
Date to be Effective: June 30, 2022
Docket No.: 2018-UN-205

MISSISSIPPI PUBLIC SERVICE COMMISSION

P.S.C. Schedule No. V-6
Revised Schedule No. V-6, Date: June 30, 2022
Superseded Schedule No. V-6, Date: December 1, 2018
Schedule Consists of: Two Pages

**RESIDENTIAL ELECTRIC WATER HEATING RATE SCHEDULE RS-39W
NOT AVAILABLE TO NEW CUSTOMERS AFTER JANUARY 30, 2015**

I. AVAILABILITY

At any point on Company's existing distribution lines of adequate capacity and suitable voltage.

II. APPLICATION

For residential electric service to private residences, individual family apartments, or farms with individual motor loads not larger than 10 horsepower, using an approved electric water heater(s) for the total water heating requirements supplied through one meter. This Rate Schedule is not available to new customers after January 30, 2015.

Service is for the use of the customer and may not otherwise be shared and may not be resold to others.

When a portion of a residence is used for other than residential purposes the appropriate non-residential service schedule will be applied.

Not applicable to standby or supplementary service.

III. CHARACTER OF SERVICE

The service to be supplied will normally be single phase, 60 cycles, and approximately 120/240 volts. However, three phase service may be supplied, provided that it is available at the service location and Company determines that single phase facilities will not adequately meet Customer's needs.

IV. NET MONTHLY RATE**A. RATE**

\$14.68	Customer Charge; plus
\$0.076540	per kWh for the first 500 kWh
\$0.068885	per kWh for all additional kWh

For three phase service there will be an additional charge of \$7.70.

For customers served from underground electric distribution facilities installed subsequent to June 7, 1966, there will be an additional charge of \$3.50.

B. MINIMUM BILL

The minimum bill shall be the customer charge plus any applicable Facilities Charge.

C. FACILITIES CHARGE

In addition to the amount otherwise computed under the provisions of the net monthly rate included herein, the amount of any Facilities Charge applicable to such service, will be paid monthly. Such Facilities Charge shall be based upon the additional investment necessary to cover the cost of rendering said service.

(Continued on reverse side)

D. ADJUSTMENTS

First - Plus or minus an amount determined in accordance with Company's effective Energy Cost Recovery Rider on file with the Mississippi Public Service Commission.

Second - Plus or minus a percentage adjustment on the pre-tax billing sufficient to compensate Company for any increase in income taxes above the 1993 level or to reduce Customer's billing to adjust for any decrease in any effective income tax rates.

Upon any change in the effective rates of income taxes the Company will file within 30 days the percentage adjustment to be applied for the remainder of the year based on operations for the prior calendar year. Subsequently the percentage adjustment to be applied during a year will be filed with the Commission prior to February 1 of each year and will be based on the prior calendar year's operations. The adjustment will be such percentage as may be necessary to obtain the same after-tax income under the effective tax rates as would have been realized under the income tax rates in effect for the year 1993 without this income tax adjustment.

Third - Plus the applicable proportionate part of any directly allocable tax, impost, or assessment imposed or levied by any governmental authority, which is assessed or levied against the Company or directly affects the Company's cost of operation and which the Company is legally obligated to pay on the basis of meters, customers, or rates of, or revenue from electric power and energy or service sold, or on the volume of the energy generated, transported, purchased for sale, or sold, or on any other basis where direct allocation is possible.

V. APPROVED ELECTRIC WATER HEATERS

Approved electric water heaters are those which are permanently connected, thermostatically controlled and with insulated storage tank capacity of at least 30 gallons and with heating elements that can be operated simultaneously of not more than 5,000 watts or 115 watts per gallon of tank capacity, whichever is greater.

VI. RESERVATION

Subject to orders of regulatory authorities having jurisdiction and to the provisions of Company's Service Policy on file with the Mississippi Public Service Commission.

ENTERGY MISSISSIPPI, LLC

Date Filed: March 1, 2022
Date to be Effective: June 30, 2022
Docket No.: 2018-UN-205

MISSISSIPPI PUBLIC SERVICE COMMISSION

P.S.C. Schedule No. I-10
Revised Schedule No. 10, Date: June 30, 2022
Superseded Schedule No. 10, Date: December 1, 2018
Schedule Consists of: Three Pages

GENERAL LIGHTING AND POWER SERVICE RATE SCHEDULE GS-299

I. AVAILABILITY

At any point on Company's existing distribution lines of adequate capacity and suitable voltage.

II. APPLICATION

To all electric service for which no specific schedule is provided, supplied at one point of delivery and measured through one kilowatt-hour meter.

Applicable to temporary, seasonal, standby, and supplementary service only in conjunction with the applicable rider for such service.

Not applicable for resale or shared service.

III. CHARACTER OF SERVICE

The service to be supplied will be 60 cycles at one nominal voltage as described in Company's Standards For Electrical Installations. Customers with individual motors with ratings of less than 5 horsepower or who have less than an aggregate motor rating of 10 horsepower will normally be provided with single phase service.

IV. NET MONTHLY RATE**A. RATE**

\$28.38	Customer Charge; plus
\$0.115009	per kWh for the first 870 kWh*
\$0.071715	per kWh for the next 7,000 kWh
\$0.063416	per kWh for additional kWh except
\$0.056931	per kWh for all kWh that is in excess of the greater of 60,000 kWh or 300 kWh per kW of Measured Load.
\$0.47	per KVAR of Excess KVAR

*When the kW of measured load is above 6 kW, the \$0.115009 block is increased at the rate of:

120 kWh per kW for the first 19 kW in excess of 6 kW
82 kWh per kW for the next 75 kW
74 kWh per kW for all additional kW

B. MINIMUM BILL

\$28.38 for the first 10 kW or less of Capacity Requirement and \$2.07 for each additional kW of Capacity Requirement but not less than \$59.65 for three phase service. In addition to the foregoing, there will be added any applicable Facilities Charge.

C. FACILITIES CHARGE

In addition to the amount otherwise computed under the provisions of the net monthly rate included herein, the amount of any Facilities Charge applicable to such service, will be paid monthly. Such Facilities Charge shall be based upon the additional investment necessary to cover the cost of rendering said services.

(Continued on reverse side)

D. PRIMARY DELIVERY ADJUSTMENT

Where it is feasible and economical from the standpoint of efficient operation, Customer may elect to take service at the primary voltage that is available, or in Company's judgment, can be made available in the most practicable manner. When Customer contracts for 200 kW minimum billing basis at 12,500 volts or higher and provides all facilities necessary to take service at this voltage, the billing, before adjustments, will be reduced \$0.47 per kW of Measured Load.

E. METERING ADJUSTMENT

Company may elect to measure such service on the secondary side of Customer's transformer installation. Where metering is at primary, the metering equipment installed will compensate for transformer losses or in lieu thereof an allowance of 1% will be made in the measured quantities.

F. OTHER ADJUSTMENTS

First - Plus or minus an amount determined in accordance with Company's effective Energy Cost Recovery Rider on file with the Mississippi Public Service Commission.

Second - Plus or minus a percentage adjustment on the pre-tax billing sufficient to compensate Company for any increase in income taxes above the 1993 level or to reduce Customer's billing to adjust for any decrease in any effective income tax rates.

Upon any change in the effective rates of income taxes the Company will file within 30 days the percentage adjustment to be applied for the remainder of the year based on operations for the prior calendar year. Subsequently the percentage adjustment to be applied during a year will be filed with the Commission prior to February 1 of each year and will be based on the prior calendar year's operations. The adjustment will be such percentage as may be necessary to obtain the same after-tax income under the effective tax rates as would have been realized under income tax rates in effect for the year 1993 without this income tax adjustment.

Third - Plus the applicable proportionate part of any directly allocable tax, impost, or assessment imposed or levied by any governmental authority, which is assessed or levied against the Company or directly affects the Company's cost of operation and which the Company is legally obligated to pay on the basis of meters, customers, or rates of, or revenue from electric power and energy or service sold, or on the volume of the energy generated, transported, purchased for sale, or sold, or on any other basis where direct allocation is possible.

V. MEASURED LOAD

The average kW supplied during the 15-minute period of greatest use during the current month, but not less than the higher of:

- (1) the minimum kW specified in the Agreement For Service, or
- (2) one-third of the Capacity Requirement.

VI. EXCESS KVAR

The average KVAR supplied during the 15-minute period of greatest KVAR use during the current month in excess of 60% of the Measured Load for the current month. A KVAR meter may be installed where tests indicate a power factor less than 85%.

VII. CAPACITY REQUIREMENT

The highest kW of Measured Load previously established, or the maximum kW specified in the Agreement For Service, whichever is the greater; provided, however, that beginning with bills rendered during the January 2016 billing month, "*Capacity Requirement*" shall be the highest kW of Measured Load established during the immediately preceding 24-month period, or the maximum kW specified in the Agreement For Service, whichever is the greater. In the event the instantaneous load of Customer's installation exceeds the Measured Load by an unusual amount, such instantaneous load may be taken as the Capacity Requirement.

VIII. CONTRACT PERIOD

- (1) Not less than one year and extended for one-year periods thereafter when required by the currently effective Character of Service Available, or
- (2) as required by the currently effective Rider Schedule, or
- (3) when new or additional facilities are involved, an appropriate term contract may be required.

IX. RESERVATION

Subject to orders of regulatory authorities having jurisdiction and to the provisions of Company's Service Policy currently on file with the Mississippi Public Service Commission.

ENTERGY MISSISSIPPI, LLC

Date Filed: March 1, 2022
Date to be Effective: June 30, 2022
Docket No.: 2018-UN-205

MISSISSIPPI PUBLIC SERVICE COMMISSION

P.S.C. Schedule No. I-22
Revised Schedule No. 22, Date: June 30, 2022
Superseded Schedule No. 22, Date: December 1, 2018
Schedule Consists of: Two Pages

SHORT TERM AND TEMPORARY SERVICE RIDER SCHEDULE ST-16

I. AVAILABILITY

At points on existing Facilities having adequate capacity and suitable voltage for delivery of service. The supplying of such service at any point of delivery in no way shall obligate the Company to leave in place any facilities temporarily installed, to supply service after a period of discontinuance of use, to extend or renew any service agreement, to furnish additional service at such point of delivery, or to furnish service to any other point of delivery, each application for service and period of use being a separate transaction determined by availability of capacity at the time and the location, and by the need for temporary facilities.

II. APPLICATION

To electric service billed under the General Lighting and Power (GS) rate schedule where Customer's use of service is temporary in nature or is for a term of less than that specified in the rate schedule and the Agreement For Service.

Customer will, upon request by Company, curtail his use of service at times of peak load on Company's system to the extent and during the hours specified by Company from time to time on not less than 48 hours' notice, but such curtailment will not be required for more than 10 hours in any one day.

Not applicable to standby or supplementary service.

All provisions of Company's applicable rate schedules apply, except as modified herein.

III. BILLING

In accordance with the terms of the applicable rate schedule except the Minimum Monthly Bill shall not be less than \$2.98 per kW based on the maximum kW specified in the Agreement For Service or the highest kW previously established, whichever is greater, and the total billing shall be at least \$28.38 for each period the meter is installed.

Bills will be prorated for a period of less than one month only at the beginning and on termination of the Service Agreement. The minimum billing period is one month.

IV. CONNECTION COST

Customer will pay Company in advance of construction the estimated gross cost of providing, installing, and removing the temporary facilities required to deliver service less the estimated salvage value of such facilities on removal. When the use of service is discontinued or the Service Agreement is terminated, Company will dismantle such facilities, and the materials and equipment temporarily provided by Company will be salvaged by Company and will remain its property.

V. CONTRACT PERIOD

Continuously from month to month until discontinuance of use by Customer or termination of the Service Agreement.

(Continued on reverse side)

VI. BREAKDOWN SERVICE

Breakdown Service will be supplied under this Rider Schedule only, and only in event and for the duration of an emergency breakdown in lines or equipment affecting Customer's normal source of power supply.

ENTERGY MISSISSIPPI, LLC

Date Filed: March 1, 2022
Date to be Effective: June 30, 2022
Docket No.: 2018-UN-205

MISSISSIPPI PUBLIC SERVICE COMMISSION

P.S.C. Schedule No. I-23
Revised Schedule No. 23, Date: June 30, 2022
Superseded Schedule No. 23, Date: December 1, 2018
Schedule Consists of: One Page

**SERVICE TO CHURCHES, SCHOOLS, AND RECREATIONAL FACILITIES
RIDER SCHEDULE CS-13**

I. AVAILABILITY

At points on existing facilities having adequate capacity and suitable voltage for delivery of service from the Company's interconnected transmission system.

II. APPLICATION

To electric service billed under the General Lighting and Power Service (GS) rate schedule when all service supplied is used for the following non-profit applications:

1. Schools
2. Churches
3. Playgrounds and sports fields

Not applicable to standby, supplementary, resale, or shared service.

All provisions of Company's rate schedule apply except as modified herein.

III. BILLING

In accordance with the provisions of the rate schedule except the Minimum Bill is as follows:

1. Schools and churches: \$28.38 per month, or such amount as may be required for line extension customers.
2. Playgrounds and sports fields: \$28.38 per month for months in which service is connected, or such amount as may be required for line extension customers.

ENTERGY MISSISSIPPI, LLC

Date Filed: March 1, 2022
Date to be Effective: June 30, 2022
Docket No.: 2018-UN-205

MISSISSIPPI PUBLIC SERVICE COMMISSION

P.S.C. Schedule No. I-24
Revised Schedule No. 24, Date: June 30, 2022
Superseded Schedule No. 24, Date: December 1, 2018
Schedule Consists of: One Page

SERVICE TO CHURCHES RIDER SCHEDULE CR-13

I. AVAILABILITY

At points on existing facilities having adequate capacity and suitable voltage for delivery of service from the Company's interconnected transmission system.

II. APPLICATION

Upon written request, to electric service billed under the General Lighting and Power Service (GS) rate schedule when all service supplied is used for churches and synagogues in which (1) the primary use of the premises to which service is supplied is for public worship and (2) the sanctuary or principal room designated or used for said public worship is cooled by electric air conditioning equipment.

Not applicable to standby, supplementary, resale, or shared service.

All provisions of Company's rate schedule apply except as modified herein.

III. BILLING

In accordance with the provisions of the rate schedule except that:

1. The Minimum Bill shall be \$28.38 per month, or such amount as may be required for line extension customers.
2. For the four billing months of June, July, August, and September, a discount of 15% will be allowed on the amounts computed in accordance with the Net Monthly Rate of the rate schedule, before adjustments.

ENTERGY MISSISSIPPI, LLC

Date Filed: March 1, 2022

Date to be Effective: June 30, 2022

Docket No.: 2018-UN-205

MISSISSIPPI PUBLIC SERVICE COMMISSION

P.S.C. Schedule No. I-29

Revised Schedule No. 29, Date: June 30, 2022

Superseded Schedule No. 29, Date: December 1, 2018

Schedule Consists of: One Page

GENERAL MUNICIPAL SERVICE RIDER SCHEDULE MS-15

I. AVAILABILITY

At any point on existing facilities having adequate capacity and suitable voltage for delivery of service from the Company's interconnected transmission system.

II. APPLICATION

To electric service billed under the General Lighting and Power (GS) rate schedule to any municipality in which the Company does a general retail business, when such service is used for municipal purposes and is paid for out of taxes levied by the Municipality.

Not applicable to sports field lighting, municipal service for which a specific schedule is provided, standby, supplementary, resale, or shared service.

All provisions of Company's rate schedule apply, except as modified herein.

III. BILLING

In accordance with the provisions of the rate schedule, except:

1. The Minimum Monthly Bill is \$28.38 or such amount as may be required for line extension customers.
2. A discount of 15% will be allowed on the net amount, including the minimum bill, before adjustments.

BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC	IN RE:	NOTICE OF INTENT OF ENTERGY
EC-123-0082-00		MISSISSIPPI, INC. TO IMPLEMENT
2018-UN-205		REVISIONS TO THE FORMULA RATE
		PLAN

EVALUATION REPORT FILING UNDER FORMULA RATE PLAN
RIDER SCHEDULE FRP-7 (SECOND REVISED) FOR CALENDAR YEAR 2022

EXHIBIT CKE-3

PUBLIC

**THIS EXHIBIT HAS BEEN FILED CONFIDENTIALLY. DUE TO THE NATURE OF
THE INFORMATION CONTAINED IN THIS EXHIBIT, A REDACTED VERSION IS
NOT BEING PROVIDED**

MARCH 2022

BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC	IN RE:	NOTICE OF INTENT OF ENTERGY
EC-123-0082-00		MISSISSIPPI, INC. TO IMPLEMENT
2018-UN-205		REVISIONS TO THE FORMULA RATE
		PLAN

EVALUATION REPORT FILING UNDER FORMULA RATE PLAN
RIDER SCHEDULE FRP-7 (SECOND REVISED) FOR CALENDAR YEAR 2022

EXHIBIT CKE-4

PUBLIC

**THIS EXHIBIT HAS BEEN FILED CONFIDENTIALLY. DUE TO THE NATURE OF
THE INFORMATION CONTAINED IN THIS EXHIBIT, A REDACTED VERSION IS
NOT BEING PROVIDED**

MARCH 2022

BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC	IN RE:	NOTICE OF INTENT OF ENTERGY
EC-123-0082-00		MISSISSIPPI, INC. TO IMPLEMENT
2018-UN-205		REVISIONS TO THE FORMULA RATE
		PLAN

EVALUATION REPORT FILING UNDER FORMULA RATE PLAN
RIDER SCHEDULE FRP-7 (SECOND REVISED) FOR CALENDAR YEAR 2022

EXHIBIT CKE-5

PUBLIC

**THIS EXHIBIT HAS BEEN FILED CONFIDENTIALLY. DUE TO THE NATURE OF
THE INFORMATION CONTAINED IN THIS EXHIBIT, A REDACTED VERSION IS
NOT BEING PROVIDED**

MARCH 2022

ATTACHMENT G

BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC	IN RE:	NOTICE OF INTENT OF ENTERGY
EC-123-0082-00		MISSISSIPPI, INC. TO IMPLEMENT
2018-UN-205		REVISIONS TO THE FORMULA RATE
		PLAN

EVALUATION REPORT FILING UNDER FORMULA RATE PLAN
RIDER SCHEDULE FRP-7 (SECOND REVISED) FOR CALENDAR YEAR 2022

ATTACHMENT G

See Evaluation Report workpapers 9.1 through 9.5, to be provided within 15 days.

(Balance sheet for the most recent month available
which shall be not later than nine months prior to the filing date)

MARCH 2022

ATTACHMENT H

BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC	IN RE:	NOTICE OF INTENT OF ENTERGY
EC-123-0082-00		MISSISSIPPI, INC. TO IMPLEMENT
2018-UN-205		REVISIONS TO THE FORMULA RATE
		PLAN

EVALUATION REPORT FILING UNDER FORMULA RATE PLAN
RIDER SCHEDULE FRP-7 (SECOND REVISED) FOR CALENDAR YEAR 2022

ATTACHMENT H

See Evaluation Report workpapers 9.6 through 9.8, to be provided within 15 days.

(Operating statement of revenues and expenses for twelve
months ending as of the date of the balance sheet)

MARCH 2022

ATTACHMENT I

BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC	IN RE:	NOTICE OF INTENT OF ENTERGY
EC-123-0082-00		MISSISSIPPI, INC. TO IMPLEMENT
2018-UN-205		REVISIONS TO THE FORMULA RATE
		PLAN

EVALUATION REPORT FILING UNDER FORMULA RATE PLAN
RIDER SCHEDULE FRP-7 (SECOND REVISED) FOR CALENDAR YEAR 2022

ATTACHMENT I

(Statement showing (a) number of current customers by classes affected by the proposed changes (b) the actual revenue under the old rates arising from each class and (c) the annual amount of the proposed increase or decrease applicable to each class)

MARCH 2022

ENTERGY MISSISSIPPI, LLC
FORMULA RATE PLAN ("FRP")
AFFECTED CUSTOMERS AND PROPOSED FRP CHANGES
FOR THE TWELVE MONTHS ENDED DECEMBER 31, 2022
(\$000 OMITTED)

Line No.	Rate Class	Number of Customers	Current Evaluation Period Annualized FRP Revenue	Proposed FRP Revenue Adjustment Incr/(Decr)*
1	Residential	381,569	\$88,264	\$11,360
2	General Service	74,495	\$49,304	\$6,324
3	Interm. General Service	441	\$7,335	\$938
4	High Load Factor	417	\$20,245	\$2,580
5	Large General Service	53	\$5,618	\$720
6	Alt. Large Gen. Service	22	\$11,773	\$1,485
7	Lighting	3,281	\$6,629	\$896
8	Total	460,278	\$189,168	\$24,303

*effective April 2022

ENTERGY MISSISSIPPI, LLC
FORMULA RATE PLAN ("FRP")
AFFECTED CUSTOMERS AND PROPOSED FRP CHANGES
FOR THE TWELVE MONTHS ENDED DECEMBER 31, 2022
(\$000 OMITTED)

Line No.	Rate Class	Number of Customers	Current Evaluation Period Annualized FRP Revenue	Proposed FRP Revenue Adjustment Incr/(Decr)*
1	Residential	381,569	\$88,264	\$36,228
2	General Service	74,495	\$49,304	\$20,168
3	Interm. General Service	441	\$7,335	\$2,991
4	High Load Factor	417	\$20,245	\$8,228
5	Large General Service	53	\$5,618	\$2,295
6	Alt. Large Gen. Service	22	\$11,773	\$4,734
7	Lighting	3,281	\$6,629	\$2,858
8	Total	460,278	\$189,168	\$77,502

*effective July 2022

ATTACHMENT J

BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC	IN RE:	NOTICE OF INTENT OF ENTERGY
EC-123-0082-00		MISSISSIPPI, INC. TO IMPLEMENT
2018-UN-205		REVISIONS TO THE FORMULA RATE
		PLAN

EVALUATION REPORT FILING UNDER FORMULA RATE PLAN
RIDER SCHEDULE FRP-7 (SECOND REVISED) FOR CALENDAR YEAR 2022

ATTACHMENT J

See Attachment B to the annual Evaluation Report.

(Statement showing the utility's calculation of jurisdictional rate base including, if applicable, gross plant, accumulated depreciation, working capital, material and supplies, other properties and assets, accumulated deferred income taxes, customer deposits and investment tax credits)

MARCH 2022

ATTACHMENT K

BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC	IN RE:	NOTICE OF INTENT OF ENTERGY
EC-123-0082-00		MISSISSIPPI, INC. TO IMPLEMENT
2018-UN-205		REVISIONS TO THE FORMULA RATE
		PLAN

EVALUATION REPORT FILING UNDER FORMULA RATE PLAN
RIDER SCHEDULE FRP-7 (SECOND REVISED) FOR CALENDAR YEAR 2022

ATTACHMENT K

See Attachments B and G to the annual Evaluation Report.

(Statement showing utility's calculation of return on rate base
with and without the proposed increase)

MARCH 2022

ATTACHMENT L

BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC	IN RE:	NOTICE OF INTENT OF ENTERGY
EC-123-0082-00		MISSISSIPPI, INC. TO IMPLEMENT
2018-UN-205		REVISIONS TO THE FORMULA RATE
		PLAN

EVALUATION REPORT FILING UNDER FORMULA RATE PLAN
RIDER SCHEDULE FRP-7 (SECOND REVISED) FOR CALENDAR YEAR 2022

ATTACHMENT L

Notice to customers will appear on customer bills during the March 2022 billing cycle. EML will supplement the filing with copies of the notice when available.

(Copy of notice to customers pursuant to RP9)

MARCH 2022

ATTACHMENT M

BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC	IN RE:	NOTICE OF INTENT OF ENTERGY
EC-123-0082-00		MISSISSIPPI, INC. TO IMPLEMENT
2018-UN-205		REVISIONS TO THE FORMULA RATE
		PLAN

EVALUATION REPORT FILING UNDER FORMULA RATE PLAN
RIDER SCHEDULE FRP-7 (SECOND REVISED) FOR CALENDAR YEAR 2022

ATTACHMENT M

Incorporated by reference.

(Copy of charter or articles of incorporation)

MARCH 2022

ATTACHMENT N

BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC	IN RE:	NOTICE OF INTENT OF ENTERGY
EC-123-0082-00		MISSISSIPPI, INC. TO IMPLEMENT
2018-UN-205		REVISIONS TO THE FORMULA RATE
		PLAN

EVALUATION REPORT FILING UNDER FORMULA RATE PLAN
RIDER SCHEDULE FRP-7 (SECOND REVISED) FOR CALENDAR YEAR 2022

ATTACHMENT N

Evaluation Report workpaper 11.2, to be provided within 15 days.

(The amount and kinds of stock authorized, issued and outstanding)

MARCH 2022

ATTACHMENT O

BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC	IN RE:	NOTICE OF INTENT OF ENTERGY
EC-123-0082-00		MISSISSIPPI, INC. TO IMPLEMENT
2018-UN-205		REVISIONS TO THE FORMULA RATE
		PLAN

EVALUATION REPORT FILING UNDER FORMULA RATE PLAN
RIDER SCHEDULE FRP-7 (SECOND REVISED) FOR CALENDAR YEAR 2022

ATTACHMENT O

Evaluation Report workpaper 11.1, to be provided within 15 days.

(The number and amount of bonds authorized
and the number and amount issued)

MARCH 2022

ATTACHMENT P

BEFORE THE MISSISSIPPI PUBLIC SERVICE COMMISSION

ENTERGY MISSISSIPPI, LLC	IN RE:	NOTICE OF INTENT OF ENTERGY
EC-123-0082-00		MISSISSIPPI, INC. TO IMPLEMENT
2018-UN-205		REVISIONS TO THE FORMULA RATE
		PLAN

EVALUATION REPORT FILING UNDER FORMULA RATE PLAN
RIDER SCHEDULE FRP-7 (SECOND REVISED) FOR CALENDAR YEAR 2022

ATTACHMENT P
RATE OF DIVIDENDS

(The rate and amount of dividends paid during the five previous fiscal years
and the amount of capital stock on which dividends were paid each year)

PUBLIC

MARCH 2022

Entergy Mississippi, LLC**Rate and Amount of Dividends Declared
And Amount of Capital Stock**

LINE NO		2017	2018	2019	2020	2021
1	COMMON STOCK					
2	Dividends	\$26,000,000	\$10,000,000	\$0	\$10,000,000	\$0
3	Percent of Earnings	23.84%	7.98%	---%	7.11%	---%